

PUBLIC VERSION

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

RESPONDENT FLEXPORT INTERNATIONAL LLC'S RESPONSE TO
COMPLAINANT PELOTON INTERACTIVE, INC.'S
PROPOSED FINDINGS OF FACT

PUBLIC VERSION

Flexport International LLC (“Respondent” or “Flexport”) respectfully submits its responses to Complainant Peloton Interactive, Inc.’s (“Complainant” or “Peloton”) Proposed Findings of Facts (“CPFFs”). Complainant’s proposed findings of fact are reproduced here verbatim, followed by respondent’s responses thereto in **bold** typeface.

I. INTRODUCTION

1. On May 8, 2024, pursuant to 46 U.S.C. § 41301, Peloton filed its Verified Complaint (“Compl.”) against Respondent Flexport International LLC (“Flexport”) (collectively, the “Parties”) alleging that Flexport failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton merchandise, in violation of multiple sections of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq., as amended (the “Shipping Act”). A_0001-0012, Compl. ¶¶ 10-47.

RESPONSE: Denied to the extent that the Office of the Secretary Federal Maritime Commission received the filing of Peloton’s Verified Complaint on May 3, 2024, the Notice of Filing of Complaint and Assignment was May 8, 2024. Admitted to the extent that Peloton’s Verified Complaint alleges violations of multiple sections of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq.

2. On June 17, 2024, Flexport filed a motion to dismiss (“First MTD”) arguing, among other things, that Peloton’s complaint failed to allege sufficient facts in support of its claims. A-0014, First MTD ¶ 1.

RESPONSE: Admitted that Flexport’s Motion to Dismiss argues, among other things, that Peloton’s Complaint failed to allege sufficient facts in support of its claims.

3. On September 25, 2024, the Presiding Officer deferred ruling on Flexport's motion and directed Peloton to provide more detailed allegations in an amended complaint. A-0032, Order Deferring MTD at ¶ 4.

RESPONSE: Admitted.

4. On October 2, 2024, Peloton filed its Verified Amended Complaint ("Am. Compl."), addressing the issues raised in the Order Deferring Motion to Dismiss and detailing over \$30 million in wrongful demurrage and detention charges ("D&D").¹ A-0047, Am. Compl. ¶ 59.

RESPONSE: Admitted to the extent that Peloton's Verified Amended Complaint was filed on October 2, 2024. Denied to extent that Peloton's Verified Amended Complaint addressed the issues raised in the Order and detailed over \$30 million in wrongful demurrage and detention charges. Also denied that the Amended Complaint was reviewed by Peloton prior to being verified.

5. In connection with Flexport's carriage of Peloton Shipments, Peloton's Verified Amended Complaint alleges three separate counts in violation of the Shipping Act:

- a. Violations of 46 U.S.C. § 41102(c) – Unjust and Unreasonable Practices in Handling Property. A-0044-0046, Am. Compl. ¶ 43-50.
- b. Violations of U.S.C. § 41104(a)(15) – OSRA – Invoice Violations. A-0046, Am. Compl. ¶ 51-55.
- c. Violations of 46 U.S.C. § 41104(a)(14) – OSRA – Unreasonable Charges. A-0047, Am. Compl. ¶ 56-58.

RESPONSE: Admitted to the extent that Peloton's Verified Amended Complaint alleges violations 46 U.S.C. §§ 41102(c), (a)(15), and (a)(14).

¹ This includes 8,191 invoices.

6. Peloton's Verified Amended Complaint seeks reparations from Flexport in connection with the payment of more than 3,200 D&D charges related to 8,191 invoices between 2020 and 2022. A-0044, Am. Compl. ¶ 47.

RESPONSE: Denied. Exhibit "A" contains duplicate invoice entries, does not delineate between detention and demurrage, and includes, without reference, storage and yard charges. CXB-1952-CXB-1955 (Majstorovic Dep.) at 114:1 – 117:8; CXB-1719-CXB-1723, (Peloton 143(b)(6) Dep.) at 232:17 – 236:90; CXD-1439 (Smith Rpt.) at 10, ¶ 25 ("Peloton asserts that [yard storage and warehouse storage] charges were also inappropriately invoiced to Peloton and were included in the total D&D Charges that were listed on the last column in Exhibit A to the Amended Complaint."). Further, the Amended Complaint also sought a cease and desist order, despite the fact that Flexport had stopped provided services to Peloton as an NVOCC two years before the Complaint was filed.

7. On October 24, 2024, the Presiding Officer denied Flexport's Motion to Dismiss and required Flexport to file an Answer by October 29, 2024. A-0245, Order Denying MTD at 1.

RESPONSE: Admitted that the Presiding Officer denied Flexport's MTD as moot and ordered Flexport to file an Answer.

8. On October 29, 2024, Flexport filed its Answer. *See generally* A-0051-78, Verified Answer.

RESPONSE: Admitted.

9. Peloton's direct damages in connection with the more than 3,200 charges that were improperly passed on to Peloton by Flexport have been calculated to total \$33.7 million. D-1469-1589, Expert Report of Gregory E. Smith, Exhibit 1 ("Smith Expert Report"); D-1656-1727, Supplemental Expert Report of Gregory E. Smith ("Smith Suppl. Expert Report").

RESPONSE: Denied. Despite acknowledging that several of the invoices at issue were time-barred, each of Mr. Smith’s Expert Reports improperly includes such charges.

10. Peloton initially sought a cease-and-desist order to prevent Flexport from engaging in further unlawful conduct but subsequently withdrew the request due to the cessation of its business relationship for drayage services. A-0246-0047, Peloton’s Status Report at 1-2.

RESPONSE: Denied for the following reasons. Drayage service ceased two years before the Complaint was filed. CXB-0323, CXB-0446 (Tanner Dep.) at 54:13 – 54:15, 177:5 – 177:7. As such, Peloton knew that there was absolutely no good faith basis to bring the claim for a cease-and-desist order. Further, Peloton did not “initially” seek a cease-and-desist order. Rather, it continued to assert same in its Amended Complaint, Motion to Compel dated January 14, 2025, and Response to Flexport Motion for Protective Order dated March 24, 2025, in order to extend the statute of limitations for discovery purposes. Peloton only agreed – and reluctantly – to withdraw the claim after it could not articulate any reasons for asserting same at the hearing before the Presiding Officer on March 25, 2025.

11. In addition to its direct damages, Peloton also seeks to recover its attorney fees, along with pre- and post-judgment interest. A-0048, Am. Compl. Wherefore Clause ¶ 2; D-1444, Smith Expert Report ¶ 39.

RESPONSE: Admitted that Peloton seeks the identified categories of damages.

II. THE PARTIES

A. Complainant Peloton Interactive, Inc.

12. Peloton is a Delaware corporation with its corporate headquarters located at 441 9th Avenue, 6th Floor, New York, NY 10001. A-0036, Am. Compl. ¶ 1.

RESPONSE: Admitted.

13. Peloton is a “leading global fitness company with a highly engaged community of Members, which [Peloton] defines as any individual who has a Peloton account through a paid Connected Fitness Subscription or a paid App Subscription, inclusive of the Peloton App One and App+ Memberships and the Strength+ App Membership, and completes one or more workouts in the trailing 12 month period.” A-0036, Am. Compl. ¶ 2.

RESPONSE: Admitted that Peloton is a company in the fitness industry.

14. Peloton’s “Connected Fitness Products portfolio includes the Peloton Bike, Bike+, Tread, Tread+, Guide, Row, and various Precor products.” A-0036, Am. Comp. ¶ 2.

RESPONSE: Admitted that Peloton offers various fitness products, many of which have been recalled as unsafe.

15. Due to the international nature of its manufacturing and product sales, Peloton regularly utilizes shipping and other logistics services to transport its materials and products, including containerized ocean shipping between the U.S. and foreign locations (“Peloton Containers”), and as relevant here, “non-vessel operating common carriers” (“NVOCCs”). A-0037, Am. Compl. ¶ 3.

RESPONSE: Flexport is without sufficient knowledge to formulate a response and therefore denied.

B. Respondent Flexport International LLC

16. Flexport is a Delaware corporation with its principal place of business at 760 Market Street, 8th Floor, San Francisco, CA 94102. A-0037, Am. Compl. ¶ 4.

RESPONSE: Admitted.

17. Flexport is an NVOCC pursuant to 46 U.S.C. § 40102(17) and is registered as such with the Federal Maritime Commission (“FMC”) under Org. No. 025219. A-0037, Am. Compl. ¶¶ 5.

RESPONSE: Admitted.

18. As an NVOCC, Flexport is subject to the Shipping Act and the rules and regulations set by the FMC, which include fair and reasonable practices for detention and demurrage (“D&D”). D-0019-0020, Expert Report of Richard Roche (“Roche Expert Report”), ¶¶ 41-45.

RESPONSE: Admitted insofar as Flexport is subject to the rules and regulations set by the FMC in its capacity as an NVOCC for such services. Otherwise denied.

19. As an NVOCC, Flexport did not own any of the assets or equipment that it used to transport Peloton Shipments. D-1740, Expert Report of John McCown, (“McCown Expert Report”) ¶¶ 53-56; B-0066, Flexport Dep. Tr. 143(b)(6) 66:4-6.

RESPONSE: Admitted to the extent that Flexport did not own the assets or equipment used in the movement of shipments that are the subject of this proceeding. Denied that Flexport transported the shipments that are the subject of this proceeding.

20. Flexport CEO Ryan Petersen has characterized the transportation industry as “old school” and “antiquated.”² He has claimed that Flexport differentiates itself from “traditional” NVOCCs by offering new technological solutions that its competitors have never offered.³ See

² *Flexport’s Ryan Petersen on returning as CEO, global logistics in a time of conflict & more | E1881*, 00:36:01, <https://www.youtube.com/watch?v=8SRCW3ls69k&t=3097s>; *The State of Trade: The Year Ahead in Supply Chains Flexport*, 00:49:46, <https://www.youtube.com/watch?v=vf72GoNZDAM> (last visited July 24, 2025).

³ *Flexport CEO on Tariff Drama, Supply Chain Conspiracies, and Hard-Earned CEO Wisdom*, 00:58:39, <https://www.youtube.com/watch?v=ab4xNHw-yGk> (“That’s kind of what’s unique about Flexport. We’re like tech plus human”) (Q: “Can you explain what Flexport does?” A: “Flexport is a technology platform for global logistics”) (last visited July 24, 2025).

also B-0161, Flexport 143(b)(6) Dep. Tr. 161:2-5 (testifying that Flexport is “a NVOCC, but we’re also a tech company”), 163:10-12 (testifying the same); B-1283, Nable Dep. Tr. 32:22-23 (“Flexport is a freight forwarder, customs brokerage, and technology company.”); B-0295, B-0340, B-0366, B-0407, Tanner Dep. Tr. 26:1-2, 71:16-21, 97:20, 138:12-14 (“again, we try to automate as – absolutely as much as possible. That’s why we’re a tech company”).

RESPONSE: Denied. The cited testimony does not support the statement and is completely irrelevant in any event. Further, the YouTube videos referenced are dated January 2024 and March of 2025—at minimum a year and a half after the last shipment at issue in this case—and therefore are not relevant.

21. Flexport CEO Ryan Petersen has claimed that Flexport is “unapologetically demand led, sales led, go get the customer, and tech is always playing catch up as it should be.”⁴

RESPONSE: The YouTube video is dated January 2024—a year and a half after the last shipment at issue in this case—and therefore is not relevant.

III. Flexport Held itself Out as an NVOCC capable of handling Peloton’s Shipments Under Store Door Terms

22. Flexport held itself out as a facilitator of store door cargo moves, stating on its website that it was “[y]our end-to-end supply chain” and capable of exercising end-to-end control over the transportation process.⁵ See C-0353-0368, Breck Dep. Ex. 11 (Advertising Materials); D-0010-0012, Roche Expert Report ¶¶ 1-10 (discussing that Flexport held itself out as providing “store door” service).

⁴ *Building Global Trade Infrastructure with Ryan Petersen, Founder & CEO of Flexport* | S12E, 00:21:33, <https://www.youtube.com/watch?v=M1RXCX1PsFo>, (last visited July 24, 2025).

⁵ <https://www.flexport.com/> (last visited August 13, 2025).

RESPONSE: Denied that Flexport has ever used the term “store door” anywhere or at any time with respect to its services. CXB-2141 (Beyar Dep.) at 94:9 – 94:15; CXB-1595-CXB-1600 (Peloton 143(b)(6) Dep.) at 108:21 – 113:2 (Peloton was unable to identify a single document wherein Flexport used the term “store door”); CXB-3105-CXB-3106, CXB-3257 (Roche Dep.) at 130:19 – 131:3, 283:2 – 283:12 (explaining that the term store door is “very common in the ocean carrier side and not as much used on the NVO side.”). As a global logistics service provider, Flexport provides 21 distinct services to its customers, including ocean, air, transportation brokerage and customs brokerage. CXB-0341 (Tanner Dep.) at 72:14-23.

23. Flexport also advertises on its website that it “is the platform that coordinates global logistics from factory to customer door – empowering businesses to ship anywhere, sell everywhere and grow faster.”⁶

RESPONSE: The quotation is taken from the website 3 years after the relevant time period for this proceeding (June 24, 2025) and therefore it is irrelevant and inadmissible. As a global logistics service provider, Flexport provides 21 distinct services to its customers, including ocean, air, transportation brokerage and customs brokerage. CXB-0341 (Tanner Dep.) at 72:14-23.

24. When an NVOCC moves a shipment under store door terms, the ocean carrier is responsible for arranging transport of a container from the delivery terminal to another location, such as a consignee warehouse. The NVOCC is responsible for the entire transportation process, including pickup, transit, and final delivery. D-0010, Roche Expert Report ¶ 1-2; D-1735, McCown Expert Report ¶¶ 30-33.

⁶ <https://www.flexport.com/> (last visited June 24, 2025).

RESPONSE: Denied. At no time has Flexport ever provided “store door” services for any customer. The term “store door” is only applied in the context of ocean common carriers who have their own truckers and typically own the containers at issue, and not NVOCCs, as readily acknowledged by Peloton’s own Expert, and the Commission. *See Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29664-65 (May 18, 2020); *see also* CXB-3112-CXB-3113, CXB-3119, CXB-3227-CXB-3228, CXB-3241, CXB-3267-CXB-3268, CXB-3257 (Roche Dep.) at 138:22 – 139:13 (testifying that the party issuing a *through bill of lading* is responsible for delivering cargo to the final inland destination, however, Flexport’s bills of lading are not through bills of lading), 145:18 – 145:25 (explaining that the NVOCC is only responsible for demurrage and detention charges it caused), 253:22 – 254:6 (agreeing that under Flexport’s Bill of Lading terms, Flexport’s responsibility for the goods ends at the destination port), 267: 15 – 267:21 (conceding “Peloton had the responsibility to timely unload the containers and set them up for return to the port within the established free time, or they would face the possibility of demurrage if they delayed the -- for whatever reason was their delay.”), 283:2-12 (“it’s very common in the ocean carrier side not as much used on the NVO side.”).

25. The terms “store door” and “port to door” are understood in the shipping industry to be interchangeable. B-1585, Peloton 143(b)(6) Dep. Tr. 98:5-8; B-3072, Roche Dep. Tr. 130:3-18; D-0010, Roche Expert Report ¶ 1.

RESPONSE: Denied. *See Response to CPFF24. See also* CXB-1595-CXB-1600 (Peloton 143(b)(6) Dep.) at 108:21 – 113:2 (Peloton was unable to identify a single document wherein Flexport used the term “store door”); CXB-3257 (Roche Dep.) at 283:2 – 283:12 (explaining

that the term store door is “very common in the ocean carrier side and not as much used on the NVO side.”).

26. NVOCCs often use the term “port to door,” but this term is generally understood in the transportation industry to have the same meaning as “store door.” B-3103-3104, Roche Dep. Tr. 129:25-130:5; D-0016, Roche Expert Report ¶ 39.

RESPONSE: Denied. See Response to CPFF25.

27. The term “store door” is commonly used in the contracting world of ocean common carriers to refer to carrier haulage that includes door-to-door delivery service. D-0010, Roche Expert Report ¶ 1-2.

RESPONSE: Admitted. CXB-3257 (Roche Dep.) at 283:2 – 283:12 (explaining that the term store door is “very common in the ocean carrier side and not as much used on the NVO side.”).

28. This concept is specifically addressed in Section “O” of the FMC’s Interpretive Rule, where the FMC explains that “[i]n a carrier haulage arrangement, also referred to as ‘store door’ delivery or a ‘door move’ or ‘door-to-door’ transportation, the ocean carrier is responsible for arranging transport of a container from the terminal to another location, such as a consignee warehouse. In other words, the ocean carrier provides drayage trucking....” D-0010, Roche Expert Report ¶ 1; B-3103-04, Roche Dep. Tr. 129:25-130:5. The Rule also mentions concerns regarding carrier haulage moves, “especially charging shippers demurrage on carrier haulage moves, under section 41102(c) and will closely examine them in an appropriate case.” D-0010, Roche Expert Report ¶ 1.

RESPONSE: Admitted. As the Commission notes, “store door” refers to drayage provided by ocean carriers.

A. Flexport was Responsible for Moving Peloton Shipments Under Store Door Terms

29. Between 2020 and 2022, Peloton paid Flexport *more than \$188 million in charges* for transporting its cargo, of which a significant portion was ocean freight. D-1435, Smith Expert Report ¶ 14.

RESPONSE: Admitted and completely irrelevant to the issues in this proceeding. *Samsung Electronics America, Inc. v. SM Line Corporation*, FMC Docket No. 23-01, 2025 WL 2231637, at *43 (ALJ Initial Decision May 28, 2025) (explaining that review of “income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis.”).

30. [REDACTED]

[REDACTED] D-0011-0016, D-0018-0019, Roche Expert Report ¶¶ 6-8, 11-27; 36-40; *see, e.g.*, C-0238, Banaszak Dep. Ex. 10 (FLEX-1136147) (Port to Door Freight Quote); C-0236, Banaszak Dep. Ex. 9 (FLEX-1136147) (“Freight Type: Port to door” confirmation email); B-0852, B-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (explaining that ocean transportation includes trucking), 113:25-115:10 (explaining that Flexport’s bill of lading doesn’t show the full transportation movement); C-0346, Breck Dep. Ex. 9 (FLEX-1136147) (Flexport Delivery Order to trucker).

RESPONSE: Denied. The MSA contemplated a variety of services offerings, including air, ocean, land, and customs brokerage. *See* CXC-0028-CXC-0078 (2020 and 2021 MSAs). Neither the MSA nor the quotation for services mandated that ALL such services be

provided. *See* CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”).

31. Flexport’s Senior Director of Compliance Ryan Tanner testified that “[t]he true determination of what services we’re [Flexport] going to offer are what was requested by the client, which was quoted and accepted on that quote, are the services that we’re going to perform.” B-0409, Tanner Dep. Tr. 140:18-21.

RESPONSE: Admitted to the extent that Ryan Tanner testified as described. However, with respect to inland transportation, Tanner further explained that Flexport would facilitate delivery through its services as a property broker. CXB-0410 (Tanner Dep.) at 141:1 – 141:11.

32. Tanner acknowledged that Flexport “would have obligations at origin, along with transportation via steamship line, and then destination portions” and that “depending on the service type, we may have requested to handle inland drayage at destination to officiate delivery.” B-0408-0410, Tanner Dep. Tr. 139:25-140:6, 141:1-17 (testifying that Flexport facilitated moves “from the port to the main location, the door that the client would request us to do so . . . if it says door to door, we’re going to move this from door to door using our various services”).

RESPONSE: Admitted to the extent that Ryan Tanner testified as described. However, with respect to inland transportation, Tanner specifically testified that, if Flexport was retained to also provide inland arrangements, it would facilitate delivery through its services as a property broker. CXB-0410 (Tanner Dep.) at 141:1 – 141:11.

B. The MSAs Between the Parties Used Store Door Terms

33. [REDACTED]

[REDACTED] C-0028-0043, Flexport 143(b)(6) Dep. Ex. 4.

[REDACTED] C-0033, Flexport
143(b)(6) Dep. Ex. 4 at 6.

RESPONSE: Admitted to the extent that the Parties entered into a MSA with effective date June 1, 2020. Otherwise denied; the MSA contemplated a variety of services offerings, including air, ocean, land, and customs brokerage. *See CXC-0028-CXC-0042 (2020 MSA).* Neither the MSA nor the quotation for services mandated that ALL such services be provided. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”).

34. [REDACTED]

[REDACTED] C-0044, Flexport
143(b)(6) Dep. Ex. 4.

RESPONSE: Admitted insofar as the Parties entered into the second MSA. However, none of the shipments were transported pursuant to the “related NSA”, but rather NRAs.

35. [REDACTED]

[REDACTED] C-0037, C-0054, Flexport 143(b)(6) Dep. Ex. 4 at ¶¶17, 20; D-0012, Roche Expert Report ¶ 11.

RESPONSE: Admitted insofar as the Parties entered into the MSAs. However, none of the shipments were transported pursuant to the “related NSA”, but rather NRAs.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

C-0051, Flexport 143(b)(6) Dep. Ex. 4; D-0011, Roche Expert Report ¶ 7.

RESPONSE: Denied. The term “store door” does not appear anywhere on the MSAs. The quoted paragraph does not state that “Flexport would manage Destination Port drayage, Transloading to Full Truckload Shipments (FTL), and trucking or rail transport to the final destination”. *See also* CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”); CXB-1905 (Majstorovic Dep.) at 67:6 – 67:23 (acknowledging that there were instances where Flexport only provided inland transportation while other entities handled the ocean transportation portion of the transit); CXB-1628

(Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRA Y provided the inland transport service for shipments where Flexport provided ocean transport services).

37. [REDACTED]

[REDACTED] B-0148-151, Flexport 143(b)(6) Dep. Tr. 148:1-151:10; *see also* C-0006-25, Flexport 143(b)(6) Dep. Ex. 2 (“Flexport & Peloton Operating Documentation for shipments in the US and Canada” where there is no reference to Flexport acting as a motor broker).

RESPONSE: Denied. The MSA contemplated a variety of services offerings, including air, ocean, land, and customs brokerage. See CXC-0028-CXC-0078 (2020 and 2021 MSAs). Tanner, testifying as Flexport 143(b)(6) Corporate Designee specifically stated that “[Flexport] mov[ed] this as a property broker, we do call that out on every quote, NRA, and invoice.” CXB-0148 (Flexport 143(b)(6) Dep.) at 148:14 – 148:20; *see also* CXE-0005, CXE-0009, CXE-0014, CXE-0018, CXE-0021, CXE-0170, CXE-0174, CXE-0182, CXE-0185, CXE-0188, CXE-0230, CXE-0266 (terms on Flexport Invoices) (“U.S. trucking services are provided by Flexport International, LLC, a FMCSA licensed property broker...”).

38. [REDACTED]

[REDACTED]
[REDACTED] C-0060-0063, Flexport 143(b)(6) Dep. Ex. 4 at Internal Ex. B.1.

RESPONSE: Admitted to the extent that the MSA included separate rate sheets and separate lanes for ocean services and inland transportation services. Flexport submits that this statement supports its defense of the claims asserted herein.

39. Flexport’s practices of pricing both the ocean and inland modes of transportation for Peloton cargo and orchestrating and performing the entire water and inland movements of

Peloton cargo are consistent with the industry definition of a store door move. D-1739, McCown Expert Report ¶ 52; *see also* C-0238, Banaszak Dep. Ex. 10, Freight Quote (Port to Door); C-0236, Banaszak Dep. Ex. 9 (confirmation email “Freight Type: Port to door”); B-0852-0853, B-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (ocean transportation includes trucking), 113:25-115:10 (Flexport’s bill of lading doesn’t show the full transportation movement).

RESPONSE: Denied. Banaszak’s did not testify that “Flexport’s bill of lading doesn’t show the full transportation movement”; he stated only that the “[The Flexport bill of lading] isn’t going to have [the end destination], because this is a bill of lading. It’s a CY to CY. So this is representative of the ocean freight.” CXB-0866-CXB-0868 (Banaszak Dep.) at 112:23 – 114:17; *see also* CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). Denied further on the grounds that Mr. McCown has absolutely zero experience with NVOCCs or global logistics service providers.

C. Flexport’s Shipping Documentation and Operational Practices Demonstrate that Peloton’s Shipments Were Handled under Store Door Terms

40. Peloton initiated each shipment by requesting a quote from Flexport for specific services. B-0068, Flexport 143(b)(6) Dep. Tr. 68:20-23.

RESPONSE: Admitted.

41. When Peloton booked a shipment with Flexport, Flexport emailed a booking confirmation to Peloton that identified the freight type as “port to door.” *See e.g.* C-0236, Banaszak Ex. No. 9 (FLEX-1136147). The email also included an attachment with a detailed quote for port-to-door service, specifying transit times from origin to final destination. D-0010, Roche Expert

Report ¶ 4; *see e.g.* C-0238, Banaszak Ex. 10; B-0850-0851, B-0852, Banaszak Dep. Tr. 96:21-97:1, 98:12-17.

RESPONSE: Denied that the referenced quotation is reflective of each f the thousands of quotations provided by Flexport. Denied further to the extent that the quotation for services did not mandate that ALL such services be provided by Flexport. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). For many shipments, Flexport only provided ocean transportation services and Peloton utilized a separate inland transportation company, such as EDRA Y. CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRA Y provided the inland transport service for shipments where Flexport provided ocean transport services). For other shipments, Flexport had no involvement with the ocean portion at all and only made the inland arrangements. CXB-1641 (Peloton 143(b)(6) Dep.) at 154:3-24.

42. Peloton expected that Flexport would, for each such shipment, provide industry standard store door service on both ocean transportation and domestic drayage legs, including coordinating each leg of the shipment and mediating any delays associated with the movement of the containers. D-0011, Roche Expert Report ¶ 9; B-1935-1936; Majstorovic Dep. Tr. 97:21-25. A-0037, Am. Compl. ¶ 17.

RESPONSE: Admitted to the extent that Roche’s Expert Report quotes excerpts from Peloton’s 143(b)(6) Deposition Transcript discussing Peloton’s “expectations”. However, neither the MSA nor the quotation for services mandated that ALL such services be provided

by Flexport. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). For many shipments, Flexport only provided ocean transportation services and Peloton utilized a separate inland transportation company, such as EDRAY. CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRAY provided the inland transport service for shipments where Flexport provided ocean transport services). For other shipments, Flexport had no involvement with the ocean portion at all and only made the inland arrangements. CXB-1641 (Peloton 143(b)(6) Dep.) at 154:3-24.

43. Flexport employees believed that when arranging the transportation of Peloton Shipments, Flexport was responsible for the entire movement (inland and ocean). B-0048, B-0051, Flexport 143(b)(6) Dep. Tr. 48:6-7; 51:2-8 (testifying that Flexport provided “end-to-end logistics support, including moving cargo” and confirmed that such support “typically involved a shipment of Peloton cargo originating in an overseas location and ending up at a Peloton warehouse or other inland location in the United States”); B-0859, Banaszak Dep. Tr. 105:19-22 (testifying that Flexport used the terms “port-to-door” and “door-to-door” but that those terms are driven by “door Incoterms” that include drayage and other accessorials); B-0054-0055, Peckham Dep. Tr. 56:7-57:4 (testifying that “depending on what Peloton had instructed, Flexport would issue a delivery order to a trucking partner of our choosing, of Flexport’s choosing, to deliver the container and its cargo to Peloton’s designated point of delivery”).

RESPONSE: Denied as stated. Admitted that the testimony reflects what is quoted. However, the record is clear that Flexport did not arrange for both ocean and inland transportation for every shipment at issue. For many shipments, Flexport only provided ocean transportation services and Peloton utilized a separate inland transportation company, such as EDRAI. CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRAI provided the inland transport service for shipments where Flexport provided ocean transport services). For other shipments, Flexport had no involvement with the ocean portion at all and only made the inland arrangements. CXB-1641 (Peloton 143(b)(6) Dep.) at 154:3-24.

44. Flexport used its own subcontractors, including truckers and vessel carriers, to arrange intermodal transportation to facilitate the movement of Peloton Shipments. *See* B-0055, Flexport 143(b)(6) Dep. Tr. 55:6-14; 89:10-90:9; B-0777-0078, B-0802, B-0811, B-0829-0830, Banaszak Dep Tr. 23:24-24:6, 48:4-7, 57:12-17, 75:22-76:2; D-0014-0015, Roche Expert Report ¶¶ 5, 8; D-1734, McCown Expert Report ¶ 27.

RESPONSE: Admit that this statement is true as to some but not ALL of the Peloton Shipments. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). For many shipments, Flexport only provided ocean transportation services and Peloton utilized a separate inland transportation company, such as EDRAI. CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRAI provided the inland transport service for shipments where Flexport provided ocean transport services).

For other shipments, Flexport had no involvement with the ocean portion at all and only made the inland arrangements. CXB-1641 (Peloton 143(b)(6) Dep.) at 154:3-24.

45. Flexport contracted with three primary ocean carriers—YangMing Marine Transport Co, COSCO Shipping Lines Co., Ltd., and Evergreen Shipping Agency (America) Corp.—and thirty-six trucking companies to move Peloton Shipments. *See* A-0154-0240, Ex. A to Am. Compl.; A-0135, Peloton’s Status Report at 6.

RESPONSE: Admit that that Flexport utilized three or four primary ocean carriers – which is completely contrary to what Peloton’s expert opined. CXD-1741 (McCown Rpt.) at 14, ¶ 57 (“Flexport utilized at least 14 different VOCCs to move Peloton loads, i.e. a lack of carrier concentration resulting in inefficacy and unnecessary demurrage and detention charges for Peloton”).

46. The relationships with the subcontractors, including the contractual relationship itself and all direction and coordination, were managed entirely by Flexport on Peloton’s behalf. B-0771, B-0925-0927, B-0590, Banaszak Dep. Tr. 17:3-14, 171:2-8, 172:21-173:5, 173:13-20, 196:9-12; B-1688, Peloton 143(b)(6) Dep. Tr. 201:2-7 (“Flexport would have direct communications with the carriers and set the rates directly with their underlying carriers”).

RESPONSE: Denied with respect to direction and coordination. CXB-0055-CXB-0056, CXB-0096 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are “working for Flexport, but... [i]t’s [Peloton’s] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for Peloton, they’re giving instructions. Peloton’s controlling the trucker by instructions to drop at a location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy

hand in dictating what that trucker does as an operating partner.”), 96:4 – 96:18 (the procedure for scheduling delivery with the warehouse was for “the trucker’s dispatch team [to] reach out to the respective Peloton warehouse contact to schedule a delivery appointment.”); CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRA Y provided the inland transport service for shipments where Flexport provided ocean transport services); CXB-2194 (Beyar Dep.) at 147:1 – 147:4 (confirming that Peloton hired EDRA Y to manage transportation from the port to destination). CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6; 177:19 – 178:1 (testifying that Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty).

47. Peloton was not a party to Flexport’s contracts with truckers, vessel carriers, or other subcontractors and was completely reliant on Flexport to manage those arrangements. B-0060, B-0089, Flexport 143(b)(6) Dep. Tr. 60:23, 89:10-20 (“[f]or the containers that Peloton contracted with Flexport to move, as an NVOCC, we are a contractor carriage. Flexport contracted with the master carrier for the ultimate movement of the goods, physical movement of the goods”); B-1687, Peloton 143(b)(6) Dep. Tr. 200:5-16 (“Acting in their capacity as an NVOCC, Flexport would have had and made the arrangements directly with the underlying carriers...[w]e did not interact with the underlying carriers”).

RESPONSE: Admitted to the extent that Peloton was not a party to the contracts with truckers, vessel carriers, or other subcontractors. Otherwise denied. CXB-0055-CXB-0056, CXB-0096 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are “working for Flexport, but... [i]t’s [Peloton’s] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for

Peloton, they're giving instructions. Peloton's controlling the trucker by instructions to drop at a location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy hand in dictating what that trucker does as an operating partner.”), 96:4 – 96:18 (the procedure for scheduling delivery with the warehouse was for “the trucker’s dispatch team [to] reach out to the respective Peloton warehouse contact to schedule a delivery appointment.”); CXC-0006-CXC-0025 (Ex. 2 to Flexport 143(b)(6) Dep.); CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRA Y provided the inland transport service for shipments where Flexport provided ocean transport services); CXB-2194 (Beyar Dep.) at 147:1 – 147:4 (confirming that Peloton hired EDRA Y to manage transportation from the port to destination); CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6; 177:19 – 178:1 (testifying that Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty).

48. Flexport made all decisions related to usage of its subcontractors: if shipments should be transloaded at Flexport warehouses, when pick-up appointments should be made, where chassis could be sourced, if free time could be waived or extended, and which trucking company should be used. B-0054-0055, Flexport 143(b)(6) Dep. Tr. 54:6-55:20; B-0410, Tanner Dep. Tr. 141:1-17; B-0925, Banaszak Dep. Tr. 17,1:9-14.

RESPONSE: Denied. CXB-0931-CXB-0932 (Banaszak Dep.) at 177:7 – 177:10 (“[Peloton] could book transloads.”), 178:6 – 178:16 (Not aware of a single instance where Flexport transloaded a shipment either without informing and/or receiving prior authorization from Peloton); CXB-2189 (Beyar Dep.) at 142:9 – 142:15 (stated that in his review of he “did not see any explicit communication from Peloton instructing Flexport to transload or not to

transload.”); CXB-0605-CXB-0606 (Peckham Dep.) at 107:24 – 108:25 (describing instances wherein truckers would be attempting to make appointments to deliver the containers and “at times it might be difficult to get a response from the Peloton warehouse or they would give [Flexport] appointments that are far out, like into the future a couple weeks or couple days.”); CXB-0055-CXB-0056, CXB-0096, CXB-0188-CXB-0189 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are “working for Flexport, but... [i]t’s [Peloton’s] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for Peloton, they’re giving instructions. Peloton’s controlling the trucker by instructions to drop at a location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy hand in dictating what that trucker does as an operating partner.”), 96:4 – 96:18 (the procedure for scheduling delivery with the warehouse was for “the trucker’s dispatch team [to] reach out to the respective Peloton warehouse contact to schedule a delivery appointment.”), 188:6 – 189:5 (testifying that Flexport “would go to the master carrier, or the marine terminal operator,” and request a waiver or extension of free time and if successful “[Flexport] would pass that on to Peloton...” and further that “Flexport didn’t facilitate the chassis itself...”); CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRA Y provided the inland transport service for shipments where Flexport provided ocean transport services); CXB-2194 (Beyar Dep.) at 147:1 – 147:4 (confirming that Peloton hired EDRA Y to manage transportation from the port to destination); CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6; 177:19 – 178:1 (testifying that Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty).

49. Flexport even determined the ports where Peloton Shipments would be sent. B-0919, Banzasak Dep. Tr. 165:1-25.

RESPONSE: Admitted.

50. Flexport, as the NVOCC, obtained allocations and dedicated space on ocean vessels for clients such as Peloton. B-0905-0906, Banzasak Dep. Tr. 151:18-152:2.

RESPONSE: Admitted.

51. When Peloton Shipments arrived at marine terminals, they remained under the care and custody of master carriers with whom Flexport contracted. B-0089-0090, Flexport 143(b)(6) Dep. Tr. 89:22-90:9.

RESPONSE: Admitted.

52. Flexport subsequently hired, paid, communicated with, and issued instructions and delivery orders to truckers to pick up Peloton's containers from the marine terminal and deliver them to Peloton's designated delivery location. B-0052, B-0055, Flexport 143(b)(6) Dep. Tr. 52:6-10, 55:7-10; B-0915, Banaszak Dep. Tr. 161:1-3; *see e.g.* C-0346, Breck Dep. Ex. 9.

RESPONSE: Admitted; however, Peloton was involved in communicating with truckers as to what time to deliver containers to Peloton's designated delivery location. CXB-0055-CXB-0056, CXB-0096 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are “working for Flexport, but... [i]t's [Peloton's] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for Peloton, they're giving instructions. Peloton's controlling the trucker by instructions to drop at a location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy hand in dictating what that trucker does as an operating partner.”), 96:4 – 96:18 (the

procedure for scheduling delivery with the warehouse was for “the trucker’s dispatch team [to] reach out to the respective Peloton warehouse contact to schedule a delivery appointment.”); CXC-0006-CXC-0025 (Ex. 2 to Flexport 143(b)(6) Dep.)

53. Flexport had the ability to influence whether its truckers would free up capacity for Flexport customers. E-0022, FLEXPORT 00007747 (Flexport recorded under “WIP learnings” that “JC transport will fire some customers and free up capacity if we ask”).

RESPONSE: Denied. The referenced document is an internal dialogue addressing several matters, including how best to serve Peloton. The document has no context and no question was ever posed to any of the seven (7) Flexport witnesses regarding same.

54. Flexport had the ability to influence whether its truckers prioritized Peloton Shipments in order to reduce detention charges. E-0023-0029, FLEXPORT 000016879-16885 (Flexport asking JCT to prioritize unloading the list in storage and return empties because “we’d like to stop the clock on additional detention charges as soon as possible”).

RESPONSE: Denied to the extent that this is a generalization as to Flexport’s ability. The cited email correspondence is for a particular list of containers at a specified time during its relationship with Peloton.

55. Flexport tracked each stage of every shipment, monitoring key milestones such as the cargo ready date, container pickup at the origin, and delivery to the departure port. B-1048, Breck Dep. Tr. 69:21-22 (“Our data that we have stems from carrier integration, terminal integrations.”). The company maintained detailed records as containers moved through various locations—whether at sea, on rail, or at intermediary ports—until reaching their final U.S. destinations. B-0365, Tanner Dep. Tr. 96:1-17; B-1078-107:9, Breck Dep. Tr. 99:23-100:19. Important dates—including the container’s gate-out, last free day at the port, final delivery to the

customer, and the empty return date—were all logged in the Flexport platform by Flexport employees. B-1049, Breck Dep. Tr. 70:7-14.

RESPONSE: Admitted.

56. Flexport’s trucking partners provided real-time shipment status updates through Flexport’s Transmission platform. Information entered by truckers was submitted electronically using the Transmission system. A-0242, Declaration of Ryan Tanner (“Tanner Decl.”) ¶¶ 9-12. This data then flowed directly into Flexport’s core logistics platform, ensuring every update was promptly recorded and accessible. F-0063-0065, Peloton v. Flexport; Subpoena.

RESPONSE: Admitted that the truckers utilized by Flexport had the ability to enter real-time shipment status updates and that this information could be submitted through “Transmission” which then flowed directly into “Core”. CXA-0242 (Tanner Decl.) at 2, ¶¶ 9-12.

57. Although Peloton would occasionally communicate directly with a trucker regarding final-end delivery, this was only facilitated through Flexport’s contractual relationship with the trucker. B-0064-0065, Flexport 143(b)(6) Dep. Tr. 64:23-65:2-8 (testifying that Flexport required its truckers to work with Peloton on delivery, because it was part of the services that Flexport contracted for with its truckers).

RESPONSE: Denied to the extent that the communication between Peloton and truckers is described as occasional in nature. CXB-0055-CXB-0056, CXB-0063-CXB-0065, CXB-0096 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are “working for Flexport, but... [i]t’s [Peloton’s] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for Peloton, they’re giving instructions. Peloton’s controlling the trucker by instructions to drop at a

location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy hand in dictating what that trucker does as an operating partner.”), 63:21 – 65:11 (testifying that “Peloton has the rights to instruct the trucker, not by contract, but they have the right to. ... [Peloton is] directing the trucker when they can drop the container, when they can arrive for a live unload, when the container is available for empty return.” And explaining that Flexport instructed the truckers to follow the instructions from Peloton “because that is how Peloton ha[d] advised Flexport to conduct their business on their behalf...”), 96:4 – 96:18 (the procedure for scheduling delivery with the warehouse was for “the trucker’s dispatch team [to] reach out to the respective Peloton warehouse contact to schedule a delivery appointment.”); CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6; 177:19 – 178:1 (testifying that Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty).

58. Flexport expressly told Peloton that their truckers would not work directly with Peloton. E-0030-0031, FLEXPORT 00000985 (email from Reid Breck (Flexport) to Angad Gadhok (Peloton) stating, “[d]ue to the motor carrier agreements in place and conflict of interest our core carriers will not work directly unfortunately”).

RESPONSE: Denied as the quote is taken out of context and is therefore misleading. A review of the full email chain demonstrates that Peloton, based on a list purportedly provided by Fedex, was attempting to contact Flexport’s vendors directly regarding rate negotiations, which as stated by Peloton in the email had nothing to do with business handled by Flexport. In response, Flexport explained that “[d]ue to the motor carrier agreements in place and conflict of interest our core carriers will not work directly unfortunately.” *See also* CXB-

0055-CXB-0056, CXB-0063-CXB-0065, CXB-0096 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are “working for Flexport, but... [i]t’s [Peloton’s] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for Peloton, they’re giving instructions. Peloton’s controlling the trucker by instructions to drop at a location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy hand in dictating what that trucker does as an operating partner.”), 63:21 – 65:11 (testifying that “Peloton has the rights to instruct the trucker, not by contract, but they have the right to. ... [Peloton is] directing the trucker when they can drop the container, when they can arrive for a live unload, when the container is available for empty return.” And explaining that Flexport instructed the truckers to follow the instructions from Peloton “because that is how Peloton ha[d] advised Flexport to conduct their business on their behalf...”), 96:4 – 96:18 (the procedure for scheduling delivery with the warehouse was for “the trucker’s dispatch team [to] reach out to the respective Peloton warehouse contact to schedule a delivery appointment.”).

59. For each of Peloton’s shipments, Flexport issued an invoice that charged both ocean and inland freight, as well as D&D, based on Flexport’s tariff. C-0139-41, Tanner Dep. Ex. 10 (Flexport’s Detention Tariff); C-0136-0038, Tanner Dep. Ex. 9 (Flexport’s Demurrage Tariff); C-0108, Flexport 143(b)(6) Dep. Ex. 9 (consolidated invoice); C-0171, Peckham Dep. Ex. 8 (Flexport consolidated invoices); C-0192-0096, Peckham Dep. Ex. 12 (email discussing Flexport’s invoicing discrepancies).

RESPONSE: Denied. Flexport issued several invoices during the relevant time period and each shipment did NOT include both ocean and inland freight, and D&D charges. CXB-

0402-CXB-0404,CXB-0408-CXB-0409 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”), 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). Further denied on the ground that neither ocean nor inland freight were based on Flexport’s Tariff. Flexport’s Rules Tariff set forth the rates for D&D.

60. Flexport directly billed and collected all charges from Peloton for Peloton Shipments, including any additional fees related to the shipments. B-0565-0566, Peckham Dep. Tr. 67:13-68:14; B-0781, Banaszak Dep. Tr. 27:11-14.

RESPONSE: Denied. For several shipments, EDRA Y billed Peloton or Flexport.

61. Peloton did not receive invoices directly from Flexport’s service providers for any charges; all billing was handled exclusively by Flexport. B-0565-566, Peckham Dep. Tr. 67:13-68:14; B-0781, Banaszak Dep. Tr. 27:11-14.

RESPONSE: Admitted.

IV. NVOCCs, Including Flexport, Began Experiencing Significant Supply Chain Disruptions During the Pandemic

62. Between 2020 and 2022, supply chain disruptions accelerated and brought attention to longstanding issues with the flow of cargo and the assessment of D&D charges by ocean carriers. *See* Fact Finding No. 29 Final Report.

RESPONSE: Admitted.

63. Under Commissioner Rebecca Dye, the FMC began actively investigating D&D practices, including through Fact Finding No. 28. <https://www.fmc.gov/detention-and-demurrage/>.

RESPONSE: Admitted.

64. By May 18, 2020, the findings from Fact Finding No. 28 prompted the issuance of the Interpretive Rule on Demurrage and Detention under the Shipping Act. Interpretive Rule, 85 Fed. Reg. 29638, <https://www.federalregister.gov/documents/2020/05/18/2020-09370/interpretive-rule-on-demurrage-and-detention-under-the-shipping-act> (the “Interpretive Rule”).

RESPONSE: Admitted.

65. The Interpretive Rule established the “Incentive Principle,” which explained how the FMC viewed existing precedent and principles of reasonableness as applied to D&D. *Id.* at ¶ III.B.4.e. D-0019-21, Roche Expert Report ¶¶ 40, 48, 49.

RESPONSE: Admitted, but denies that the Commission needs an expert opinion on this.

66. The Incentive Principle reflects the statutory mandate of 46 U.S.C. § 41102(c), which requires that a common carrier, marine terminal operator or ocean transportation intermediary “may not fail to establish, observe, and enforce just and reasonable regulations and practices” related to the handling and delivery of cargo. 46 U.S.C. § 545.5(a).

RESPONSE: Admitted.

67. The Interpretive Rule states that D&D “are valuable charges when applied in ways that incentivize cargo interests to move cargo promptly from ports and marine terminals,” and that “[a]ll international supply chain actors could benefit from transparent, consistent, and reasonable demurrage and detention practices, which would improve throughput velocity at U.S. ports, allow for more efficient use of business assets, and result in administrative savings.” Fact Finding No. 28, Final Report at 32.

RESPONSE: Admitted.

68. The FMC adopted the Interpretive Rule as a formal standard to provide clarity and consistency in evaluating D&D practices and to reinforce the FMC’s commitment to ensuring that D&D practices are fair and reasonable. Fact Finding No. 28, Final Report at 32.

RESPONSE: Admitted.

69. On March 31, 2020, the Commission also undertook Fact Finding No. 29 in order to identify operational solutions to cargo delivery system challenges related to COVID-19. Fact Finding No. 29, Final Report at 4.

RESPONSE: Admitted.

70. In Fact Finding No. 29, the Commission confirmed that the Interpretive Rule serves as a binding framework for evaluating whether demurrage and detention practices are reasonable under 46 U.S.C. § 41102(c). Fact Finding No. 29 Final Report at 46.

RESPONSE: Admitted.

71. In the Commission’s final report for Fact Finding No. 29, it stated that the “Interpretive Rule *is not merely guidance*. We have issued several ‘guidance statements’ as part of Fact Finding 29, and they are useful regulatory tools. But the Interpretive Rule acts as the ‘interpretation’ of demurrage and detention charges as potential ‘unreasonable practices’ under section 41102(c) of Title 46, United States Code. *The Interpretive Rule is the basis for Commission investigations of potential violations of section 41102(c) against ocean carriers for unreasonable practices regarding demurrage and detention.*” Fact Finding No. 29, Final Report at 46. (emphasis added).

RESPONSE: Admitted as to the text of the Interpretive Rule but as to the emphasis added.

72. During the COVID-19 pandemic, U.S. ports were suffering from supply chain disruptions from multiple causes, including “COVID-19, extreme weather events and the blockage

of the Suez Canal.” D-1435, Smith Expert Report ¶ 15. These disruptions were also caused by a “shortage of truck drivers and truck chassis.” D-1435, Smith Expert Report ¶ 16; B-0387, Tanner Dep. Tr. 118:6-14.

RESPONSE: Admitted, but denies that the Commission needs an expert opinion on this. Further,

73. The FMC took note of these supply chain issues and their impact on demurrage and detention. Fact Finding 29, Final Report at 45.

RESPONSE: Admitted.

74. During the COVID-19 pandemic, increased D&D charges reflected supply chain issues that affected ports and shippers across the U.S. D-1435, Smith Expert Report ¶ 15.

RESPONSE: Admitted that this opinion was stated in the Expert Report of Gregory Smith. Also denies that the Commission needs an expert opinion on this.

75. For example, “during the period between 2020 and 2022, Peloton incurred demurrage and detention charges from Flexport totaling \$795,000 in 2020, \$19.8 million in 2021, and \$9.4 million in 2022.” D-1435, Smith Expert Report ¶ 15.

RESPONSE: Denied. Peloton has no basis for the asserted statement. Further denied in that this is “an example” that the D&D charges reflected supply chain issues. The public record is clear that Peloton imported a considerable amount more shipments during the Pandemic and had capacity issues at its warehouses, which led to increased D&D.

76. Flexport recognized that it was responsible for navigating port congestion to remove Peloton’s containers by employing measures such as communicating and partnering with marine terminals, booking shipments with ocean carriers going to less congested ports, and

designing “bots” to detect empty return and appointments slots. E-0022, Flexport 00007747 (Flexport’s “Port Congestion Tactical Action” Plan).

RESPONSE: Denied. Flexport’s “Plan” was to provide the best service to its customers.

77. A cross-functional team at Flexport met daily to discuss specific bottleneck categories: Monday – Trucking; Tuesday – Ocean carriers; Wednesday – Terminal; Thursday – Warehouse/Transloads, Client; and Friday – Yard Space/Chassis. E-0022, Flexport 00007747.

RESPONSE: Admitted that Flexport expended considerable efforts to provide exceptional service to Peloton.

78. Despite widespread congestion and known logistical bottlenecks during the relevant period, Flexport continued to accept Peloton’s bookings without limitation. E-0022, Flexport 00007747 (noting “we have no marketplace inventory so trans loads are sold without taking into account limited capacity. Demand runs wild with this” and “Our Alternative of Carrier cuts and booking acceptance stops is not an option”).

RESPONSE: Denied in that the quotation bears no relation to the illogical statement asserted. Admitted to the extent that Flexport provided logistics services during the relevant time period in accordance with Peloton’s requests and instructions. CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”), CXB-0341 (Tanner Dep.) at 72:14-18 (“All in all, Flexport provides over 21 unique product services. So we are an end-to-end supply chain solution specialist, whether you’re using us as NVOCC, freight forwarder, customs broker, or warehouseman.”).

79. For example, under the bottleneck category “Ocean Carrier,” the cross-functional team was tasked with “clear prioritization of carrier containers pickup based on total volume cut and booking stop impact/risk.” E-0022, Flexport 00007747.

RESPONSE: Denied to the extent that this allegation is based on a line in a spreadsheet with no supporting testimony and further, Flexport is unable to decipher the context of the statement or why this is relevant to the issues in the instant proceeding.

80. In fact, Flexport continually sought additional capacity for Peloton, even while other NVOCCs and carriers were rejecting bookings—and even while Flexport itself was rejecting shipments from other customers. B-0875-0876, B-0940-0941, Banaszak Dep. Tr. 121:14–122:9, 186:6–187:1.

RESPONSE: Admitted. Flexport agrees with Peloton’s proposition that Flexport prioritized Peloton’s shipments and bent over backwards to provide services for it.

81. Despite the pandemic-related supply chain issues, Flexport continued to assess D&D to Peloton based on its tariffs, NSAs, and contracts. B-0387-0391, Tanner Dep. Tr. 118:25-122:11 (“[I]t wouldn’t have mattered if there was a pandemic or otherwise.”).

RESPONSE: Denied as written. The NSA was a typo and should have read “MSA”. However, Flexport also relied on the governing NRAs and MSA. See CXB-0387-CXB-0388, CXB-0390 (Tanner Dep.) at 118:25 – 119:8, 121:6-10; CXB-0086 (Flexport 143(b)(6) Dep.) at 86:18-25.

V. Unjust and Unreasonable Practices

A. Flexport’s Failure to Apply the Incentive Principle in D&D Charges

82. Flexport considered the Incentive Principle to be a “guideline”.

Q. Does the FMC’s incentive principle have any bearing for the reason on Flexport’s charges for the demurrage assessed on Peloton?

A. I'm glad you brought up the incentive principle because we, at Flexport, haven't used the incentive principle as a defense. ***We can talk to the incentive principle. It's a guideline. But the incentive principle is there for the FMC.*** They implemented the incentive principle so a detention and demurrage can be used to help ensure the free-flowing movement of freight. The FMC has the incentive principle so that carriers can utilize detention and demurrage to ensure that freight moves. So does the incentive principle come into play when we are determining whether to assess detention and demurrage? We follow every one of the FMC's rules and regulations when it comes to the assessment of demurrage, ***and if the incentive principle and the guidelines were to come into play, then, yes, we would look at that***

B-0179, Flexport 143(b)(6) Dep. Tr. 179:8-25.

RESPONSE: Admitted that the testimony is accurate.

83. Flexport employees who were directly responsible for assessing and charging D&D testified that they did not receive training on the Incentive Principle or Interpretive Rule. B-0779, B-0781, Banaszak Dep. Tr. 25:22-24; 27:11-14 (testifying that he never received any training from Flexport on the Incentive Principle, despite managing the operations team that handled invoices for D&D charges); B-0715, Peckham Dep. Tr. 217:2-14; B-1330, Nable Dep. Tr. 79:4-5.

RESPONSE: Denied. Mr. Banaszak managed a team of operations associates from July 2017 – April of 2020, which is prior to the Incentive Principle. CXB-0768-CXB-0769 (Banaszak Dep.) at 14:24 – 15:5. Additionally, he was an account manager from April of 2020 to July 2021, and he explicitly testified that during his tenure as an account manager he did not handle any billing. CXB-0769-CXB-0770, CXB-0780 (Banaszak Dep.) at 15:23 – 16:4; 26:22-25. Further, Ms. Nable's team was not responsible for assessing or charging D&D, rather they would address specific charges if asked to do so by Peloton CXB-1289-CXB-1290, CXB-1318 (Nable Dep.) at 67:2-10; at 38:24 – 39:2 (amount of freight charges assessed for Peloton between 2020-2023 were "not in [her] knowledge").

84. The only employee training materials produced by Flexport were four partial videos, each approximately one minute long, on the topics of Demurrage, Detention, Empty Returns and Proofs of Delivery, and Arrival/Delivery Review, none of which discuss the Incentive Principle or specific factors for employees to consider in assessing the reasonableness of D&D charges. E-0034, Flexport Demurrage Training Video (produced by Flexport without bates numbering); E-0261, Detention Training Video; E-0262, Empty Returns and PODs Training Video; E-0263, Overview Training Video.

RESPONSE: Admitted.

85. Flexport's detention training video expressly states that Flexport "should try to avoid detention as much as possible, as the daily charges will grow to become costly and the client will need to pay." E-0261, Flexport Detention Training Video (produced by Flexport without Bates numbering).

RESPONSE: Admitted.

86. Flexport's evaluation of D&D charges and decisions to dispute carrier-issued D&D invoices were limited almost exclusively to instances involving data entry errors. B-0632, Peckham Dep. Tr. 134:2-9 ("[A] common practice would be to make sure that the data within Core [sic] is accurate. So there might be a date that's wrong or something like that if you see a charge that doesn't look right."). B-0633-0635, Peckham Dep. Tr. 135:19-137:3; B-0166-0167, Flexport 143(b)(6) Dep Tr. 166:21-167:25.

RESPONSE: Denied. CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived);

CXB-0166-CXB-0167 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”).

87. Rather than proactively addressing or disputing D&D charges with service providers, Flexport delegated this responsibility to its truckers. Flexport relied on the truckers to evaluate the validity of the charges and to challenge them when necessary, instead of handling this responsibility itself. A-0242, Tanner Decl. ¶¶ 9-12; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18.

RESPONSE: Denied. No where in Mr. Tanner’s Declaration does it state or even insinuate that “Flexport relied on the truckers to evaluate the validity of the charges and to challenge them when necessary”. Further, the cited excerpt of Flexport’s 143(b)(6) Deposition explains a single example of when a trucker requested the last free to be extended. CXB-0210-CXB-0211 (Flexport 143(b)(6) Dep.) at 210:9 – 211:25 (“Without seeing the rest of the shipment file to know the entirety of the story, yes, this would be an example of a mitigation action that we would take by trying to have the last free day extended, yes.”). See also CXB-0173 (Flexport 143(b)(6) Dep.) at 173:3-9 (“The operations associates throughout the operation of the shipment would, to the best of their ability, actively try to mitigate or avoid demurrage at the terminal, ... [i]f they extended the last free day, then we would pass that extension along to the client.”).

88. Flexport assumed that Peloton was responsible for D&D charges in all circumstances. B-0668, Peckham Dep. Tr. 170:7-16 (Q. So how would you determine if Peloton

was responsible for detention and demurrage charges? A. I mean, *the assumption is it is their responsibility always.*) B-0192-0193, Flexport 143(b)(6) 192:9-193:8.

RESPONSE: Denied. Prior to the cited statement by Mr. Peckham, he explained that in reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived. CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21. Further, the cited excerpt of Flexport’s 143(b)(6) Deposition supports Flexport’s position, as the corporate designee specifically testified that “Flexport, to the best of its ability, would attempt to mitigate the demurrage by reaching out to the master carrier or the marine terminal operator explaining the situation of no available chassis and asking them to waive last free day, and, if successful, we would then pass that on to Peloton.” *See also* CXB-0402-CXB-0404 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”).

B. Flexport’s Unreasonable Application of D&D Charges under Its Tariff and Questions of Reasonableness

89. NVOCCs are required by the FMC to publish and maintain publicly accessible tariffs that detail all rates, charges, classifications, rules, and practices for their ocean freight services. 46 C.F.R. § 520.3.

RESPONSE: Denied. The FMC’s requirement applies solely to Rules Tariffs, and then only if the NVOCC uses NRAs. 46 C.F.R. § 520.13(e) (“NVOCC Negotiated Rate Arrangements. An NVOCC that satisfies the requirements of part 532 of this chapter is exempt from the requirement in this part that it include rates in a tariff open to public inspection in an

automated tariff system.”); 46 C.F.R. § 532.4 (“Before entering into NRAs under this Part, an NVOCC must provide electronic access to its rules tariffs to the public free of charge.”)

90. Flexport publishes its tariff through the tariff publisher Distribution Publications, Inc. FMC OTI List, <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti>.

RESPONSE: Admitted that Flexport publishes its Rules Tariff.

91. Flexport’s practices related to D&D charged pursuant to its rules tariff are regulated by the FMC. D-0019, Roche Expert Report ¶ 43; D-1740, McCown Expert Report ¶¶ 53, 55.

RESPONSE: Admitted insofar as Flexport is subject to the rules and regulations set by the FMC in its capacity as an NVOCC for such services. Denied that the FMC is assisted by expert testimony on this.

92. Under Flexport’s rules tariff, Flexport does not pass through D&D charges from service providers. Instead, it applies its own D&D rates and charges to customers like Peloton. B-1045, Breck Dep. Tr. 66:5-12; B-0154, Flexport 143(b)(6) Dep. Tr. 154:6-11.

RESPONSE: Admitted.

93. Flexport’s D&D rates were higher than those of most vessel-operating common carriers. D-1742, McCown Expert Report ¶ 61; D-0021, Roche Expert Report ¶ 51. As a result, Flexport applied markups on D&D charges ranging from 19% to 29% under its tariff and passed the charges directly to Peloton without any inquiry or oversight. D-1742, McCown Expert Report, ¶ 61 (Flexport’s tariff was between 19%-29% higher than the vessel carrier ZIM); D-0025-D-0026, Roche Expert Report ¶¶ 65-67.

RESPONSE: Denied for several reasons. First, the cited portion of the Roche Report does not state anywhere anything about the D&D rates being higher than any VOCCs, let alone “most”. Second, the McCown report also does not contain any reference to the rates of “most

VOCCs” either. Third, the cited references in the McCown report references only that Flexport’s D&D rates were higher than Zim’s. Fourth, while this is denied, Mr. McCown provides absolutely no basis for this contention at all – no source, no evidence. Finally, even if this unsupported argument from counsel was true, it is completely irrelevant what other carriers (either NVOCCs or VOCCs) charged.

94. If the D&D charges invoiced by service providers surpassed Flexport’s own D&D rates, Flexport passed these excess costs onto its customers, including Peloton. *See* C-0136, Flexport Demurrage Tariff, Note 1 (“If demurrage charges invoiced by the underlying ocean carrier exceed charges provided herein, all additional charges incurred will be for the account of the cargo.”); C-0140, Flexport Detention Tariff, Note 2 (“If detention charges invoiced by the underlying ocean carrier incurred will be for the account of the cargo”); D-1744-D-1745, McCown Expert Report ¶ 68.

RESPONSE: Denied. Flexport, in accordance with its tariffs, *could have* passed on the excess costs to Peloton, however, it did not do so. CXB-0164-CXB-0165 (Flexport 143(b)(6) Dep.) at 164:24 – 165:25 (“That one set demurrage rule and tariff rate that is not impacted, ... regardless of what we are going to get invoiced, whether it’s -- whatever, it does not, at that time of calculation, play into anything because that rule, that program, is pulling from our hardcoded tariff, and that’s set in stone and very rarely changes.”).

95. This model allowed Flexport to not only recover costs, but also profit from the D&D charges imposed, mitigate its own risk, and offload costs onto its customers, including Peloton. D-0011, Roche Expert Report ¶¶ 54–55; D-1745, McCown Expert Report ¶ 70.

RESPONSE: Denied. CXB-0164-CXB-0165 (Flexport 143(b)(6) Dep.) at 164:24 – 165:25 (“That one set demurrage rule and tariff rate that is not impacted, ... regardless of what we

are going to get invoiced, whether it's -- whatever, it does not, at that time of calculation, play into anything because that rule, that program, is pulling from our hardcoded tariff, and that's set in stone and very rarely changes.”).

96. Flexport's tariff model eliminates any risk from discrepancies in free time by defining the last free day as whichever date is used by the carrier or terminal billing Flexport. D-1744-45, McCown Expert Report ¶ 68; B-0172, Flexport 143(b)(6) Dep. Tr. 172:4-18.

RESPONSE: Denied. CXB-0164-CXB-0165 (Flexport 143(b)(6) Dep.) at 164:24 – 165:25 (“That one set demurrage rule and tariff rate that is not impacted, ... regardless of what we are going to get invoiced, whether it's -- whatever, it does not, at that time of calculation, play into anything because that rule, that program, is pulling from our hardcoded tariff, and that's set in stone and very rarely changes.”).

97. Flexport's D&D rates were untethered from any actual cost incurred. B-0165, Flexport 143(b)(6) Dep. Tr. 165:6-18 (“It doesn't matter what underlying carrier or port that Flexport uses That one set demurrage rule and tariff rate that is not impacted, regardless, regardless of what the underlying carrier is”); D-1742-43, McCown Expert Report ¶ 61 (Flexport's tariff was between 19%-29% higher than the vessel carrier ZIM), ¶ 64 (“Peloton's actual experience with Flexport resulted in demurrage and detention invoices relative to revenue that were 17.7 times higher than the overall industry experience”).

RESPONSE: Denied. CXB-0440 (Tanner Dep). at 171:14-21 (In determining Flexport's detention charges, “[the oceans network team] would decide, very similarly, based on detention rates that are charged or assessed to Flexport, what the weight average is. Sometimes it's less than our charge. Sometimes it's more than our charge. It's a weighted

average. They determine that, and we review that and publish it.”). Furthermore, denied as there is no basis for “overall industry”.

C. Flexport’s Tariff Is Inconsistent with Statutory Law and FMC Procedure

98. Flexport automatically charged Peloton for D&D generated by its rules tariff in the same way for port-to-door, door-to-door, and port-to-port services. B-0408, Tanner Dep Tr. 139:1-16.

RESPONSE: Denied. The cited testimony explains that detention and demurrage is *assessed*—not charged—the same irrespective of the service provided by Flexport. CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D&D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived); CXB-0166-CXB-0167 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0402-CXB-0404 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”).

99. Flexport was obligated to adhere to the Shipping Act and FMC regulations with regard to its D&D practices. D-0019-0020, Roche Expert Report ¶¶ 41-45; D-1740, McCown Expert Report ¶¶ 53, 55.

RESPONSE: Admitted. Denied that the Commission is assisted by expert opinions in this regard.

100. However, Flexport followed its rules tariff in all circumstances. B-0171, Flexport 143(b)(6) Dep. Tr. 171:1-6 (“The term policy, as I use it – and I’m a stickler for that one – no. Our policy on the assessment of demurrage is our rules tariff. That is our policy. The policy of which we play by is our rules tariff and the FMC regulations. There is nothing needed more than that”); B-0377, Tanner Dep. Tr. 108:9-15 (“Again, based on the way that we built our platform, we don’t necessarily have a policy because we relied on our rules tariff, which the logic of our rules tariff is built into our platform hard-coated (sic) with guard rails to ensure compliance. So no, we didn’t necessarily need or require a new internal policy”).

RESPONSE: Denied. The testimony quoted by Peloton of Flexport’s Corporate Designee expressly states Flexport’s policy on assessment is based on the “rules tariff AND the FMC regulations.” (emphasis added).

101. Flexport did not modify the fees it charged for D&D under its own rules tariff in light of the congestion and other circumstances arising from the pandemic. B-0447, Tanner Dep. Tr. 178:15-20; B-0086, Flexport 143(b)(6) Dep. Tr. 86:13-25.

RESPONSE: Admitted to the extent that neither Flexport’s published *rates* nor the number of free days allotted for Peloton’s shipments in accordance with the governing MSA changed during the relevant time period. CXB-0164-CXB-0165 (Flexport 143(b)(6) Dep.) at 164:24 – 165:25 (“That one set demurrage rule and tariff rate that is not impacted, ... regardless of what we are going to get invoiced, whether it’s -- whatever, it does not, at that time of calculation, play into anything because that rule, that program, is pulling from our hardcoded tariff, and that’s set in stone and very rarely changes.”). Otherwise denied.

102. Flexport’s 143(b)(6) Corporate Designee testified that Flexport considered itself to have met its FMC obligations so long as it was charging D&D based upon its tariff, regardless of

the reason behind the D&D charges or who was at fault. B-0170-0172, B-0175-0176, Flexport 143(b)(6) Dep. Tr. 170:21-172:18, 175:2-176:24; B-0377, B-0386-B-0391, Tanner Dep. Tr. 108:9-15, 117:22-122:11 (“Detention and demurrage charges would have been assessed based on our rules tariff, NSA, or contracts in line with the FMC regulations and Incentive Rule. *So it wouldn’t have mattered if there was a pandemic or otherwise.* The regulations are set in stone. That’s what they are.”) (emphasis added).

RESPONSE: Denied, the quoted language does NOT state that Flexport charged D&D “regardless of the reason behind the D&D charges or who was at fault.” CXB-0166-CXB-0167, CXB-0173, CXB-0176 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”), 173:3-9 (“The operations associates throughout the operation of the shipment would, to the best of their ability, actively try to mitigate or avoid demurrage at the terminal, ... [i]f they extended the last free day, then we would pass that extension along to the client.”), 176:12-22 (“we did evaluate whether, you know, there were issues at the terminal or not. But, at the end of the day, if the party setting the last free day at the terminal didn’t extend them and rejected all of our efforts to do so, then the last free day doesn’t change. And, according to our tariff, that last free day is passed on. Did we have the ability to sometimes deviate from that in the course of business? Sure. The FMC allows that, and we did that in numerous cases.”); CXB-0402-CXB-0404 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”).

103. Flexport had the ability to extend free time using the operational tools at its disposal, including contracting with truckers, utilizing staging yards, and leveraging relationships with its subcontractors like JC Transport, which had a proven track record of resolving logistical challenges to evaluate the reasonableness of its D&D charges. B-0839, B-0927, B-0941, Banaszak Dep. Tr. 85:9-16; 173:16-21; 187:17-188:8; B-0175, Flexport 143(b)(6) Dep. Tr. 175:14-17.

RESPONSE: Denied. Extending free time is different from mitigating damages. Using a staging yard does not extend free time – it cuts off demurrage. Unloading and storing goods does not extend free time – it ends detention. CXB-0927 (Banaszak Dep.) at 173:16-21 (explaining that Flexport did not have the ability to unilaterally extend free time, “[Flexport] could certainly *request* extensions. If those are granted was subject to the -- essentially to the terminal. And I would say that that was few and far between.”) (emphasis added). The cited testimony of Flexport’s Corporate Designee does not support the assertion that “Flexport had the ability to extend free time”, it only confirms that Flexport has the ability to reduce or change a charge that it’s assessing.

104. However, even when Flexport had a clear opportunity to extend free time on Peloton’s behalf to avoid D&D charges, such as when the underlying carrier granted an extension, it failed to do so. *See* C-0101, Flexport 143(b)(6) Dep. Ex. 7; Flexport 143(b)(6) Dep. Tr. 170:21-171.

RESPONSE: Denied. Neither the cited exhibit nor testimony support this position. CXB-0173, CXB-0224-CXB-0225 (Flexport 143(b)(6) Dep.) at 173:3-9 (“The operations associates throughout the operation of the shipment would, to the best of their ability, actively try to mitigate or avoid demurrage at the terminal, ... [i]f they extended the last free day, then we would pass that extension along to the client.”), 224:24 – 225:8 (“And if the last free day was

extended for this shipment, then, yes, there should have been a last free day extension passed on to Peloton, per our tariff, yes.”).

105. For example, in July 2021, JC Transport—Flexport’s designated trucker for retrieving containers ZCSU8783052 and ZCSU7213374—alerted the terminal to pick-up issues and requested an extension of the last free day (“LFD”). C-0101, Flexport 143(b)(6) Dep. Ex. 7 at 5. ZIM, the underlying ocean carrier, granted the extension in coordination with the terminal. C-0097-98, Flexport 143(b)(6) Dep. Ex. 7 at 1-2. However, Flexport failed to pass this extension on to Peloton and instead imposed demurrage charges totaling \$7,240 and \$3,640, respectively. E-0001, Aggregate Shipment Details; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18.

RESPONSE: Denied. As per the email, there were three containers for which the last free day extension was requested and it is not clear as to which containers, if any were. It is also noted that these containers were to be delivered to Peloton’s Perris facility in July 2021, which was completely backlogged at the time. Finally, it is revealing that, with 7,000+ containers at issue, Peloton provides only a single example for its sweeping contention that Flexport did not pass on the last free day to Peloton.

106. The extension granted by ZIM was neither reflected in the documentation provided to Peloton nor visible on the Flexport platform, leaving Peloton unaware of the additional free time and exposed to improperly assessed charges. E-0001, Aggregate Shipment Details; B-0223-0224, Flexport 143(b)(6) Dep. Tr. 223:10-227:21. These charges were assessed despite conflicting internal records regarding actual pick-up and delivery dates, and without regard to whether Peloton or its agents were at fault. E-0001, Aggregate Shipment Details; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18.

RESPONSE: Denied. See response to CPFF106.

107. Flexport did not have an internal policy on how to process free time extension requests from their customers. B-0449, Tanner Dep Tr. 180:1-4.

RESPONSE: Denied. The cited testimony further states that Flexport refers to its “tariff as [its] overarching rule for detention and demurrage.” CXB-0170-CXB-0171 (Flexport 143(b)(6) Dep.) at 170:21 – 171:6 (“Our policy on the assessment of demurrage is our rules tariff. That is our policy. The policy of which we play by is our rules tariffs and the FMC regulations. There is nothing needed more than that.”).

D. Flexport Imposed D&D Charges on Peloton Without Evaluating Their Legitimacy

108. By choosing to publish its own D&D rates pursuant to a rules tariff, Flexport elevated its responsibilities with respect to invoicing D&D charges to the same level of responsibility required of VOCCs and was subject to heightened standard of care related to the assessment of D&D. D-0021, Roche Expert Report ¶ 51; *see also* D-2484-2485, Roche Rebuttal Report ¶ 54.

RESPONSE: Denied as this is a legal conclusion without evidentiary support.

109. This standard required Flexport to actively evaluate whether the charges were fair under the circumstances, which included considering waivers, tolling the D&D clock, or otherwise mitigating unreasonable accruals. D-0018, D-0020, D-0023-24 Roche Expert Report, ¶¶ 35, 45, 60; D-1740, McCown Expert Report ¶ 55, 46 CFR Part 520.

RESPONSE: Denied as this is a legal conclusion without evidentiary support.

110. Flexport assessed D&D charges against Peloton using a calculation formula within its CORE system, without reviewing or verifying the legitimacy of those charges. B-0632, Peckham Dep. Tr. 134:12-20; B-0782, Banaszak Dep. Tr. 28:8-14.

RESPONSE: Denied. CXB-0166-CXB-0167 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived); CXB-0402-CXB-0404, CXB-0443 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”), 174:8-15 (clients had written dispute processes incorporated into their respective MSA or NSA).

111. In assessing D&D, Flexport considered only the NRAs, the NSAs, the free days available, and the charge amount per day based upon its rules tariff, and did not consider any other factors. B-0316, B-0334-0335, B-0362-0363, B-0377-0378, B-0389, B-0390, Tanner Dep. Tr. 47:11-21(testifying that only invoice audits conducted were to verify that Flexport’s charge queue accurately represented charges in the associated NRA); 65:23-66:3 (testifying that only invoice audits conducted were to verify that Flexport’s charge queue accurately represented charges in the associated NRA), 93:21-94:6, 108:21-109:8, 120:14-17, 121:6-15; B-1346-1347, B-1353, Nable Dep. Tr. 95:16-96:1; 102:18-23 (unable to recall any factors that were considered in verifying invoices for accuracy).

RESPONSE: Denied. CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by

Flexport or a Flexport partner and if so, whether the charges should be reduced or waived); CXB-0166-CXB-0167 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0402-CXB-0404 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”).

112. Flexport did not have any written policies regarding the assessment of D&D charges. B-0170-0171, Flexport 143(b)(6) Dep. Tr. 170:21-171:6. Instead, Flexport assessed D&D based solely on its rules tariffs. B-0154, B-0162, B-0171, Flexport 143(b)(6) Dep. Tr. 154:6-11; 162:6-12; 171:20-22. According to Flexport corporate witness and Senior Director of Compliance Ryan Tanner, “[t]here is nothing needed more than that.” B-0171, Flexport 143(b)(6) Dep. 171:2-24.

RESPONSE: Denied. CXB-0166-CXB-0167, CXB-0170-CXB-0171 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”), 170:21 – 171:6 (“Our policy on the assessment of demurrage is our rules tariff. That is our policy. The policy of which we play by is our rules tariffs AND the FMC regulations. There is nothing needed more than that.”) (emphasis added); CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived);

CXB-0402-CXB-0404 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”).

113. Flexport did not change the way it assessed D&D in response to any of the supply chain disruptions caused by the COVID-19 pandemic and continued to charge Peloton D&D based on an automatic calculation of days and the rates in its rules tariffs. B-0385-0386, B-0388-0391, B-0446-0447, Tanner Dep Tr. 116:21-117:10, 119:3-8, 119:19-120:17, 120:18-121:15, 121:17-122:11; 177:13-178:20 (“So, as a standard, we would not have changed our fees for containers that were impacted. Our tariff would have been the applicable rate.”); B-0650-0651, Peckham Dep. 152:23-153:4.

RESPONSE: Denied. CXB-0166-CXB-0167 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived); CXB-0402-CXB-0404 (Tanner Dep.) at 133:20 – 135:3 (“[The D&D charge] may never actually make it to the invoice, and that happens quite often that we mitigate these before a client is ever impacted.”).

114. Flexport calculated container availability solely based on the date of vessel discharge, without considering whether the container was actually accessible for retrieval. B-0159-162, Flexport 143(b)(6) Dep. Tr. 159:14-162:5; B-0362-63, Tanner Dep. Tr. 93:21-94:3.

RESPONSE: Denied. Immediately after the testimony cited by Peloton, Mr. Tanner testified that while the system was used to “calculate based on the number of days the container was either at the port or out of the port, and then it will filter that from the charge queue to the invoice. The operations associate or manager ... *would then review the invoice for accuracy.*” B-0363 (Tanner Dep.) at 94:4-6 (emphasis added). *See also* CXB-0166-CXB-0167 (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”).

115. Flexport’s Client Solutions Associates, the employees at Flexport responsible for reviewing and invoicing D&D charges, were entry-level employees with limited or no training regarding the legal or regulatory requirements related to D&D charges. B-0805-0806, Banaszak Dep. Tr. 51:16-52:1; B-0515-18, B-0519-21, B-0573, B-0715, Peckham Dep. Tr. 17:10-20:5 (Nick Peckham started at Flexport as a data operations associate approximately one year after graduating from college); 21:9-23:12; 217:2-217:14 (Peckham could not recall any specific training he had received regarding FMC compliance and stated he had never been introduced to the Incentive Principle or the Interpretative Rule while employed by Flexport); 75:12-18 (Operations Team is separate from Client Solutions Team and must inform the latter about shipment delays).

RESPONSE: Denied. CXB-0519-CXB-0522, CXB-0524-CXB-0526, CXB-0653-CXB-0654 (Peckham Dep.) at 21:9 – 24:18 (explaining that he first had a two-week training session regarding all the need-to-knows, then another week of on-the-job training for operations, and then even more training with his team on a day-to-day basis), 26:13 – 28:9 (further explaining training received by Flexport), 155:3 – 156:7 (confirming that he did receive invoice training).

E. Flexport Failed to Resolve Issues Related to--or Adequately Communicate About--Chassis Shortages and Equipment

116. During the pandemic, Flexport continued to apply D&D charges to Peloton according to its rules tariff, despite widespread chassis issues. At the Port of Long Beach, for example, the average time chassis remained out of port increased by 114% compared to pre-pandemic conditions. B-0389-0390, Tanner Dep. Tr. 120:18-121:10 (“Yes. We still assessed our D&D per our rules tariffs.”); B-1164-1165, B-1167, Breck Dep. Tr. 185:13-186:1; 188:20-21 (“Yes, there was a chassis shortage, and, yes, demurrage was billed.”).

RESPONSE: Admit that Flexport continued to apply D&D charges but denies the inappropriate legal argument “despite widespread chassis issue”.

117. A chassis is a metal frame with wheels on which a container is loaded in order to be transported inland by truck. B-1157, Breck Dep. Tr. 178:16-20; B-1934, Majstorovic Dep. Tr. 96:11-16.

RESPONSE: Admitted.

118. Flexport was responsible for sourcing chassis and ensuring their availability for Peloton’s shipments, which included managing relationships with both ocean carriers and trucking companies that owned or operated chassis. B-0829-30, Banaszak (Flexport) Dep. Tr. 75:12-76:2; C-0041, 2020 Master Service Agreement; C-0059, 2021 Master Service Agreement. This responsibility also involved coordinating with these carriers to obtain chassis or negotiate extended free time when shortages occurred. D-0013, Roche Expert Report ¶¶ 14-15; D-1745-46, McCown ¶¶ 71-74; B-0188-0189, Flexport 143(b)(6) Dep. Tr. 188:25-189:5; 190:2-3; B-0829-0830, Banaszak Dep. Tr. 75:12-76:2.

RESPONSE: Denied to the extent Flexport was NOT responsible for ensuring availability of chassis or the placement of the container onto a chassis. CXB-0829-CXB-0830 (Banaszak

Dep.) at 75:17 – 76:2 (“Flexport would take an approach of trying to source both truckers who own their own chassis, as well as building enough relationship with ocean carriers to be able to get the correct chassis when they needed them.”); CXB-0188-CXB-0189 (Flexport 143(b)(6) Dep.) at 188:25 – 189:5 (“Flexport didn’t facilitate the chassis itself, but our underlying partner, the carrier, or their underlying partner, the marine terminal operator, in the vast majority of the cases, were responsible for ensuring the placement of the container onto a chassis.”). Further denied on the grounds that it was Peloton which greatly contributed to the shortage of chassis.

119. Flexport’s carriers notified Flexport when there were no chassis available. C-0234, Banaszak Dep. Ex. 8; B-0204-05, Flexport 143(b)(6) Dep. Tr. 204:23-205:3 (“This is JC Transport saying to us, just like I’m telling you, wild, wild west. Who was (sic) chassis; where they are; how can we get our hands on them? Nobody knows. Nobody can get them. So that’s exactly what’s going on here. Everybody’s out. Everybody’s out”).

RESPONSE: Admitted.

120. Peloton expected that Flexport would have the necessary resources and capacity to transport shipments from origin to destination, including the ability to secure the required chassis for container movement when needed. B-2254, Beyar Dep. Tr. 207:7-23; B-1976-1977, B-1981-82, Majstorovic Dep. Tr. 138:15-139:3; 143:1-144:3.

RESPONSE: Denied to the extent Flexport was NOT responsible for ensuring availability of chassis or the placement of the container onto a chassis. CXB-0829-CXB-0830 (Banaszak Dep.) at 75:17 – 76:2 (“Flexport would take an approach of trying to source both truckers who own their own chassis, as well as building enough relationship with ocean carriers to be able to get the correct chassis when they needed them.”); CXB-0188-CXB-0189 (Flexport

143(b)(6) Dep.) at 188:25 – 189:5 (“Flexport didn’t facilitate the chassis itself, but our underlying partner, the carrier, or their underlying partner, the marine terminal operator, in the vast majority of the cases, were responsible for ensuring the placement of the container onto a chassis.”). Further denied on the grounds that it was Peloton which greatly contributed to the shortage of chassis.

121. Between 2020 and 2022, there were thousands of instances in which Flexport could not timely source chassis for Peloton Shipments, which significantly delayed the pickup of containers from the port and the return of empty containers to the port. D-1670-1726, Smith Supp. Expert Report, Ex. 3; B-0186, Flexport 143(b)(6) Dep. Tr. 186:7-18; B-1695, Peloton 143(b)(6) Dep. Tr. 209:15-19; B-0825-0826, B-0828, Banaszak Dep. Tr. 71:17-72:3; 74:11-17.

RESPONSE: Denied. None of the deposition testimony cited states that “there were thousands of instances”. CXB-0188-CXB-0189 (Flexport 143(b)(6) Dep.) at 188:25 – 189:5 (“Flexport didn’t facilitate the chassis itself, but our underlying partner, the carrier, or their underlying partner, the marine terminal operator, in the vast majority of the cases, were responsible for ensuring the placement of the container onto a chassis.”). Further denied on the grounds that it was Peloton which greatly contributed to the shortage of chassis.

122. Peloton anticipated that Flexport, as an NVOCC with responsibility for end-to-end shipment logistics, would take all reasonable measures to secure chassis and address challenges related to their availability. B-1690, Peloton 143(b)(6) Dep. Tr. 203:5-21.

RESPONSE: Denied to the extent Flexport was NOT responsible for ensuring availability of chassis or the placement of the container onto a chassis. CXB-0829-CXB-0830 (Banaszak Dep.) at 75:17 – 76:2 (“Flexport would take an approach of trying to source both truckers who own their own chassis, as well as building enough relationship with ocean carriers to be

able to get the correct chassis when they needed them.”); CXB-0188-CXB-0189 (Flexport 143(b)(6) Dep.) at 188:25 – 189:5 (“Flexport didn’t facilitate the chassis itself, but our underlying partner, the carrier, or their underlying partner, the marine terminal operator, in the vast majority of the cases, were responsible for ensuring the placement of the container onto a chassis.”). Further denied on the grounds that it was Peloton which greatly contributed to the shortage of chassis.

123. Flexport advertised to Peloton that they were going to support Peloton drayage during the Relevant Time Period through its dedicated drivers and carrier-owned chassis, and therefore reduce demurrage charges. C-0353-68, Breck Dep. Ex. 11.



C-0362, Breck Dep. Ex. 11 (excerpt from “Flexport’s Destination Management proposal” sent from Flexport to Peloton on July 21, 2021). C-0349, Breck Dep. Ex. 10 (“the proposal attached focuses on NY and LA to run drayage for all Peloton cargo but if needed can review dedicated drayage operations in other key markets”).

RESPONSE: Denied as the characterization of “advertised”. As explained by Mr. Breck during his deposition, “this is a proposal of what we proposed we could have done for Peloton

if they awarded us this business, which, to my understanding, they did not.” CXB-1152-CXB-1154 (Breck Dep.) at 173:21 – 175:3. Furthermore, this is irrelevant to the subject issues in this proceeding as Flexport was not awarded Peloton’s business related to the proposal.

124. Peloton also expected that Flexport would dispute any demurrage charges assessed by a marine terminal or underlying carrier if there were no available chassis to pull containers from the terminal. B-2768-2769, Baitman Dep. Tr. 160:24-161:11; B-1711, B-1729, Peloton 143(b)(6) Dep. Tr. 224:6:16; 242:6-14.

RESPONSE: Denied to the extent Flexport was NOT responsible for ensuring availability of chassis or the placement of the container onto a chassis. CXB-0829-CXB-0830 (Banaszak Dep.) at 75:17 – 76:2 (“Flexport would take an approach of trying to source both truckers who own their own chassis, as well as building enough relationship with ocean carriers to be able to get the correct chassis when they needed them.”); CXB-0188-CXB-0189 (Flexport 143(b)(6) Dep.) at 188:25 – 189:5 (“Flexport didn’t facilitate the chassis itself, but our underlying partner, the carrier, or their underlying partner, the marine terminal operator, in the vast majority of the cases, were responsible for ensuring the placement of the container onto a chassis.”). Further denied on the grounds that it was Peloton which greatly contributed to the shortage of chassis.

125. If Flexport did not dispute charges that resulted from chassis shortages, it was Peloton’s understanding that responsibility for those charges remained with Flexport. B-2770, Baitman Dep. Tr. 162:11-13.

RESPONSE: Denied to the extent Flexport was NOT responsible for ensuring availability of chassis or the placement of the container onto a chassis. CXB-0829-CXB-0830 (Banaszak Dep.) at 75:17 – 76:2 (“Flexport would take an approach of trying to source both truckers

who own their own chassis, as well as building enough relationship with ocean carriers to be able to get the correct chassis when they needed them.”); CXB-0188-CXB-0189 (Flexport 143(b)(6) Dep.) at 188:25 – 189:5 (“Flexport didn’t facilitate the chassis itself, but our underlying partner, the carrier, or their underlying partner, the marine terminal operator, in the vast majority of the cases, were responsible for ensuring the placement of the container onto a chassis.”). Further denied on the grounds that it was Peloton which greatly contributed to the shortage of chassis.

126. If the demurrage charges were not waived due to a lack of chassis for any reason, Flexport passed the demurrage charges onto Peloton based on the number of days calculated under its rules tariff. B-0207, Flexport 143(b)(6) Dep. Tr. 207:7-17.

RESPONSE: Admitted that the testimony provides that if the charges were not waived by the ocean carrier or terminal then Flexport would be assessed demurrage by the carrier and then assess the demurrage to Peloton as per Flexport’s Rules tariff.

127. Flexport encountered significant issues sourcing chassis, which resulted in repeated instances where Flexport could not pull Peloton containers from the terminal, causing Peloton to incur demurrage charges. B-1632-33, B-1635-36, Peloton 143(b)(6) Dep. Tr. 145:15-146:1; 148:22-149:18; D-1670-1726, Smith Supp. Expert Report, Ex. 3.

RESPONSE: Admit that Flexport confronted issues regarding chassis – as a result of Peloton holding containers and chassis out of the supply chain. CXB-0187 (Flexport 143(b)(6) Dep.) at 187:18-25 (There was already a chassis shortage because ... chassis dwell time outside of the port reached a peak of somewhere around 114 percent, you know, and, candidly, *Peloton was a contributing factor of that*, having, at times, hundreds of containers sitting in their warehouse yards sitting on chassis not being able to be returned.”) (emphasis added); CXB-

1088, CXB-1162 (Breck Dep.) at 109:13-17 (“Peloton built this backlog.... So [the containers] just sat in our trucker’s yard, and *they sat on chassis that were coveted*, and they also took up space.”), 183:3-7 (“So Peloton had hundreds of containers at any given point that were just sitting in the yard because they couldn’t get to the final destination because Peloton couldn’t receive them, and they were holding up those chassis.”); CXB-0934-CXB-0936 (Banaszak Dep.) at 180:15 – 182:17 (describing instances where Peloton’s facility had no capacity to unload the container and then trucker’s would take the containers to their yards where they would sit on the chassis).

128. Chassis shortages likewise contributed to an inability of Flexport’s drayage carriers to timely deliver Peloton Shipments to their final destinations. B-0204-06, Flexport 143(b)(6) Dep. Tr. 204:23-206:6; C-0095-96, Flexport 143(b)(6) Dep. Ex. 6; B-0724, Peckham Dep. Tr. 226:16-25.

RESPONSE: Admitted that Flexport confronted issues regarding chassis – as a result of Peloton holding containers and chassis out of the supply chain. CXB-0187 (Flexport 143(b)(6) Dep.) at 187:18-25 (There was already a chassis shortage because ... chassis dwell time outside of the port reached a peak of somewhere around 114 percent, you know, and, candidly, *Peloton was a contributing factor of that*, having, at times, hundreds of containers sitting in their warehouse yards sitting on chassis not being able to be returned.”) (emphasis added); CXB-1088, CXB-1162 (Breck Dep.) at 109:13 – 17 (“Peloton built this backlog.... So [the containers] just sat in our trucker’s yard, and *they sat on chassis that were coveted*, and they also took up space.”) (emphasis added), 183:3 – 7 (“So Peloton had hundreds of containers at any given point that were just sitting in the yard because they couldn’t get to the final destination because Peloton couldn’t receive them, and they were holding up those

chassis.”); CXB-0934-CXB-0936 (Banaszak Dep.) at 180:15 – 182:17 (describing instances where Peloton’s facility had no capacity to unload the container and then trucker’s would take the containers to their yards where they would sit on the chassis).

129. Certain ocean carriers invoiced Flexport directly for chassis usage, while other ocean carriers invoiced the truckers with which Flexport contracted. E-0035, FLEXPORT 00000737.

RESPONSE: Admitted for the time period set forth in the referenced document.

130. When Flexport or its trucker was assessed D&D by drayage carriers due to a lack of chassis, Flexport in turn charged D&D under its rules tariff to Peloton. B-0207, Flexport Dep. Tr. 207:7-17.

RESPONSE: Denied. Drayage carriers do not assess D&D. Further, this is an oversimplification of Flexport’s testimony and therefore, does not accurately reflect Flexport’s position. CXB-0187-CXB-0188 (Flexport 143(b)(6) Dep.) at 187:18-25 (There was already a chassis shortage ... and, candidly, *Peloton was a contributing factor of that*, having, at times, hundreds of containers sitting in their warehouse yards sitting on chassis not being able to be returned.”) (emphasis added).

131. As such, there are 4,562 documented instances of unavailability of chassis alone for which Flexport charged D&D to Peloton. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

RESPONSE: Denied. There are only about 1,085 invoices at issue in this matter, so how could there be 4,562 instances. See Flexport’s Answer and Affirmative Defense, Doc. No. 16.⁷ Further, Mr. Smith “identified” the number of times that “chassis” was inputted into Core

⁷ Exhibit “A” to Peloton’s Amended Complaint identifies 3,249 invoices are at issue. 2,164 of these invoices – or two-thirds – were issued more than three years before Peloton filed its complaint and are thus time-barred. Therefore, 1,085 invoices are at issue.

– he did not identify a single instance where D&D was charged as a result of such delay, or that any delay had resulted at all. *See* Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

132. Flexport could have raised disputes with marine terminals that required use of their own chassis to be permitted to use third-party chassis providers, but it did not do so. B-2770-2771, Baitman Dep. Tr. 162:15-163:5.

RESPONSE: Denied. Mr. Baitman has never worked for Flexport nor is he designated as an expert on NVOCC operations and therefore has no grounds to opine as to what Flexport’s could have done.

133. [REDACTED]
[REDACTED]. B-1522-1523, Peloton 143(b)(6) Dep. Tr. 35:19-36:6.

RESPONSE: Denied. This is not reflected in the cited testimony. In fact, Peloton’s corporate representative testified that she didn’t “believe” the updates were exhaustive. CXB-1522 (Peloton 143(b)(6) Dep.) at 35:17-25. But then, she confirmed that Flexport did in fact communicate frequently with Peloton as to updates regarding the shipments. CXB-1523 (Peloton 143(b)(6) Dep.) at 36:10-15 (“we received numerous communications with and from Flexport, as well as the weekly calls we had with them. In some instances, daily communication.”). Of course, when asked to identify a single instance where the information was not provided, she could not, but merely referred to the 20,000 document production where Flexport could find the answer. CXB-1523-CXB-1524 (Peloton 143(b)(6) Dep.) at 36:21 – 37:22.

134. There were instances when Peloton was compelled to proactively reach out to Flexport to receive updates on why its containers were not moving, to which Flexport often cited a lack or shortage of available chassis. B-1695-1696, Peloton 143(b)(6) Dep. Tr. 208:17-209:19.

RESPONSE: Denied. The cited testimony names chassis storage as ONE of several other reasons often cited. CXB-1696 (Peloton 143(b)(6) Dep.) at 209:15-19 (“the response was that there was some sort of chassis -- lack of available chassis, a shortage of chassis, a shortage of truck drivers, or overall delays and inability to pick up containers at the port because of lack of appointment availability.”).

1. Examples Where Peloton Was Charged During Chassis Shortages

135. For example, for the shipment bearing the FLEX-ID FLEX-1338356, which encompassed eight containers to be shipped “Port to Door,” all eight containers arrived at the port in Tacoma, Washington on December 13, 2021, but Flexport did not schedule appointments to pick up the containers from the terminal until January 26, 2022, despite proactive inquiries from Peloton on January 6 and January 20, 2022 regarding the pick-up status of the containers. E-0057, FLEXPORT 00045790 (cover email); E-0059, FLEXPORT 00045794 (quote); Events Download.

RESPONSE: Denied. The referenced eight (8) containers were indeed part of the “Valor Victoria” service that Flexport found for Peloton. To explain, Peloton’s designated warehouse had severe capacity issues. As such, due to this, and congestion issues at the port in Tacoma, Flexport went out and found a potential solution. Specifically, Valor Victoria was offering rail service to assist with the backlog. Flexport offered this service to Peloton – as a completely separate service offering – in order to assist its customer. Had Flexport arranged for the movement earlier, there would have been a significant expense due to the warehouse backlog. Thereafter, once the goods were delivered, it still took Peloton 3 weeks to unload

the container. Notably, the freight costs for this service were billed to Peloton at cost. The D&D charges were the direct result of the backlog at Peloton’s warehouse. See RX207-RX211; RX3 (Second Tanner Decl.).

136. Flexport’s truckers reported in late January and early February 2022 that they were unable to pick up the containers in the FLEX-1338356 shipment “due to no chassis” or available pickup appointments. D-2646, FPFMC_CP008_000001161 (Peloton Events Download) (1/28: “Hello, I had several drivers on the pier bobtail, and there are no chassis to pull these. Thank you!”) (2/2 “Unable to pull today due to no chassis, no appts available to 2/2. Please clear fees for Thursday 2/3. Thank you!”)

RESPONSE: See Response to CPFF135.

137. From January 26 through February 22, 2022, chassis shortages were documented no less than 212 separate times. D-1670-1762, Smith Supp. Expert Report, Ex. 3.

RESPONSE: See Response to CPFF135.

138. The last container in the FLEX-1338356 shipment was not picked up until February 23, 2022, more than two months after it had initially arrived at the port. D-2646, FPFMC_CP008_000001161 (Peloton Events Download).

RESPONSE: See Response to CPFF135.

139. For the eight containers in FLEX-1338356, Peloton was invoiced a total of \$163,719 in demurrage, \$55,140 in detention, and [REDACTED]. (E-0002, FPFMC_CP009_000002807, Demurrage Invoice, FLEX-1338356-5; E-0006, FPFMC_CP009_000002809, Detention Invoice FLEX-1338356-7).

RESPONSE: See Response to CPFF135.

140. In another example, container CAIU7472124 in the Flex-ID shipment FLEX-1075134 was available for pickup on May 28, 2021, but was not picked up until July 8, 2021, despite Peloton proactively inquiring whether the container had been moved out of the port. Events Download (Peloton checked in with Flexport on July 2, 2021 to ask “could we please check if CAIU7472124 gated out yesterday?”). D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted insofar as this is an excellent example of Peloton’s inability to receive shipments which was the cause of the D&D assessed. *See* CXE-0114-CXE-0116 (email regarding Ingram Micro facility in July 2021); CXE-0119-CXE-0120. On July 7, 2021, Flexport contacted Peloton to re-new the discussions regarding the unloading delays at Peloton’s Ingram Micro facility – specifically regarding the 45 full containers which were sitting in the yard there. CXE-0116 (email regarding Ingram Micro facility in July 2021). Two days later, Peloton advised that, no, they were not unloading the containers, but would rather be moving many of them to other facilities. CXE-0115 (email regarding Ingram Micro facility in July 2021). Two weeks later this problem had not been resolved and on July 21, 2021, following its call with Peloton, Flexport advised that CMA-CGM was threatening to cut Peloton’s allocation from Taiwan to Los Angeles to zero if empties cannot be returned to port. CXE-0114 (email regarding Ingram Micro facility in July 2021). The email included a warning that Flexport expected more carriers to follow. Flexport also stated “as you’re aware, containers sitting out of port for an extended period of time reduce the utilization and in turn contribute to the global equipment shortage.” *Id.* Then, on August 5, 2021, Flexport advised that additional carriers are raising concerns regarding Peloton containers sitting out of port for extended periods of time. Flexport stated “to allow Flexport to continue to support

Peloton’s need for additional space, we really need Peloton’s support in unloading containers and making them ready for pickup.” CXE-0119-CXE-0120 (email regarding Ingram Micro facility in August 2021). Flexport then pointed out that there are 51 containers at Ingram Micro that have been out of the port for more than 20 days – with D&D sitting at over \$400,000. *Id.* Flexport also noted that OOCL is asking about two containers that have been out for 56 and 47 days. *Id.* Peloton’s response: are aware of the issue and attempting to procure more warehouse space across our network....We’re working on approval for more storage capacity on several fronts. Please bear with us. We are keenly aware of the costs. *Id.* (emphasis added).

141. Between June 3 and June 30, 2021, Flexport logged 98 separate instances of chassis shortages or lack of chassis, as well as instances of “no available equipment for pick up” of the container. D-1670-1762, Smith Supp. Expert Report, Ex. 3.

RESPONSE: See Response to CPFF140. The review of Mr. Smith lists only the shipment IDs. The review of Mr. Smith lists only the shipment IDs. Both the Invoices and the Events Downloads referenced containers as well. Mr. Smith does not identify a single container at issue – nor any event connected to that container – nor any delay resulting from that event – nor any D&D assessed as a result. *See* Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

142. In total, Flexport assessed Peloton \$11,585 in demurrage and \$12,590 in detention for container CAIU7472124. E-0179, Demurrage Invoice FLEX-1075134-3 (no Bates); PELOTON0049076.

RESPONSE: Denied. The referenced invoice does not contain any detention charges.

143. Peloton discussed the shipping challenges it was facing with Flexport on a weekly basis or sometimes even multiple times a week, including chassis issues, as well as solutions to address those challenges. B-2773-2774, Baitman Dep. Tr. 165:20-166:19; B-0773, Banaszak (Flexport) Dep. Tr. 19:17-25.

RESPONSE: Denied – Flexport had daily discussions with Peloton.

144. Although other service providers had issues sourcing chassis during the pandemic, those other providers worked continuously to inform Peloton of chassis shortages and devise creative solutions for pulling containers from the terminal to avoid demurrage, whereas Flexport did not. B-1637, Peloton 143(b)(6) Dep. Tr. 150:3-22.

RESPONSE: Denied. There is no evidentiary support for this self-serving statement made by Peloton’s corporate representative. Nor is there any way Flexport could refute this.

F. Flexport’s Failure to Return Containers Promptly

145. Flexport consistently failed to return empty containers within the allotted free time, resulting in the assessment of both detention charges and chassis usage fees to Peloton as a result of retaining equipment. B-2640, Baitman Dep. Tr. 32:11-18.

RESPONSE: Denied. Baitman’s testimony describes instances where several days passed between when Peloton advised that a container was empty and when the container was actually returned, but it fails to state whether, within the allotted free time, Peloton was emptying the containers and promptly notifying Flexport of same so that the containers could be returned within the allotted free time. CXB-1173 (Breck Dep.) at 194:10-15 (“One of the difficulties that we faced was we were advised XYZ container is available for pickup. Our trucker would then go to pick up that container. They would speak to the actual person or group of people there who’s managing the warehouse who would say, no, this isn’t empty

yet.”). Peloton has presented no evidence at all of any empty container which was picked up from their facility and not timely returned. In fact, this information was specifically requested in discovery and Peloton refused to answer until the Presiding Officer ordered them to on June 30, 2025. *See* Order on Pending Motions and Complainant’s Unilateral Status Report and Amending Scheduling Order, Doc. No. 72

In compliance with this Order, Peloton’s counsel submitted a spreadsheet purportedly showing the dates that Peloton notified the trucker that each container was empty. We note that it was counsel who submitted it because the Supplemental Responses specifically states that this was prepared by counsel and was not a record of Peloton. CXF-0026-CXF27 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 4-5; CXF-0032-CXF-0052 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories App. 1).

It is noted that Peloton only provides the empty notification dates for 496 of the 7,343 containers. That is only 6.7% of the containers at issue.

The reason provided? Peloton claims it does not have this information! It is Peloton’s – no, Peloton’s counsel’s – position that Peloton is not in possession of the information as to when Peloton notified the trucker that the containers were empty. CXF-0026-CXF-0029 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025).

Further, a review of the data entries prepared by counsel for the 6.7% of the containers at issue that he provided indicates that the vast majority of the data is in fact completely incorrect and misleading. Of the 498 lines where delivery dates were actually entered, 255 of these are incorrect.

For example, on the 8th line down is container BEAU5262910⁸, which counsel states was delivered on June 19, 2021, and empty notified on November 16, 2021, but the empty was not returned until February 17, 2022.

Similarly, container APHU7263406 (4 lines down), which counsel says this was delivered June 26, 2021, and also empty notified on November 16, 2021, but the empty not returned until February 17, 2022.

For containers CAIU9393322 and TCLU5171642 (many lines down), counsel says these were delivered June 26, 2021, and empty notified on November 16, 2021 – but empty not returned until February 17, 2022.

Yet, for all of these containers, the June 2021 delivery dates were not the dates that the containers were delivered to Peloton's facility, but rather to JCT's yard because Peloton's facility (Perris) had no capacity to receive them. Each of these containers was in fact delivered in February, 2022 – well after the date that counsel indicates that Peloton notified that they were empty. The correspondence relating to these containers makes this clear. On February 11, 2022, JCT contacted "MD3PL", which is Peloton's warehouse at Perris to advise as to the containers listed above to be delivered on February 14, 2022. RX197 (email regarding containers February 2022). The containers were then delivered and on February 15, 2022, MD3PL (Peloton) advised that they were empty and ready to be picked up. RX193 (Email regarding containers February 2022).

⁸ It is noted that, just like with Exhibit "A" to the Amended Complaint, also created by counsel, there is no rhyme or reason whatsoever to the shipments listed in the Appendix. As such, it is impossible to identify the specific line number of the reference container. These examples just happen to be some of the first ones listed.

Yet, according to counsel, Peloton provided empty notifications for these containers months before they were actually delivered. There are countless examples, but it is not necessary to go through them all. Flexport refers to the spreadsheet it created from counsel's Appendix 1 and, cross-referenced same with the data from the Events Downloads and spreadsheets it produced, provides the actual data and how many days off counsel is. As such, if Peloton cannot even provide evidence as to when it provided notification that a container was empty, how can it provide evidence that it was not timely returned?

146. After containers were unloaded, Peloton's warehouse promptly informed Flexport that the containers were ready to be collected by Flexport's appointed trucking partner. B-0844-0845. Banaszak Dep. Tr. 90:20-91:7.

RESPONSE: Denied. The cited testimony does not state that Peloton's warehouse *promptly* informed Flexport, it states in relevant part that "Flexport would be communicated to as part of the communication that a container is empty... but the trucker also in circumstances is notified by the warehouse...". CXB-0055-CXB-0056 (Flexport 143(b)(6) Dep.) at 55:24 – 56:18 (explaining that the truckers are "working for Flexport, but... [i]t's [Peloton's] warehouses that are now communicating with the trucker to schedule appointment times to pick up that container. ... in a lot of cases for Peloton, they're giving instructions. Peloton's controlling the trucker by instructions to drop at a location at a specific time. Peloton is then giving further instructions directly to the trucker that this container is now empty and available for pickup.... Peloton has a heavy hand in dictating what that trucker does as an operating partner."); CXB-1173 (Breck Dep.) at 194:10-15 ("One of the difficulties that we faced was we were advised XYZ container is available for pickup. Our trucker would then go to pick up that container. They would speak to the actual person or group of people there

who's managing the warehouse who would say, no, this isn't empty yet."); CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6, 177:19 – 178:1. See Response to CPFF145.

147. Peloton notified Flexport that containers were ready for pickup through various channels, including phone calls, email correspondence, and by using Flexport's dedicated "Peloton Warehouse App." B-1076, Breck Dep. Tr. 97:13-20.

RESPONSE: Denied. CXB-1173-CXB-1175 (Breck Dep.) at 194:10-15 ("One of the difficulties that we faced was we were advised XYZ container is available for pickup. Our trucker would then go to pick up that container. They would speak to the actual person or group of people there who's managing the warehouse who would say, no, this isn't empty yet."), 195:20-21 (explaining that Flexport is not always included in the communications regarding empty containers but "[a] warehouse notifies a trucker that a container's empty. That's baseline expectation."), 195:22 – 196:1 (Flexport's "goal was to be, and we gave Peloton the resources and tools to be able to do so [on] the warehouse app..."). See Response to CPFF145.

148. According to Flexport's Standard Operating Procedures for the "Peloton Warehouse App," the app was designed to monitor and record the "Empty Ready Date" of containers, ensuring accurate tracking throughout the process. *See, e.g.,* E-0237, PELOTON0032732, Peloton/Flexport SOP, Ex. C at 17 (highlighting added); *see also id.* at 5-7.

RESPONSE: Admitted to the extent that the app allowed for "warehouse teams [to] confirm the date and time when an empty container is ready to be picked up...". Otherwise denied. See Response to CPFF145.

149. Flexport, however, consistently failed to promptly remove empty containers from Peloton warehouses after unloading, leading to unnecessary delays. *See e.g.* C-0226-0233, Banaszak Dep., Ex. 7 (backlog of empty containers awaiting pickup by Flexport’s preferred trucker).

RESPONSE: Denied. The cited email correspondence details issues related to removing the empty containers that are wholly outside of Flexport’s control. Of note, the email states that “no empties were reported on Monday morning, and on Tuesday morning, there were 28 empties reported.... This one day jump made it hard to keep the number of empties in the yard manageable.”. Additionally, Flexport explained that “returning empties require appointments slots with the terminals. Right now many terminals are not even posting empty return appointment times.” See Response to CPFF145.

150. There were numerous instances when Flexport left empty containers sitting in yard storage for days, and even weeks, after being notified that the containers were ready to be returned to the port. B-0840-0841, Banaszak Dep. Tr. 86:14-87:6 (“Q. So there could be empties sitting at a yard for several days? A. There could be, yeah, for a variety of different reasons.”); B-2641, Baitman Dep. Tr. 33:3-8 (“[REDACTED]”).

RESPONSE: Admitted as to the testimony quoted; however, neither quote provides a single example evidencing this scenario. See Response to CPFF145.

151. As a result of Flexport's delay in returning empty containers to the port, Peloton incurred unnecessary detention charges and chassis fees. B-2461, Baitman Dep. Tr. 33:3-14.

RESPONSE: Admitted as to the testimony cited; however, the testimony failed to provide a single example evidencing this scenario. See Response to CPFF145.

152. In at least one instance, Flexport charged detention to Peloton where Flexport's preferred trucker lost two containers for a period of months and were unable to return them within their free time. C-0392-0394, Nable Dep. Ex. 4.

RESPONSE: Denied. As explained in the email correspondence cited the containers were not *lost*, they were in the trucker's yard because of "confusion regarding the final delivery location". Further, this instance was not "for a period of months", Flexport was first contacted in the later afternoon of December 29, and the issue was resolved—three business later—on the morning on January 4.

G. Representative Instances of Flexport's Improper Assessment of Demurrage and Detention Charges

153. Flexport's policy of automatically assessing D&D against Peloton in all circumstances resulted in Peloton being charged significant amounts of D&D in those circumstances in which they had no control or ability to effectuate cargo fluidity. D-0022, Roche Expert Report ¶¶ 54-56; D-1661-62 ¶¶ 11-12.

RESPONSE: Denied. This is an unsupported legal conclusion. Mr. Roche did make any review or assessment as to the significant issues Peloton was having in receiving inventory, backlogs, and the effects that Peloton had on the entire industry in holding containers and chassis at its facilities for months. CXB-0086 (Flexport 143(b)(6) Dep.) at 83:6-15 (Peloton routinely imported more than they had the capacity to receive. They asked us to secure yard storage for weeks at a time because their warehouses couldn't accept the containers.").

1. Peloton Shipment Case Study No. 1

PUBLIC VERSION

154. Under Flex-ID FLEX-1338356, Flexport shipped eight Peloton containers (ZCSU6561441, TGBU7262420, TCNU2311054, ZCSU6673462, ZCSU7453035, FCIU8689431, TLLU5224226, ZCSU7006654). E-0058, FLEXPOR 00045790; E-0061-62, FLEXPOR 00048983-4. The shipment was confirmed with Flexport on November 4, 2021, as “Port to Door” with “FOB” trading terms E-0058, FLEXPOR 00045790; E-0059, FLEXPOR 00045794. These containers were part of the Valor Victoria IPI Rail Service (E-0061-62, FLEXPOR 00048983-4) and arrived at Tacoma, Washington, on December 13, 2021. C-0382, Reid Breck Deposition Exhibit 15.

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port. Flexport also highlights two important facts. First, out of 7000+ containers at issue, it provides only five “examples” or “case studies”. That is indicative of the utter lack of evidence presented. Indeed, this “case study” is a repeat of the “example” set forth in CPFF135. See Response to CPFF135.

155. Despite Peloton’s inquiries to Flexport’s Operations Team on January 6 and January 20, 2021, regarding pickup status, appointments for all eight containers were not scheduled until January 26. C-0382, Reid Breck Deposition Exhibit 15.

RESPONSE: See Response to CPFF154.

156. According to contemporaneous communications, Flexport’s truckers were “unable to pick up containers due to a lack of chassis.” C-0382, Reid Breck Deposition Exhibit 15 (1/28: “Hello, I had several drivers on the pier bobtail, and there are no chassis to pull these. Thank you!”) and (2/2: “Unable to pull today due to no chassis, no appts available to 2/2. Please clear fees for Thursday 2/3. Thank you!”).

RESPONSE: See Response to CPFF154.

157. From January 26 through February 22, 2021, the issue of “chassis shortage” was documented 212 separate times. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

RESPONSE: See Response to CPFF154. The Events Downloads reflected “events” as inputted from various sources and were not indicative of any reason for delay. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

158. The last container, ZCSU6673462, was not picked up until February 23, 2021. C-0382, Reid Breck Deposition Exhibit 15.

RESPONSE: See Response to CPFF154. Further, Mr. Breck specifically testified that he had never seen the Events Downloads before.

159. Additional error codes, including “Trucking Delays,” were logged from February 8 through April 15, 2021. C-0382, Reid Breck Deposition Exhibit 15.

RESPONSE: Denied. Further, Mr. Breck specifically testified that he had never seen the Events Downloads before. The Events Downloads reflected “events” as inputted from various sources and were not indicative of any reason for delay. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

160. For these eight containers, Peloton was invoiced \$163,719 in a single line item for “ocean demurrage” (E-0002, Demurrage Invoice FLEX-1338356-5), \$55,140 in detention (E-0006, Detention Invoice FLEX-1338356-7), and [REDACTED] (E-0002, Invoice FLEX-1338356-5).

RESPONSE: Denied as stated. As set forth in the referenced invoice, neither detention nor yard storage were contained in a single line item.

2. Peloton Shipment Case Study No. 2

161. Flexport shipped container number GESU6847487 under the Flex-ID FLEX-1117021. C-1310, Gary Kardan Deposition Ex. 5.

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port.

162. Flexport confirmed the booking on April 15, 2021, under “Port to Door” terms, and the container arrived at the Port of Los Angeles on June 11, 2021, where it was discharged and made available for pickup on June 14, 2021. E-0183, FLEXPOR 00087029. The container was picked up and taken to JC Transport’s yard. E-0151, FLEXPOR 00011153 (cover email); E-0153, FLEXPOR 00011157 (quote); C-0382, Reid Breck Deposition Exhibit 15.

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port. Flexport also quoted inland transportation as a transportation broker. Admitted that the container was taken to JCT’s yard due to Peloton’s inability to receive the shipment at its warehouse, which directly led to the imposition of D&D charges. RX232-RX235 (email regarding pending containers). Peloton had a significant backlog and storage capacity at its facilities relating to the “IBAS Containers”, like the referenced one, particularly at its Perris and Ingram Micro facilities. On May 11, 2021, in an email with the subject line “Peloton IBAS Container Backlog in Los Angeles / Containers arrived pending delivery & Containers Arriving in May”, Peloton held an internal discussion regarding 82 containers which had arrived but which could not be delivered to Perris, and which were incurring demurrage. CXC-0713-CXC-0714 (email regarding IBAS backlog May 2021). Thereafter, on July 21, 2021, Flexport reached out to Peloton in efforts to work together for a solution to Peloton’s self-created capacity issues. The email was a follow-up to daily calls

and emails over the weeks prior. In summary, Flexport was making sure Peloton was aware of the following:

1. Peloton cargo was accumulating in the Los Angeles area due to decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume
2. 154 containers in yard storage pending delivery to Perris
 - a. 62 of which with no timeline as to when Perris can receive
3. 293 containers at the port and not gated out
4. 350 containers arriving in the next 2 weeks – 73 of them to Perris
5. Backlog has maxed out yard space and further delayed outgating cargo from the port. CXE-0129-CXE-0130 (email regarding LA Backlog).

Peloton's only response? It is planning to move 28 containers out of Perris's yard in the next few days. RX232-RX235 (email regarding pending containers). The spreadsheet at Peloton 38192 includes the referenced container. *See* RX235.

163. In November 2021, JC Transport notified Flexport that it did not have the chassis needed to pull the container. E-0158, FLEXPORT 00054019 ("we just found out that since they were there since June, PCMC removed them from chassis and put them to decked/stacked... We will need a chassis to pick up containers to deliver to Fontana"); E-0155, FLEXPORT 00054016 ("We don't have bare chassis to pull them").

RESPONSE: Admitted that, as set forth in the referenced document, Peloton had dozens of containers at its yard and had removed the containers from the chassis without returning them.

164. The container arrived at "MD3PL – LA6" on February 14, 2022, and was returned on February 17. C-0382, Reid Breck Deposition Exhibit 15.

RESPONSE: Admitted.

165. Repeated error codes were logged for container GESU6847487, including “Trucking Delays” 10 times and “Congestion” twice. D-1670-1762, Smith Supp. Expert Report Ex. 3.

RESPONSE: Denied.

166. For this container alone, Peloton incurred \$59,760 in detention and \$2,490 in demurrage charges. E-0183, FLEXPOR 00087029; E-0186, FLEXPOR 00087032.

RESPONSE: Admitted. But see Response to CPFF162.

3. Peloton Shipment Case Study No. 3

167. Flexport shipped container CAIU7472124 under the Flex-ID FLEX-1075134. C-1170, Gary Kadian Deposition Ex. 5.

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port. Further, this “case study” is merely a reiteration of the “example” as set forth in CPFF140.

168. The container was discharged from the vessel on May 26, 2021, and made available for pickup on May 28, 2021. Free time on the container expired on June 5, 2021. D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

169. From June 3 to June 30, 2021, there were 98 error codes for chassis shortage. D-2647, FPFMC_CP009_000003306 (Peloton Events Download) (“NO CHASSIS”) (“Chassis Shortage”) (“There is currently a chassis shortage that is preventing the trucking carrier from being able to pick up your container(s) from the terminal. Chassis shortages often occur during times of high shipment volume, and can lead to delivery delays. We are actively monitoring your shipment

and will schedule delivery as soon as possible”) (“The container did not out gate due to no available chassis”).

RESPONSE: Denied. There are no error codes referencing this container at all.

170. Moreover, from May 10 to September 7, 2022 there were 32 error codes for congestion. D-1670-1762, Smith Supp. Expert Report, Ex. 3; D-2647, FPFMC_CP009_000003306 (Peloton Events Download) (“Trucking Delay: Port/CFS Congestion”) (“Please note that the estimated time of arrival here has been delayed past the previously estimated time of arrival. This can be due to a variety of reasons but is most often attributed to poor weather, delays at a previous port call, or arrival port congestion. We have updated the schedule accordingly and will provide additional updates if further ETA adjustments are required”) (“Your shipment was delayed due to congestion at the port terminal. This will impact your shipment's final delivery date. Please note that we are working to reschedule your shipment as soon as possible and appreciate your understanding”).

RESPONSE: Denied. There are no error codes referencing this container at all.

171. On July 2, 2021, Peloton inquired whether the container had been gated out. D-2647, FPFMC_CP009_000003306 (Peloton Events Download) (“could we please check if CAIU7472124 gated out yesterday?”). D-2647, FPFMC_CP009_000003306 (Peloton Events Download). The container was not picked up until July 8, 2021. E-0001, Aggregate Shipment Details.

RESPONSE: Admitted.

172. Although there were at least ten updates alerting that a delivery appointment had been scheduled for the container, numerous updates stated that Flexport’s trucker did not have the necessary equipment to pick up the container. Events Download. Additionally, there were 31

messages showing a “Trucking Delay.” D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Denied. There are no error codes referencing this container at all.

173. Container CAIU7472124 was not returned empty until September 7, 2021. E-0001, Aggregate Shipment Details.

RESPONSE: Admitted.

174. For container CAIU7472124, Peloton incurred \$11,585 in demurrage charges and \$12,590 in detention charges. E-0179-80, PELOTON0049076; C-1170, Gary Kardian Deposition Ex. 5.

RESPONSE: Admitted. However, again, this is an excellent example of Peloton’s inability to receive shipments which was the cause of the D&D assessed. See CXE-0114-CXE-0116 (email regarding Ingram Micro facility in July 2021); CXE-0119-CXE-0120. On July 7, 2021, Flexport contacted Peloton to re-new the discussions regarding the unloading delays at Peloton’s Ingram Micro facility – specifically regarding the 45 full containers which were sitting in the yard there. CXE-0116 (email regarding Ingram Micro facility in July 2021). Two days later, Peloton advised that, no, they were not unloading the containers, but would rather be moving many of them to other facilities. CXE-0115 (email regarding Ingram Micro facility in July 2021). Two weeks later this problem had not been resolved and on July 21, 2021, following its call with Peloton, Flexport advised that CMA-CGM was threatening to cut Peloton’s allocation from Taiwan to Los Angeles to zero if empties cannot be returned to port. CXE-0114 (email regarding Ingram Micro facility in July 2021). The email included a warning that Flexport expected more carriers to follow. Flexport also stated “as you’re aware, containers sitting out of port for an extended period of time reduce the utilization and

in turn contribute to the global equipment shortage.” *Id.* Then, on August 5, 2021, Flexport advised that additional carriers are raising concerns regarding Peloton containers sitting out of port for extended periods of time. Flexport stated “to allow Flexport to continue to support Peloton’s need for additional pace, we really need Peloton’s support in unloading containers and making them ready for pickup.” CXE-0119-CXE-0120 (email regarding Ingram Micro facility in August 2021). Flexport then pointed out that there are 51 containers at Ingram Micro that have been out of the port for more than 20 days – with D&D sitting at over \$400,000. *Id.* Flexport also noted that OOCL is asking about two containers that have been out for 56 and 47 days. *Id.* Peloton’s response: are aware of the issue and attempting to procure more warehouse space across our network....We’re working on approval for more storage capacity on several fronts. Please bear with us. We are keenly aware of the costs. *Id.* (emphasis added).

4. Peloton Shipment Case Study No. 4

175. Flexport shipped container WHLU5798492 under the Flex-ID FLEX-1074424. C-1174, Gary Kardian Deposition Ex. 5.

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port.

176. The container was discharged in Long Beach, California on June 10, 2021 and the last free day for the container was registered by “Flexport Automation” as June 17. D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

177. On June 22, “Crux Integration” noted: “Container WHLU5798492 has been made available for pickup at Long Beach, California.” D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

178. On June 24, Flexport’s trucker reported that the container “did not out gate the port due to terminal system being down, this will generate a dry run.” D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

179. Peloton made two inquiries, on July 6 and July 13, as to the status of the container. Events Download (“Hi @Lenilyn Plata What is the status of WHLU5798492?”). D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

180. The container was not picked up until July 14. E-0001, Aggregate Shipment Details.

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

181. For this period, Peloton was charged 27 days of demurrage totaling \$9,335 E-0010, (Invoice FLEX-1074424-1).

RESPONSE: Admitted. However, this ignores some very important factors – that Peloton had absolutely no ability to receive the container at its facilities, which directly led to the

imposition of D&D charges. Peloton had a significant backlog and storage capacity at its facilities relating to the “IBAS Containers”, like the referenced one, particularly at its Perris and Ingram Micro facilities. On May 11, 2021, in an email with the subject line “Peloton IBAS Container Backlog in Los Angeles / Containers arrived pending delivery & Containers Arriving in May”, Peloton held an internal discussion regarding 82 containers which had arrived but which could not be delivered to Perris, and which were incurring demurrage. CXC-0713-CXC-0714 (email regarding IBAS backlog May 2021). Thereafter, on July 21, 2021, Flexport reached out to Peloton in efforts to work together for a solution to Peloton’s self-created capacity issues. The email was a follow-up to daily calls and emails over the weeks prior. In summary, Flexport was making sure Peloton was aware of the following:

1. Peloton cargo was accumulating in the Los Angeles area due to decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume
2. 154 containers in yard storage pending delivery to Perris
 - a. 62 of which with no timeline as to when Perris can receive
3. 293 containers at the port and not gated out
4. 350 containers arriving in the next 2 weeks – 73 of them to Perris
5. Backlog has maxed out yard space and further delayed outgoing cargo from the port. CXE-0129-CXE-0130 (email regarding LA Backlog).

Peloton’s only response? It is planning to move 28 containers out of Perris’s yard in the next few days. RX232-RX235 (email regarding pending containers). The spreadsheet at Peloton 38192 includes the referenced container. *See* RX235.

5. Peloton Shipment Case Study No. 5

182. Flexport shipped container ZCSU8664990 under the Flex-ID FLEX-1112979. C-1181, Gary Kardian Deposition Ex 5.

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port.

PUBLIC VERSION

183. Flexport confirmed the booking on April 16, 2021, under “Port to Door” terms,” and the container was discharged in the Port of Los Angeles on July 9, 2021, with free time expiring on July 15. E-0164, FLEXPOR 00011697 (cover email); E-0166, FLEXPOR 00011701 (quote). (Shipment Files); D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Denied as stated. Flexport, as NVOCC, arranged for the subject container to be transported to the port. Flexport also quoted inland transportation as a transportation broker.

184. The container was not picked up until July 22, 2021, during which time four “Trucking Delay: Other” errors were recorded. E-0001, Aggregate Shipment Details; D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

185. On August 2, 2021, Peloton asked Nick Peckham of Flexport for an update regarding container ZCSU8664990, and on August 3, Peckham requested JC Transport to “please upload the POD for ZCSU8664990.” Events Download. Peloton followed up with Flexport regarding the status of the container on August 5, 2021 and again on August 11, 2021. Events Download (“Can I please get a POD for ZCSU8664990?” D-2647, FPFMC_CP009_000003306 (Peloton Events Download). Peloton followed up with Flexport regarding the status of the container on August 5, 2021 and again on August 11, 2021. D-2647, FPFMC_CP009_000003306 (Peloton Events Download) (“Can I please get a POD for ZCSU8664990?” and “[P]lease have the trucker provide POD for ZCSU8664990. It has been delivered for almost 2 weeks”).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

186. On August 12, 2021, the container was confirmed empty and ready for pickup, with Peckham explaining that, due to a miscommunication, a trucker had been assigned for pickup on July 30, but was unable to complete the delivery. D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

RESPONSE: Admitted that the above-referenced information is listed in the Events Download.

187. The container was not returned until August 16, 2021. E-0001, Aggregate Shipment Details.

RESPONSE: Admitted that the above-referenced information is listed in the Aggregate Shipment Details.

188. For container ZCSU8664990, Peloton was charged 17 days of detention (\$3,845) and 7 days of demurrage (\$2,115) (E-0015, FPFMC_CP009_000000604, Invoice FLEX-1112979-1; E-0019, FPFMC_CP009_000000605, FLEX-1112979-2).

RESPONSE: Admitted. However, this ignores some very important factors – that Peloton had absolutely no ability to receive the container at its facilities, which directly led to the imposition of D&D charges. Peloton had a significant backlog and storage capacity at its facilities relating to the “IBAS Containers”, like the referenced one, particularly at its Perris and Ingram Micro facilities. On May 11, 2021, in an email with the subject line “Peloton IBAS Container Backlog in Los Angeles / Containers arrived pending delivery & Containers Arriving in May”, Peloton held an internal discussion regarding 82 containers which had arrived but which could not be delivered to Perris, and which were incurring demurrage.

CXC-0713-CXC-0714 (email regarding IBAS backlog May 2021). Thereafter, on July 21, 2021, Flexport reached out to Peloton in efforts to work together for a solution to Peloton's self-created capacity issues. The email was a follow-up to daily calls and emails over the weeks prior. In summary, Flexport was making sure Peloton was aware of the following:

1. Peloton cargo was accumulating in the Los Angeles area due to decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume
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3. 293 containers at the port and not gated out
4. 350 containers arriving in the next 2 weeks – 73 of them to Perris
5. Backlog has maxed out yard space and further delayed outgating cargo from the port. CXE-0129-CXE-0130 (email regarding LA Backlog).

Peloton's only response? It is planning to move 28 containers out of Perris's yard in the next few days. RX232-RX235 (email regarding pending containers). The spreadsheet at Peloton 38192 includes the referenced container. *See* RX235.

VI. These Supply Chain Disruptions Led to Warehousing and Trucking Issues that Were Exacerbated by Flexport

189. [REDACTED]

[REDACTED] E-0064, FLEXPORT 00000313 ([REDACTED])

[REDACTED] E-0069, FLEXPORT 00002228 [REDACTED]

[REDACTED]

RESPONSE: Admitted to the extent that Peloton's warehouses experienced many, many, backlogs; otherwise denied. Specifically, denied as to the time period and to the extent that the term "primary backlog" is undefined. Additionally, denied as the descriptions of the emails mischaracterize the content. The backlog issue was continuous throughout the relevant time period for this proceeding. CXB-1088 (Breck Dep.) at 109:4-9 (I was

continually working with our teams to expand the drayage providers that we had, not only because of -- to ensure that we had enough capacity for Peloton, but also because Peloton had such a backlog of containers that couldn't deliver to their warehouse..."); *see also* RX227-RX231 (reflecting that Peloton's backlog issues continued into 2022 and beyond).

190. During this backlog, truckers were rejected from the warehouses when attempting to drop off containers due to a large number of empties in the yard or otherwise a lack of capacity to accept additional containers. E-0070-71, FLEXPORT 00011481-00011482 (JCT still having drivers rejected when attempting to drop containers at Perris due to large number of empties in the yard); E-0073-74, FLEXPORT 00018431-00018432 (Peloton receiving notification through Flexport platform that multiple containers were rejected because no space at Mira Loma).

RESPONSE: Admitted and evidence in support of Flexport's defenses.

191. Flexport's warehouse app experienced frequent technical and user error issues, which caused backlogs, misdeliveries, and other transportation delays. E-0077-78, FLEXPORT 00010884 (Container rejected from SFO Perris because warehouse app improperly notified trucker they were at capacity when they were not); E-0080-81, FLEXPORT 00037080 (Warehouse app not syncing with empty containers); E-0022; FLEXPORT 00007747 (Flexport recorded a "WIP learning that the "warehouse app has been ignored and has lots of bugs. Warehouse app slows us down by 50%").

RESPONSE: Denied. This statement is argumentative and unsupported as one single instance cannot possibly equate to proof of "frequent". Regardless, Peloton used the Warehouse App for a grand total of 63 of the 7000+ containers.

192. When a warehouse did not have delivery appointments, Peloton would "have had the conversation with Flexport and/or any other NVOCC that ... if things can't get delivery

appointments to their final destination, that we would give them alternative routing....[T]he first goal was ‘Okay. They can’t go to Perris. What are one of the other three LA area warehouses that they could go to?’” B-2777, Baitman Dep. Tr. 169:19-170:1.

RESPONSE: Admitted that the sentence is part of the deposition. Otherwise denied since there is no context and it is nonsensical.

193. Peloton gave Flexport “unlimited authority to pull containers to storage yards, to container yards, to drop at our various warehouses if they couldn’t get an appointment. So we did everything in our power to give them the ability to get containers out of the terminal.” B-2766, Baitman Dep. Tr. 158:10-15.

RESPONSE: Admitted that the sentence is part of the deposition. However, Flexport never acted without the consent of Peloton. CXB-0932 (Banaszak Dep.) at 178:6-16 (Not aware of a single instance where Flexport transloaded a shipment either without informing and/or receiving prior authorization from Peloton).

194. At times, empty containers would sit in Peloton warehouses or yards for several days, because being able to pick up the container was “based on the amount of capacity coming in, what’s been planned, what’s been scheduled.” B-0840, Banaszak Dep. Tr. 86:22-24.

RESPONSE: Admitted.

195. [REDACTED]
[REDACTED]. E-0082-83, PELOTON0036601; C-0226-0233, Banaszak Dep., Ex. 7 ([REDACTED]), E-0191, FLEXPORT 00025050; E-0085-0086, FLEXPORT 00022416-00022417.

RESPONSE: Denied but supports Flexport’s position. If Peloton was unable to receive the containers, then what is the relevance that containers were dropped in their yards? Those containers would either be incurring demurrage at the port or detention at the trucker’s yards in any event.

196. Peloton’s Former Senior Director of Logistics, North America, David Baitman testified that there were occasions where “the Flexport-nominated carrier for drayage would drop off the container at our yard or our facility. We would notify them – we would empty it, we would notify them it was empty. They would pick it up, but they would not return it to the terminal for additional number of days.” B-2641, Baitman Dep. Tr. 33:3-8.

RESPONSE: Denied. This statement is argumentative and there is no support for it. Neither Mr. Baitman nor anyone at Peloton could give even one example of this occurrence. See Response to CPFF145.

197. [REDACTED]

[REDACTED]

C-0226-0233, Banaszak Dep. Ex. 7; E-0191, FLEXPOR 00025050; B-0933, Banaszak Dep. Tr. 179: 14-22.

RESPONSE: Admitted that in one instance 28 containers were reported as empty on the same day; denied otherwise. As explained by Banaszak “the warehouse emptied essentially a massive amount of containers... caus[ing] issues in scheduling for the one-to-one match that we had scheduled. So basically you can build up tons of cargo sitting in the yard. But if it’s not a constant flow and a constant exchange, then the containers can sit for periods of time, and then it becomes a bit of a mess to try to untangle to make sure that you’re pulling

containers back at, you know, the correct time.” CXB-0933-CXB-0934 (Banaszak Dep.) at 179:18 – 180:4.

198. [REDACTED]
[REDACTED] E-0064-0066, FLEXPORT 00000315 [REDACTED]
[REDACTED]); E-0088, PELOTON0038220 [REDACTED]
[REDACTED]; E-0089, FLEXPORT 00042232 ([REDACTED]
[REDACTED]
[REDACTED]); E-0091-0092, FLEXPORT 00051042 ([REDACTED]
[REDACTED]); B-2759, Baitman Dep. Tr. 151:4-25 (“Peloton dramatically expanded their warehouse space over time ... I think June of ’22, we opened up a Des Moines, Iowa facility with 400,000 square feet of space and pointed a lot of containers there... We kept opening new warehouses until we got to 22, 23 warehouses... Q: By the time – so it went from 22 to 23 warehouses from – when you started, it was how many did you say? A: I don’t remember exactly. It was probably 15”).

RESPONSE: Denied. The email correspondence cited references only future possible facilities that were scheduled to eventually open but were not open at the time of the email.

199. Opening a brand-new warehouse could take three months; for example, the Des Moines, Iowa warehouse took from May through July of 2021 to fully open. B-2815, Baitman Dep. Tr. 207:18-20.

RESPONSE: Admitted to the extent the testimony identifies an instance where it took three months to open a warehouse. However, the testimony also stated that “it depends of the scenario” and therefore, could take less or more time. CXB-2815 (Baitman Dep.) at 207:13-17.

200. Part of Peloton's Angad Gadhok's job responsibilities were to "procure space based on Peloton's requirements, which meant additional DCs." B-2473, Gadhok Dep. Tr. 127:19-20.

RESPONSE: Admitted that the sentence is part of the deposition.

201. Gadhok testified that, "whenever we needed space, I was able to procure it and make sure that that wasn't a constraint at Peloton." B-2474, Gadhok Dep. Tr. 128:6-8.

RESPONSE: Admitted that the sentence is part of the deposition. CXB-2378-CXB-2379, CXB-2406-CXB-2407, CXB-2462-CXB-2463, CXB-2471, CXB-2498-CXB-2499, CXB-2505-CXB-2506, CXB-2511-CXB-2512, CXB-2517 (Gadhok Dep.) at 32:23 – 33:25 (did not remember the type of agreement between the parties, when it was renewed, nor the specifics of the terms of the agreement), 60:14 – 61:18 (did not remember when Peloton decided to separate services related to inland transportation or who was involved in making that decision), 116:19 – 117:20 (did not remember when he spoke with Peloton regarding Flexport's detention and demurrage charges), 125:22-24 ("I was more focused on understanding it from a dollar amount perspective, and I don't remember the specifics of a dollar amount."), 152:21 – 153:22 (unable to recall specifically when he found additional space for Peloton), 159:21 – 160:10 ("I don't remember the specifics of 2021 [with respect to finding space] because I was doing a bunch of other things to help set up procurement at Peloton"), 160:12-21 (did not remember how long it would take to locate, procure, and lock down a space in 2021), 165:14 – 166:7 (despite acknowledge that the information was discussed did not remember how much Flexport charged for detention and demurrage in either 2021 or 2022), 171:7-16 (did not remember whether Flexport's services were procured in 2022 after the bid process).

202. Gadhok testified that “[w]hat I do recall is in time of constraints, we were able to proffer new solutions rather quickly. So I won’t go to the extent of saying that there was never a constraint, but I will go to the extent of saying yes, whenever there was a seeming constraint, we worked around the clock to sort of figure out how to solve that.” B-2475, Gadhok Dep. Tr. 129:12-19.

RESPONSE: Admitted that the sentence is part of the deposition. CXB-2493-CXB-2494, CXB-2498-CXB-2500, CXB-2505-CXB-2506 (Gadhok Dep.) at 147:18 – 148:12 (did not remember if he was informed of space constraints in 2021), 152:21 – 154:8 (unable to recall specifically when he found additional space for Peloton), 159:21 – 160:10 (“I don’t remember the specifics of 2021 [with respect to finding space] because I was doing a bunch of other things to help set up procurement at Peloton”), 160:12-21 (did not remember how long it would take to locate, procure, and lock down a space in 2021).

203. [REDACTED]
[REDACTED]. E-0093-0094, FLEXPORT 00021150 (Flexport adds additional space in Corona [REDACTED]
[REDACTED]
[REDACTED] E-0095, FLEXPORT 00001731 (emphasis in original).

RESPONSE: Admitted to extent that Flexport provided services to Peloton during the relevant time period related to warehouse storage. However, this is not relevant to the subject issues in this proceeding.

204. Baitman testified that when Peloton needed short term storage it would contact Flexport for these needs because “[i]t wasn’t worth opening up a brand-new warehouse for three months, but it was worth procuring some additional space.” B-2762, Baitman Dep. Tr. 154:11-13.

RESPONSE: Admitted to extent that Flexport provided services to Peloton during the relevant time period related to warehouse storage. However, this is not relevant to the subject issues in this proceeding.

205. [REDACTED]

[REDACTED] E-0099,
FLEXPORT 00020491. [REDACTED]. *Id.* E-0099,
FLEXPORT 00020491.

RESPONSE: Admitted to the extent the emails contain the information as described; otherwise denied.

206. [REDACTED]

E-0104, FLEXPORT 00021532. [REDACTED]
[REDACTED] E-0108, FLEXPORT 00029923.

RESPONSE: Admitted.

207. [REDACTED]

[REDACTED]
[REDACTED]
[REDACTED].” E-0085, FLEXPORT 00022416.

RESPONSE: Admitted to extent that Flexport informed Peloton it would “not be charged for any dry-run or bobtail fees as this was a Flexport trucking error.” However, this incident involved only two containers and was resolved within less than 24 hours.

208. There were times during the backlog when Flexport asked if Peloton had plans to slow down production in response to blank sailings, and Peloton responded that it did not plan to slow down. E-0110, FLEXPORT 00094407.

RESPONSE: Admitted, and supports Flexport's position.

209. However, David Baitman testified that Peloton “modeled how much was being manufactured, how much was on the water, how much storage space we had, and how fast our sales were going, and we – we had to adjust. You know, there is some unexpected stuff that happens in logistics you have to adjust to it.” B-2761-2762, Baitman Dep. Tr. 153:13-154:1.

RESPONSE: Admitted, and supports Flexport's position.

210. [REDACTED]
[REDACTED]. E-0114,
FLEXPORT 00025487 ([REDACTED]
[REDACTED]); E-0119-0120, FLEXPORT 00029324 [REDACTED]
[REDACTED]

RESPONSE: Admitted, and supports Flexport's position.

211. [REDACTED]
[REDACTED]. E-0126, FLEXPORT 00007104; E-0128,
FLEXPORT 00001390.

RESPONSE: Admitted, and supports Flexport's position.

212. [REDACTED]
[REDACTED]
[REDACTED]. E-0129, FLEXPORT 00025542.

RESPONSE: Admitted, and supports Flexport's position.

213. [REDACTED]
[REDACTED].” E-0129, FLEXPORT
00025542.

RESPONSE: Admitted, and supports Flexport's position.

214. On September 9, 2021, Peloton entered into a destination management contract with [REDACTED]
[REDACTED].” E-0132, FLEXPOR 00038205; B-2425, Gadhok Dep.
Tr. 79:8-80:11.

RESPONSE: Admitted.

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

RESPONSE: Admitted, and supports Flexport's position.

216. As another means of offsetting the demurrage and detention accruing as a result of the LA Long Beach backlog, Peloton agreed to utilize the Valor Victoria IPI Rail option to keep its containers moving. E-0134-0136, FLEXPOR 00046123.

RESPONSE: Admitted that the rail option was utilized for a small portion of shipments.

Also shows these were NOT “store door”.

VII. A Fulsome Review of the Record Reveals that Flexport Charged Peloton for Millions of Dollars of D&D Where Flexport Only Recorded Issues for Which Flexport Was Responsible, or Recorded No Reason At All

217. The Smith Supplemental Expert Report was created by Peloton damages expert, Greg Smith, who reviewed the entries in the Peloton Events Download Spreadsheet for each

FLEX-ID listed in Exhibit A to the Amended Complaint. D-1658, Smith Suppl. Expert Report at 1 n. 3.

RESPONSE: Denied. The Smith Supplemental Report was prepared by counsel for Peloton. The review of Mr. Smith lists only the shipment IDs. The review of Mr. Smith lists only the shipment IDs. Both the Invoices and the Events Downloads referenced containers as well. Mr. Smith does not identify a single container at issue – nor any event connected to that container – nor any delay resulting from that event – nor any D&D assessed as a result. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

218. The Smith Supplemental Expert Report concluded that \$1.7 million in charges show indications of some Peloton responsibility and some Flexport responsibility. D-1660, Smith Suppl. Expert Report ¶ 7(c).

RESPONSE: Denied. Mr. Smith’s Supplemental Report, prepared by counsel for Peloton and filed after the expert discovery deadline, has no basis in fact. Mr. Smith made no evaluation at all as to Peloton’s responsibilities, the backlogs, or their inability to received any shipment. *See* Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

219. The Smith Supplemental Expert Report concluded that \$134,520 in charges show only indications of Peloton responsibility. D-1660, Smith Suppl. Expert Report ¶ 7(d).

RESPONSE: Denied. Mr. Smith’s Supplemental Report, prepared by counsel for Peloton and filed after the expert discovery deadline, has no basis in fact. Mr. Smith made no evaluation at all as to Peloton’s responsibilities, the backlogs, or their inability to receive any shipment. *See* Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

220. The Smith Supplemental Expert Report concluded that there were 102 instances of “Peloton Issues” on 58 different shipments. D-1670-1762, Smith Suppl. Expert Report, Ex. 3.

RESPONSE: Denied. Mr. Smith’s Supplemental Report, prepared by counsel for Peloton and filed after the expert discovery deadline, has no basis in fact. Mr. Smith made no evaluation at all as to Peloton’s responsibilities, the backlogs, or their inability to received any shipment. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

221. The Smith Supplemental Expert Report was produced using data produced by Flexport from its CORE Platform in which Flexport recorded reasons for delay of Peloton Shipments that lead to increased D&D charges. D-1670-1762, Smith Suppl. Expert Report, Ex. 3.

RESPONSE: Denied. The Events Downloads reflected “events” as inputted from various sources and were not indicative of any reason for delay. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

222. Flexport charged Peloton for \$26 million in D&D related to shipments in which Flexport only recorded delays that were the responsibility of Flexport. D-1670-1762, Smith Suppl. Expert Report, Ex. 3. Flexport charged Peloton for \$5.8 million in D&D in which it recorded no or insufficient data to determine whether Flexport or Peloton was responsible for the delays. D-1659-1660, Smith Suppl. Expert Report, ¶ 7; D-1670-1762, Smith Suppl. Expert Report, Ex. 3.

RESPONSE: Denied. Mr. Smith’s Supplemental Report, prepared by counsel for Peloton and filed after the expert discovery deadline, has no basis in fact. Mr. Smith made no evaluation at all as to Peloton’s responsibilities, the backlogs, or their inability to receive any shipment. The Report of Mr. Smith lists only the shipment IDs. The review of Mr. Smith lists only the shipment IDs. Both the Invoices and the Events Downloads referenced containers

as well. Mr. Smith does not identify a single container at issue – nor any event connected to that container – nor any delay resulting from that event – nor any D&D assessed as a result. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

VIII. Peloton’s Coupa System Revealed Inconsistencies

223. Peloton used a software platform called Coupa to manage its accounts payable, including tasks such as tracking invoices and payments of D&D charges. D-1439-1440, Smith Expert Report ¶ 26; *see also* B-2668-2669, Baitman Dep. Tr. 60:17-61:8.

RESPONSE: Admitted. But the software also allowed for review of invoices. See CPFF226.

224. Coupa is a spend management platform to, among other things, optimize supply chains. D-1439-1440, Smith Expert Report ¶ 26.

RESPONSE: Admitted that the Smith Report states this.

225. The Coupa file includes the following fields:

- a. Invoice #
- b. Supplier
- c. Created Date
- d. Total (amount)
- e. Status
- f. Delivery Method
- g. Paid (true or false).

D-1440, Smith Expert Report ¶ 26 (a)-(g).

RESPONSE: Admitted that the Smith Report states this.

226. Coupa also allowed Peloton to “approve or reject invoices within that system.” B-2668, Baitman Dep. Tr. 60:21-22; *see also* B-2092, Beyar Dep. Tr. 45:14-17.

RESPONSE: Admitted that software allowed for review of invoices.

227. The invoice amount would indicate how many levels of approval were needed by Peloton. B-2669, Baitman Dep. Tr. 61:1-8.

RESPONSE: Admitted that Mr. Baitman testified to this.

228. With regard to Flexport, any invoice that was submitted to invoices@onepeloton and then uploaded into Coupa went through the approval process. B-1728, Peloton 143(b)(6) Dep. Tr. 241:15-17.

RESPONSE: Admitted, and supports Flexport's position.

229. Peloton's damages expert, Greg Smith, analyzed Peloton's Coupa data in his Report's Exhibit 3. As shown in the Smith Expert Report Exhibit 3, "Flexport invoices total \$195 million dollars (excluding invoices entered in 2019 and 2024, the total is \$189 million) and these invoices were all paid by Peloton." D-1440, Smith Expert Report ¶ 17.

RESPONSE: Denied that Mr. Smith analyzed any data. Flexport's charges and whether same were paid are irrelevant.

230. Smith compared Exhibit 1 and Exhibit 3 and found that it "illustrates that, in practice, Flexport often grouped several of the individual shipment invoices (shown in Exhibit 1) into consolidated invoices that covered multiple shipments that were then paid by Peloton." D-1440-1441, Smith Expert Report ¶ 28.

RESPONSE: Admitted that the Smith Report states this. However, the record is clear that each individual invoice was submitted to Peloton. *See supra*, CPFF228 (citing CXB-1728 (Peloton 143(b)(6) Dep.) at 241:15-17); CXB-0463 (Tanner Dep.) at 194:11-16; CXB-0679-CXB-0680 (Peckham Dep.) at 181:24 – 182:3. Then Peloton requested that Flexport provide consolidated invoices. CXB-0891, CXB-0895 (Banaszak Dep.) at 137:7-12, 141:6-11; CXB-

1204, CXB-1208-CXB-1209 (Breck Dep.) at 225:3-9, 229:16 – 230:21; CXB-1427, CXB-1429-CXB-1430 (Nable Dep.) at 176:6-12, 178:20 – 179:1.

231. Under ordinary circumstances, Peloton would audit an invoice when it was received and either approve the invoice or reject it. B-2669, Baitman Dep. Tr. 61:12-17.

RESPONSE: Admitted that Mr. Baitman testified to this and that Peloton reviewed and approved each and every invoice at issue in this litigation.

232. Peloton routinely audits invoices as a matter of sound business practice in order to be able to identify any errors and raise them with the carriers. B-2859, Baitman Dep. Tr. 251:3-11.

RESPONSE: Admitted that Mr. Baitman testified to this and that Peloton reviewed and approved each and every invoice at issue in this litigation.

233. Due to the large influx of shipments that it received during the COVID-19 pandemic, Peloton received invoices at a rate faster than it could audit them. B-2658-2659, 2669, Baitman Dep. Tr. 50:23-51:13; 61:17-20.

RESPONSE: Denied.

234. [REDACTED]

[REDACTED]. B-2630, B-2669, Baitman Dep. Tr. 22:5-10; 61:17-20.

RESPONSE: Admitted that Mr. Baitman testified to this.

235. It is common practice within the shipping industry to pay invoices when they are received, then review them and dispute any discrepancies after the fact. B-2632, Baitman Dep. Tr. 254:5-8.

RESPONSE: Admitted that Mr. Baitman testified to this with respect to the “transportation industry”; however, the correct citation is CXB-2633 (Baitman Dep.) at 25:4-8. Denied as to

the unsupported conclusion as to what the “common practice” in the “shipping industry” is or even means.

236. Peloton was also aware that FMC regulations provided for a three-year lookback period within which to dispute an invoice charge. B-2756-2757, Baitman Dep. Tr. 148:14-149:2.

RESPONSE: Admitted that Mr. Baitman testified to this; however, as per the signed MSA between the parties, Peloton agreed to raise any dispute regarding an invoice within 30 days. CXC-0045 (2021 MSA) at 2.

237. [REDACTED]

[REDACTED] B-2630, B-2658-2659, B-2680, Baitman Dep. Tr. 22:5-10; 50:23-51:13; 72:6-16; B-1716, Peloton 143(b)(6) Dep. Tr. 229:10-20.

RESPONSE: Admitted that Mr. Baitman testified to this; however, Peloton reviewed and approved each and every invoice at issue in this matter before paying same. *See supra*, CPFF226, CPFF228, CPFF231, CPFF232. However, the documents produced by Peloton completely undermine this assertion. On August 2, 2022, David Baitman engaged in an internal discussion regarding monies owed to Flexport. He stated: “We stopped doing business with [Flexport] several months ago and found a large number of invoices that were never paid. We had hoped to get all the invoices approved last night.” The amount owed was \$5.1 million. CXC-0789-CXC-0791 (email regarding payment of Flexport invoices). Peloton then approved and made the payment. CXC-0792-CXC-0808 (email regarding finalizing payment for Flexport invoices).

If Peloton only continued using Flexport because it did not want the services to cease, then why, after Peloton stopped using Flexport's services, did Peloton review, approve and pay over **\$5 million** in D&D charges? That makes no sense at all.

238. Carriers generally issue shippers a line of credit. If a shipper exceeds its credit limit by a certain threshold, the carrier may cut off the shipper from services and pursue collections actions against the shipper. B-2695, Baitman Dep. Tr. 87:1-21.

RESPONSE: Admitted that Mr. Baitman testified to this. Denied as to what carriers “generally” do for all shippers.

239. Peloton paid invoices issued by Flexport in order to maintain its credit at an acceptable level and avoid being cut off from services. B-2695, B-2752-2753, Baitman Dep. Tr. 87:12-23; 144:17-145:9.

RESPONSE: See Response to CPFF237.

240. Approval of invoices in Coupa simply meant releasing those invoices for payment; it did not constitute approval of the charges those invoices contained. B-2686, B-2694, Baitman Dep. Tr. 78:5-19; 86:2-6 (“[A]pproval was release for payment. It did not mean that I gave my stamp of approval on the actual content of the invoice.”).

RESPONSE: Denied. Peloton testified that each invoice was reviewed by several personnel, including senior managers and executives. CXB-1725-CXB-1728 (Peloton 143(b)(6) Dep.) at 238:6 – 241:17; CXB-1209 (Breck Dep.) at 230:7-13 (“auditing continued to happen through the approval process with Peloton.”).

A. Peloton Conducted a Review of Past Freight and D&D Invoices.

241. In or around May 2023, Peloton began auditing freight invoices issued for active shipments. Beyar was one of the employees tasked with conducting this audit. B-2088, Beyar Dep. Tr. 41:15-21.

RESPONSE: Admitted that Mr. Beyar testified as to this. Denied to due to lack of evidence as concealed by Peloton and its counsel.

242. A few months later, Beyar and his team were instructed to review past freight invoices as well as past D&D invoices. B-2088-2089, Beyar Dep. Tr. 41:22-42:18.

RESPONSE: Admitted that Mr. Beyar testified as to this and that he was instructed to do so by Mr. Baitman and Martina Majorostovic. CXB-2089 (Beyar Dep.) at 42:5-18.

243. Upon reviewing those invoices, Peloton discovered D&D charges assessed by Flexport that it deemed unreasonable or “suspicious.” B-1550, B-1613, Peloton 143(b)(6) Dep. Tr. 63:11-14; 126:6-8.

RESPONSE: Admitted that Peloton testified as to this and never advised Flexport of any specific charge.

244. For Flexport invoices, Peloton reviewed information available through Flexport’s tracking portal, email communications between Flexport and Peloton, internal Peloton communications, and information from a third-party software tool called BlueCargo. B-1518-1520, Peloton 143(b)(6) Dep. Tr. 31:21-33:15. This preliminary review indicated excessive charges and billing discrepancies related to D&D. B-2646-2647, B-2657-2658, B-2794, B-2838, Baitman Dep. Tr. 38:20-39:12; 49:7-50:3; 186:12-24; 230:1-10.

RESPONSE: Admitted that Peloton and Mr. Baitman testified as to this.

245. On September 7, 2023, Peloton’s Angad Gadhok emailed Peloton in-house counsel to request legal advice on laws and regulations related to challenging and recouping detention and demurrage charges, attaching the spreadsheet prepared by Beyar. F-0053, Gadhok Affidavit ¶ 3.

RESPONSE: Denied. During his deposition, Mr. Gadhok testified that he was brought into meetings (with only Mr. Baitman, Mr. Beyar, and Martina Scholz) “to be informed, you know, the ops team was noticing a lot of spending in this area and that we were being tasked to figure out ways to sort of alleviate that burden.” CBX-2468-CBX2469 (Gadhok Dep.) at 122:14 – 123:21. Mr. Gadhok then testified under oath, that “the extent of his memory” was that he was “brought into these discussions (with only Mr. Baitman, Mr. Beyar, and Martina Scholz) and that there was detention and demurrage. CBX-2470 (Gadhok Dep.) at 124:2-15. Mr. Gadhok made no mention of any contact with counsel. This information was never produced and, indeed, the Affidavit does not say ANYTHING about the spreadsheet or that it was prepared by Mr. Beyar. CXF-0053 (Gadhok Aff.) at ¶¶ 3-4.

IX. Flexport’s CORE System Was Not Reliable

246. CORE is Flexport’s propriety operating system used to track all aspects of shipments from door to door, port to door, or port to port, and calculate charges based upon Flexport’s tariffs, number of free days, NRAs, and NSAs. *See* B-0161-0164, Flexport 143(b)(6) 161:8-164:4; B-0365, Tanner Dep. Tr. 96:1-17.

RESPONSE: Admitted.

247. CORE includes all data related to shipments, including “client information, shipper information, booking information, commodity information, container information; piece, counts, weights, seal numbers; routing information, such as origin, origin port, destination port, destination; any timeline associated with that routing, such as ETs, ATAs, ETDs, ATDs; customs

documentation, custom status, ISF status, invoices, commercial invoices received in PDF form, packing lists, bill of lading information, quotes, the NRA itself, and the invoices.” B- 0365, Tanner Dep. Tr. 96:1-17; B-1078-107:9; B-2078-2079, Breck Dep. Tr. 99:23-100:19.

RESPONSE: Admitted that Mr. Tanner and Mr. Breck testified as to the information available through CORE. Otherwise denied.

248. CORE also includes container arrival dates, discharge dates and outgate dates, as well as tracking of free time and D&D. B-0365-0366, Tanner Dep. Tr. 96:18-97:16.

RESPONSE: Admitted and as explained by Mr. Tanner “but a final number [for detention and demurrage] wouldn’t be calculated until the invoice was generated.” CXB-0366 (Tanner Dep.) 97:2-5.

249. Flexport’s truckers electronically enter shipment status updates through the “Transmission” system, which are supposed to be reflected in CORE. A-0242, Exhibit A to Dkt. No. 71, Decl. of Ryan Tanner ¶ 11.

RESPONSE: Denied as stated. The truckers *could* enter shipment status information but were not obliged to. Any data entered though “Transmission” is reflected in CORE.

250. Flexport “hardcoded” its tariff into CORE, which automatically calculated the demurrage or detention applicable to shipments based on Flexport’s tariff, the number of free days, NRAs, and NSAs. B-0162 Flexport 143(b)(6) Dep. Tr. 162:8-10; B-0362-0363, Tanner Dep. Tr. 93:10-94:6; B-0565-0566, B-0630, B-0632, Peckham Dep. Tr. 67:23-68:14 (“If it is a contracted rate, meaning at some point Flexport and Peloton had agreed upon what the price per container was going to be ... it is really just looking at the rate sheet, entering the charges into the system and clicking “share”), 132:21-24 (“it is just a simple formula that populates or that calculates charges based upon Flexport’s tariff”), 134:12-13.

RESPONSE: Admitted.

251. The CORE system populated these D&D charges in Peloton invoices. B-0626, Peckham Dep. Tr. 128:6-21.

RESPONSE: Admitted to the extent that the CORE system calculates D&D charges; however, Peckham further explained that “a common practice would be to make sure that the data within Core is accurate. So there might be a date that’s wrong or something like that if you see a charge that doesn’t look right... to double check that the information within Core is accurate so the charge can be calculated accurately.” CXB-0631-CXB-0632 (Peckham Dep.) at 133:18 -134:20.

252. Although Flexport at one point considered implementing “reason codes” for any excessive dwell containers, Flexport abandoned this idea after concluding that it would have “low ROI” and that its current CORE practices were sufficient. E-0022, FLEXPOR 00007747.

RESPONSE: Denied. The cited spreadsheet is an internal document containing preliminary notes. No Flexport witnesses were ever asked any question on this spreadsheet and anything taken from it is hearsay and out of context.

253. Multiple “tabs” existed within CORE, two of which were the “operations tab” and “invoices tab.” B-0626, Peckham Dep. Tr. 128:17-21.

RESPONSE: Admitted.

254. CORE pulled shipping information from the operations tab to populate fields in the invoices tab. B-0626, Peckham Dep. Tr. 128:17-21.

RESPONSE: Admitted.

255. Flexport employees then accessed this information via a “charge queue” that automatically generated an invoice for their review, approval, and transmission to Peloton. B-0702-0703, Peckham Dep. Tr. 204:11-205.

RESPONSE: Admitted to the extent that Flexport invoices would be prepared via the charging queue; however, Peckham explained that “a common practice would be to make sure that the data within Core is accurate. So there might be a date that’s wrong or something like that if you see a charge that doesn’t look right... to double check that the information within Core is accurate so the charge can be calculated accurately.” CXB-0631-CXB-0632 (Peckham Dep.) at 133:18 – 134:20. Additionally, he testified that if the information is the charge queue was incorrect “you can reject the charge and manually add it based upon your calculation.” CXB-0703 (Peckham Dep.) at 205:11-19.

256. CORE automatically calculated D&D based upon the number of days past free time and Flexport’s tariffs. B-0630-0631, Peckham Dep. Tr. 132:21-133:7.

RESPONSE: Admitted.

257. Flexport’s D&D invoices did not include all the information required by OSRA. E-0264, PELOTON0016855.

RESPONSE: Denied. Curious why this statement was inserted in the middle of talking about CORE and the calculation of D&D. The referenced document is a single invoice. Further, out of the 1,085 invoices at issue in this litigation (the other 2,164 being time-barred), only 16 invoices were issued after the passage of OSRA 2022. Seven (7) of these invoices were for storage charges, not D&D. For the remaining invoices, any missing information were contained in OSRA Addenda issued by Flexport and produced in this litigation. *See* RX25-RX32.

258. Although CORE was meant to provide updates on the milestone movements of containers, the system did not always provide accurate information on the movement of Peloton Shipments. B-1521-1522, Peloton 143(b)(6) Dep. Tr. 34:9-35:25; E-0138-0139, FLEXPOR 00007916 (email exchange regarding TO number issues and showing mismatched TO numbers; Peloton explaining that "there is way too much confusion on the Flexport side and now we are incurring additional costs because of it"); E-0143, FLEXPOR 00019112 (Flexport projections showing the wrong vessel arrival dates to Peloton, so the container arrived much earlier in the month); E-0144-0145, FLEXPOR 00049743 (Flexport system showing inaccurate data regarding the number of containers sitting at origin ports).

RESPONSE: Admitted that no system is flawless.

259. Flexport's tracking portal frequently displayed inaccurate or outdated information, which caused confusion and delayed Peloton's ability to retrieve shipments in a timely manner. B-1693-1694, Peloton 143(b)(6) Dep. Tr. 206:6–207:2; E-0022, FLEXPOR 00007747; E-0148-0149, FLEXPOR 000056313 (Flexport system showing containers delivered to San Bernadino which never arrived there; Flexport attributed this to "confusion regarding the final delivery location").

RESPONSE: Admitted that no system is flawless. Denied that one instance out of 7,000 containers constitutes "frequently". Also, denied that this information – which could be inputted by Peloton itself – caused any delay which led to the imposition of detention or demurrage, and no evidence of such causal link has been shown.

260. [REDACTED]

[REDACTED]

[REDACTED]

. B-1522-1523, Peloton 143(b)(6) Dep. Tr. 35:19-36:6.

RESPONSE: Admitted that Peloton testified to this – and has not produced any evidence of same.

261. At other times, CORE did not accurately indicate when a container was available for pickup, which resulted in delays in transporting those containers to Peloton's distribution centers. B-1692, Peloton 143(b)(6) Dep. Tr. 205:4-14.

RESPONSE: Admitted that Peloton testified to this – and has not produced any evidence of same.

262. There were yet other instances when Peloton presumed that a container was in transit based on information available in CORE, only to find out days later that the container had not in fact moved. B-1693, Peloton 143(b)(6) Dep. Tr. 206:12-18.

RESPONSE: Admitted that Peloton testified to this – and has not produced any evidence of same.

263. As a result of these inaccuracies in CORE's data, Peloton was compelled to proactively contact Flexport to inquire about the movement of the container, particularly when the next leg of the container's transportation had already been arranged. B-1693-1694, Peloton 143(b)(6) Dep. Tr. 206:19-207:2.

RESPONSE: Admitted that Peloton testified to this – and has not produced any evidence of same.

D. Peloton Attempted to Resolve Its Demurrage and Detention Disputes with Flexport Through Direct Discussions with the Flexport Team.

264. Peloton's audit of Flexport invoices revealed a pattern of discrepancies and overbilling of D&D that was significant enough to raise with Flexport. B-2637, B-2818, Baitman Dep. Tr. 29:1-17; 210:1-9.

RESPONSE: Admitted that Peloton testified to this, never identified a single instance – and then concealed its findings.

265. In the absence of any formal dispute resolution mechanism made available by Flexport, in or around February and March 2024, Peloton attempted to engage in direct discussions with Flexport in order to resolve the discrepancies that it uncovered in its invoice review. B-1582-1583, Peloton 143(b)(6) Dep. Tr. 95:5-96:1; B-2628, Baitman Dep. Tr. 20:15-5.

RESPONSE: Denied as stated. What exactly is meant by “any formal despite resolution mechanism”? The parties had a signed agreement whereby Peloton could challenge any invoice or charge. See CXC-0045 (2021 MSA) at 2. Indeed, throughout their business relationship, Peloton did question certain charges – as is true with any business relationship. Each and every one of these questions was answered and resolved. When Flexport was confronted by Peloton, Flexport requested that Peloton provide examples of what invoices were in disputed. Peloton refused. The same is true when Chris Nolan of Holland & Knight demanded the payment of \$33 million – when Flexport asked what invoices were being questions, Mr. Nolan replied “all of them”. When Mr. Nolan was asked what the issues were, he responded that he did not have to reveal this information. As such, it is unclear what is meant by a “formal despite resolution mechanism” or how that was not in place.

266. [REDACTED]

[REDACTED]. B-1582-1583, Peloton 143(b)(6) Dep. Tr. 95:22-96:1.

RESPONSE: Admitted. See Response to CPFF265.

267. Peloton provided specific examples of invoice discrepancies to the Flexport team in an attempt to clarify the underlying reasons for those D&D charges. B-1583, Peloton 143(b)(6) Dep. Tr. 96:13-21; B-2209-2210, Beyar Dep. Tr. 162:25-163:10.

RESPONSE: Denied. Mr. Beyar testified to this, however, could not identify a single invoice. No such invoice has ever been identified.

268. Additionally, Peloton asked Flexport to conduct its own research to determine the underlying cause of the D&D charges. B-2206-2207, B-2210, Beyar Dep. Tr. 159:16-160:3; 163:11-18.

RESPONSE: Admitted that Mr. Beyar testified to same.

269. When Peloton raised invoice disputes with other carriers, it was able to engage in discussions with those carriers, leading to amicable resolution. B-2882, Baitman Dep. Tr. 274:1-4.

RESPONSE: Admitted that Mr. Baitman testified to same. However, no evidence of same has been produced – and would be irrelevant in any event to the subject issues in this proceeding.

270. [REDACTED]
[REDACTED]. B-2634-2635, B-2650-2651, Baitman Dep. Tr. 26:23-27:5; 42:7-43:2.

RESPONSE: Denied. See Response to CPFF265. Flexport has been asking Peloton to engage in a meaningful discussion since February 2024 and since. At all times, Peloton, and then their counsel, refused to provide any inkling as to any invoice or dispute.

271. [REDACTED]
[REDACTED]

[REDACTED]. B-2651, B-2795-2796, Baitman Dep. Tr. 43:3-15; 187:24-188:25.

RESPONSE: Denied. See Response to CPFF265 and CPFF270. Also, this statement is interesting. According to Martina Majstorovic, it was Peloton which engaged counsel, long before speaking with Flexport. CXB-1579 (Peloton 143(b)(6) Dep.) at 92:1-16. Mr. Baitman, however, clearly testified that Peloton only contacted counsel AFTER discussions with Flexport ended. CXB-2796 (Baitman Dep.) at 188:17-23. To be clear, however, the discussions ended not when Flexport advised it was seeking legal counsel, but when Peloton refused to provide ANY information as to any of its claims.

E. Peloton Ultimately Ceased Using Flexport as a NVOCC Based on Flexport's Unsatisfactory Performance and Excessive Rates.

272. Peloton made the decision to cease utilizing Flexport as an NVOCC in part because Flexport charged Peloton substantially more in freight and other charges compared to steamship lines. B-2800, B-2808, Baitman Dep. Tr. 192:11-23; 200:4-17.

RESPONSE: Admitted that Mr. Baitman testified as to this. However, when asked why Peloton continued to use Flexport if Flexport was not performing satisfactorily, Peloton answered “[w]e had thousands of shipments moving at that point in time when we brought on EDRAI. Realistically, we needed Flexport’s support in order to continue to move those shipments until we had better carriers in place to start to move that volume. Because of the volume we were moving at the time, it took us time to be able to move that volume away from Flexport.” CXB-1634 (Peloton 143(b)(6) Dep.) at 147:10-21. It is worth noting, however, that Peloton continues to utilize Flexport for Customs Brokerage services – to this day – and even recently approached Flexport to continue providing NVOCC services.

273. Peloton also ceased using Flexport as a NVOCC due to Flexport's issues sourcing chassis and truck drivers and its failure to secure appointments to move containers out of port or return empty containers to the port, which resulted in the accrual of D&D. B-1630-1631, Peloton 143(b)(6) Dep. Tr. 143:16-144:5.

RESPONSE: Admitted that Peloton testified as to this. See Response to CPFF272.

274. Peloton expected that Flexport, as an NVOCC that held itself out as an "end-to-end supply chain solution," was capable of moving containers in a timely manner without incurring D&D charges; however, Flexport did not fulfill these expectations. B-1631-1632, Peloton 143(b)(6) Dep. Tr. 144:6-145:12.

RESPONSE: Admitted that Peloton testified to this; otherwise, denied.

275. In 2021, due to Flexport's poor performance in managing inland transportation of Peloton's cargo, Peloton brought on the third-party logistics provider [REDACTED] to replace Flexport as its inland service provider. B-1627, Peloton 143(b)(6) Dep. Tr. 140:5-25.

RESPONSE: Admitted that Peloton testified to this. However, Flexport and EDRA Y worked together on shipments. CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1-5. Further, EDRA Y may have handled some shipments, but Peloton did not stop using Flexport until August 2022.

276. [REDACTED] was a destination management partner that Peloton brought on in mid-2021 to provide greater real-time visibility into inland container movements. B-2855-2856, Baitman Dep. Tr. 247:24-248:5; B-1508, Peloton 143(b)(6) Dep. Tr. 21:21-22.

RESPONSE: Admitted that is what Mr. Baitman testified to. However, this was not what Martina testified to on behalf of Peloton. CXB-1627-CXB-1629 (Peloton 143(b)(6) Dep.) at 140:11-12 (EDRA Y was Peloton's third-party logistics provider), 141:22 – 142:6 ("I would

categorize [EDRAY] as a third-party logistics provider that offered inland transportation for us.”).

277. As a third-party logistics provider, [REDACTED] both arranged for inland transportation with underlying drayage carriers, and provided inland transportation using its own assets. B-1628, Peloton 143(b)(6) Dep. Tr. 141:6-21.

RESPONSE: Admitted that is what Martina Majstorovic (as Peloton’s corporate representative) testified to.

278. [REDACTED]’s services including making “arrangements, either with their own equipment or with other third parties, for the transportation of Peloton’s shipments from port to the inland destination” were necessary because Flexport’s services for the same could not be depended on. B-1629, Peloton 143(b)(6) Dep. Tr. 142:16-21.

RESPONSE: Denied. If that was the case, then why did Flexport work alongside EDRAY and why did Peloton continue to use Flexport to arrange for inland transportation through August 2022? See CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1 – 141:5 (testifying that EDRAY provided the inland transport service for shipments where Flexport provided ocean transport services). For other shipments, Flexport had no involvement with the ocean portion at all and only made the inland arrangements. CXB-1641 (Peloton 143(b)(6) Dep.) at 154:3-24.

279. There were times that Flexport was in communication with [REDACTED] about Peloton Shipments with occasional instances where Peloton “acted as the intermediary between the parties.” B-1630, Peloton 143(b)(6) Dep. Tr. 143:1-8.

RESPONSE: It is not known what is meant by “occasional” as Flexport would not have any knowledge as to the number of shipments for which Peloton engaged EDRAY without any

services or coordination with Flexport – Peloton did not provide this information. It is clear, however, that Flexport and EDRA Y collaborated on several shipments CXB-1628 (Peloton 143(b)(6) Dep.) at 141:1-5. It is also pointed out that for the shipments handled by EDRA Y, Peloton was STILL assessed demurrage and detention. And these were billed by Flexport on behalf of EDRA Y.

280. There were “a variety of reasons why [Peloton] considering Flexport [was] doing a bad job. They were not securing appointments to pick up containers and move them out of the terminal; thereby, incurring demurrage when they passed free time allotment. They were having issues sourcing chassis and truck drivers to pull [Peloton] containers from the” B-1630, Peloton 143(b)(6) Dep. Tr. 143:16-144:5.

RESPONSE: Admitted that Peloton testified to this. But, again, if they were doing such a bad job, then why continue using them? Why not terminate the contract? And why did Peloton’s CEO issue such high praise to Flexport? CXE-0715-CXE-0716 (email regarding CEO statement about Flexport). Why did Peloton clearly state that it would give a glowing recommendation of Flexport? RX188-RX190.

281. Over time, Peloton strategically shifted its logistics away from Flexport, ultimately terminating Flexport’s services around mid-2022. B-1703-1704, Peloton 143(b)(6) Dep. Tr. 216:2-217:19.

RESPONSE: Admitted that Flexport’s NVOCC services were terminated in mid-2022. However, Flexport continues to provide customs brokerage services to the present day.

282. Peloton could not cease using Flexport entirely during the COVID-19 pandemic due to the heightened demand for Peloton products and the need to keep Peloton cargo moving. B-1703, B-1714-1715, Peloton 143(b)(6) Dep. Tr. 216:6-19; 227:15-228:2.

RESPONSE: Admitted that is what Peloton testified to. But doesn't this undermine what was stated in the prior sentences? So, what Peloton is NOW saying is that they used Flexport because they had no choice?

283. Rather, Peloton moved away from using Flexport incrementally, continuing to utilize Flexport's services until it was able to replace Flexport with better-performing carriers. B-1634, Peloton 143(b)(6) Dep. Tr. 147:10-21.

RESPONSE: Admitted that is what Peloton testified to. See Response to CPFF281 and CPFF282.

284. Peloton was eventually able to replace Flexport as its NVOCC by working progressively to bring on other delivery partners, and ultimately developed direct relationships with steamship lines and inland transportation providers. B-1703, Peloton 143(b)(6) Dep. Tr. 216:6-19.

RESPONSE: Admitted that is what Peloton testified to. See Responses to CPFF281-CPFF283. And what, exactly, is the relevance of any of these statements?

X. PELOTON'S LIABILITY EXPERTS VALIDATE FLEXPORT'S RESPONSIBILITY FOR THE INLAND TRANSPORTATION OF PELOTON'S CARGO

285. Flexport did not submit any rebuttal to Roche's Expert Report or McCown's Expert Report. F-0141, Decl. of K. Little at 1.

RESPONSE: Admitted that no rebuttal report was submitted after the submission of the referenced reports. Also, admitted that no rebuttal report was needed since the legal opinions offered by the "experts" are unnecessary for the Commission – which clearly understands its own Rules and Regulations.

Further, the "expert" legal opinion proffered by Mr. McCown have already been deemed an unpersuasive by multiple Presiding Officers in other matters. *Samsung v. SM Line*, 2025 WL

2231637, at *43 (“The undersigned finds Mr. McCown’s report to be unpersuasive due to his failure to perform a container-by-container analysis. Mr. McCown’s review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis.”); *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, FMC Docket No. 22-30, 2025 WL 1255544, at *7 (ALJ Initial Decision April 22, 2025) (giving little weight to Mr. McCown opinions or statements that were not supported by evidence); *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 24-10, 2025 WL 1083815, at *20 (ALJ Initial Decision March 24, 2025) (finding Mr. McCown’s opinions that an invoice-by-invoice is not necessary as unpersuasive). The “expert” legal opinions preferred by Mr. Roche were addressed by Mr. Kardian, and are undermined by the evidence, or lack thereof, in this litigation, and common sense.

286. Although Peloton made both Roche and McCown available for deposition, Flexport chose to only conduct the deposition of Roche. F-0142, Decl. of K. Little at 2.

RESPONSE: Admitted. Also, admitted that this has no relevance.

A. Peloton’s Liability Expert Richard Roche’s Expert Opinions

287. Peloton’s first liability expert, Richard J. Roche, has vast experience in the shipping industry, having worked for freight forwarding companies for the past thirty years, including for the past fifteen years as Senior Vice President of Mohawk Global Logistics Corp. (“Mohawk”), an FMC-licensed NVOCC and a leading company in international trade facilitation and compliance. D-0001-0003, Roche Expert Report at 1-3.

RESPONSE: Denied. Mr. Roche worked for a small, local freight forwarder in Upstate New York whose gross revenue was only \$400 million. See CXD-0001 (Roche Rpt.) at 1; CXB-3169-CXB-3170 (Roche Dep.) at 195:24 – 196:9.

288. In addition to his experience working for freight forwarding companies, Roche serves on the Board of Directors of the National Customs Brokers and Forwarders Association of America (“NCBFAA”). D-0003, Roche Expert Report at 3.

RESPONSE: Admitted that Mr. Roche is the NVOCC subcommittee chairman at the NCBFAA. It was not known that he was also on the Board of Directors until this statement was made.

289. Roche assisted with the FMC’s Fact Finding Investigation No. 28 on “Conditions and Practices Relating to Detention, Demurrage and Free Time in International Oceanborne Commerce,” including serving on three FMC Innovation Teams headed by FMC Commissioner Rebecca Dye that resulted in the issuance of Commissioner Dye’s final report on Fact Finding Investigation No. 28 and the FMC’s Interpretive Rule issued on May 18, 2020. D-0003, Roche Expert Report at 3; B-3095-3096, Roche Dep. Tr. 121:20-122:2.

RESPONSE: Admitted that Mr. Roche claims these accomplishments.

290. For the past three years, Roche has served as the Fees and Subcharges Committee Chairman of the National Shippers Advisory Committee (“NSAC”), focusing largely on matters related to demurrage and detention, early receiving date changes, government holds, and rail jurisdiction applicable to storage charges on through bills of lading. D-0003, Roche Expert Report at 3.

RESPONSE: Admitted that Mr. Roche claims these accomplishments.

291. Roche has a “long history of being involved in demurrage and detention” and is “an advocate for understanding the reasons for having the demurrage and detention” as well as “an advocate for correcting the abuses of demurrage and detention.” B-3095-3096, Roche Dep. Tr. 121:10-122:10.

RESPONSE: Admitted that Mr. Roche claims these accomplishments. Denied as to the characterization that Mr. Roche is an advocate for his industry.

292. Roche attested that “Flexport was responsible for the transportation of Peloton’s cargo to door, i.e. carrier haulage or ‘store door’—which included the ocean and inland transportation” and “for providing or procuring the necessary means to do so, including adequate trucking, chassis and empty return availability.” D-0004, Roche Expert Report at 4.

RESPONSE: Admitted that Mr. Roche made these attestations against a competitor of his company, Mohawk, in exchange for payment. It is also noted that Mr. Roche admitted that the term “store door” applies to ocean carriers, not NVOCCs. See CXB-3257 (Roche Dep.) at 283:7-12. As such, his continued use of that term in his Report and testimony is curious.

293. “Store door” is an industry term that means door delivery through transport and is interchangeable with other industry terms such as “door delivered,” “port-to-door,” and “door-to-door.” B-3104, Roche Dep. Tr. 130:3-18; D-0010, Roche Expert Report ¶ 1.

RESPONSE: Admitted that Mr. Roche stated as much in his report and during his deposition. Otherwise, denied. See Response to CPFF292.

294. Carrier haulage is a practice in which “the common carrier retains responsibility to deliver contains to an inland destination.” D-0008, Roche Expert Report at 8. When providing such on-carriage services, the carrier “should also accept any claims, liabilities or damages that could arise during such a move.” D-0008, Roche Expert Report at 8.

RESPONSE: Denied. As Mr. Roche testified, and as set forth in Comments to the Interpretive Rule – that he made, “carrier” haulage applies to ocean common carriers. CXB-3254-CXB-3258 (Roche Dep.) at 280:16 – 284:4; 46 C.F.R. 545, 2020 WL 2569878, at *45.

295. Despite the impacts that the COVID-19 pandemic had on the shipping industry, Peloton took steps to maintain the fluidity of its freight movements, including by instructing Flexport to pre-pull containers out of marine terminals or to unload cargo into warehouse space to ensure that empty containers were returned within free time. D-0012, Roche Expert Report ¶ 10.

RESPONSE: Admitted that Mr. Roche stated this in his Report. However, the testimony relied on by Mr. Roche for this contention does not reflect his statement at all. See RXB-1678 (Peloton 143(b)(6) Dep.) at 191:13.

296. These actions were managed by Flexport under carrier haulage arrangements, and thus these moves “should not have incurred demurrage or detention charges from Flexport.” D-0012, Roche Expert Report ¶ 10.

RESPONSE: Admit that Mr. Roche stated this in his Report. Also, admitted that Mr. Roche does not provide any explanation as to why each and every bill of lading, the MSA, all NRAs, and all invoices provided that delivery would be “CY-CY”. Also, admitted that the Commission has held, multiple times, that D&D can (and should) still be assessed even under “carrier haulage” arrangements.

297. Flexport remained responsible for the performance and conduct of the asset-owning carriers, including ocean carriers and trucking companies, with which it contracted to provide end-to-end transportation services for Peloton Shipments. D-0014-0015, Roche Expert Report ¶ 20; D-2472, Roche Rebuttal Expert Report ¶ 7.

RESPONSE: Denied; Mr. Roche has absolutely no basis for this attestation and it makes no sense. Flexport was responsible for the conduct of the ocean carriers it contracted to provide CY-CY transportation? Mr. Roche's opinion flies in the face of long-standing jurisprudence that an entity which arranges for inland transportation (be it as an NVOCC, transportation broker or customs broker) is NOT responsible for the conduct of the underlying truckers. Indeed, the Terms and Conditions of Service promulgated by the NCBFAA specifically provide that the entity is NOT responsible for the conduct of third parties. The fact that Mr. Roche is offering such opinion in direct contradiction the terms and conditions that the NCBFAA has in place for its members (including Flexport) is abhorrent.

298. Flexport was responsible for ensuring the availability of chassis to transport Peloton Shipments, regardless of whether the drayage carriers with which it contracted sourced or supplied that chassis. D-0015, Roche Expert Report ¶¶ 21, 23.

RESPONSE: Denied. See Responded to CPFF297. Mr. Roche bases this on nothing and ignores the terms of the MSA and bills of lading.

299. Roche's company Mohawk provides port-to-door services to customers wherein Mohawk arranges for CY-CY transportation with ocean carriers under house bills of lading and subsequently arranges for drayage carriers to pick up containers and deliver them to their final destinations. D-2474, Roche Rebuttal Expert Report ¶¶ 14-15. These port-to-door moves are subject to FMC regulation. D-2474-2475, Roche Rebuttal Expert Report ¶ 16.

RESPONSE: Admitted that Mr. Roche states that his company, a competitor of Flexport, provides these services. But how does he explain the CY-CY bills of lading issued for each and every shipment? Or the reference to "CY-CY" terms in the MSA?

300. Similarly, Flexport arranged for both ocean transportation of Peloton containers via ocean carriers and subsequent inland transportation of those containers via drayage carriers. D-0010-0011, Roche Expert Report ¶¶ 4, 8; D-2471-2472, Roche Rebuttal Expert Report ¶¶ 5, 8.

RESPONSE: Admitted that for several – but not all – containers, Flexport arranged for the ocean and subsequent inland transportation. All ocean shipments were CY-CY. Further, for several shipments for which Flexport arranged the ocean transportation, Peloton engaged a different party to provide the inland transport – see above Response to CPFF279 where Peloton admits to using EDRA! For several other shipments, Flexport did not provide any ocean transportation services and only arranged the inland transportation. For ALL shipments that Flexport arranged for the inland transportation, it did so as a transportation broker, as regulated by the Federal Motor Carrier Safety Administration. This was clearly set forth in each quotation and invoice issued by Flexport for all of Peloton’s shipments, in addition to the MSA. *See also* CXE-0005, CXE-0009, CXE-0014, CXE-0018, CXE-0021, CXE-0170, CXE-0174, CXE-0182, CXE-0185, CXE-0188, CXE-0230, CXE-0266 (terms on Flexport Invoices) (“U.S. trucking services are provided by Flexport International, LLC, a FMCSA licensed property broker...”).

301. Flexport’s 143(b)(6) corporate representative, Tanner, inaccurately asserted that obtaining chassis during the pandemic was difficult because marine terminal operators and master carriers had an absolute market on chassis pools. D-0015, Roche Expert Report ¶ 24.

RESPONSE: Denied as this is a mischaracterization of Mr. Tanner’s complete testimony on the topic. Mr. Tanner later testified “Well, not absolute. I won’t use that. That’s an absolute. I don’t like absolutes. They had the majority share of chassis available in the market, which there were very few of.” CXB-0187 (Flexport 143(b)(6) Dep.) at 187:14-17. But let’s take a

look at this. Is Mr. Roche – the “industry expert” claiming that obtaining chassis during the pandemic was NOT difficult? This needs to be consider when assessing the persuasiveness of his “expert” opinion. And this opinion is not relevant or necessary – clearly the Commission knows full well about the chassis shortages during this time and the causes.

302. In contrast to Flexport, Mohawk was able to source chassis during the pandemic by contracting with drayage carriers that operated their own private fleets of chassis, which allowed those carriers to move in and out of marine terminals more efficiently. D-0016, Roche Expert Report ¶ 26.

RESPONSE: As Mr. Roche testified, Mohawk’s gross revenue was only \$400 million. CXB-3169-CXB-3170 (Roche Dep.) at 195:24 – 196:9. It is a small company servicing a small local market with a small number of customers.

303. As the originator of D&D charges based on its own rules tariff, Flexport was responsible for assessing the reasonableness of the D&D charges it invoiced, including by understanding the underlying causes of the charges before assessing them to Peloton. D-0018, Roche Expert Report ¶ 35.

RESPONSE: Mr. Roche seems to be offering a legal opinion to “assist” the Commission in understanding its own Rules and Regulations.

304. Flexport’s practices related to D&D charges pursuant to its rules tariff are regulated by the FMC. D-0019-0020, Roche Expert Report ¶ 43.

RESPONSE: Admitted.

305. Most NVOCCs, including Mohawk, do not file D&D rules tariffs but instead choose to pass through D&D charges invoiced by the underlying carriers to their customers in order to maintain maximum transparency. D-0020, Roche Expert Report ¶ 45.

RESPONSE: Denied for many reasons. First, that is not what Mr. Roche said. Most NVOCCs file Rules tariffs, including D&D, so that they can utilize NRAs. What Mr. Roche said was that “most NVOCCs do not file demurrage and detention charges in their rules tariffs”. CXD-0020 (Roche Rpt.) at 20, ¶ 45. Second, it is unclear where Mr. Roche is getting this information. No source is cited. Further, it just is not true, as many, many NVOCCs do just that, including several of the largest. Third, Mr. Roche states that Mohawk does this to “maximize transparency”. He does not say at all that most NVOCCs do this for this reason, and he cannot possibly know why they do or do not.

Further, let’s examine this statement – “transparency”. Which is more “transparent” – specifically stating in your Rules Tariff exactly what the free time and charges for D&D will be OR just referring vaguely that same will be whatever is the ocean carrier charges? The answer seems clear.

306. Flexport was required under the FMC to ensure that D&D charges served the purposes of the Incentive Principle. D-2485, Roche Rebuttal Expert Report ¶ 55.

RESPONSE: Denied as stated. The assessment of D&D charges must serve the purposes of the Incentive Principle.

307. Flexport was also required under FMC regulations to have an established dispute resolution policy with respect to D&D charges. D-2485, Roche Rebuttal Expert Report ¶ 57.

RESPONSE: Denied. This did not at first apply to NVOCCs. CXB-3679-CXB-3681 (Kardian Dep.) at 235:25 – 237:18. Regardless, Flexport did, in fact, have such a policy! CXB-0328-CXB-0329, CXB-0443 (Tanner Dep.) at 59:25 – 60:24, 174:6-15.

308. Mohawk follows a process whereby it assesses the underlying cause of D&D charges upon receipt of an invoice and disputes those charges with the underlying carrier if they

are not reasonable. Mohawk has had a good track record of successfully mitigating or cancelling unreasonable D&D charges on behalf of its clients. D-0020, D-0025, Roche Expert Report ¶¶ 45, 62-64.

RESPONSE: Admitted that Mr. Roche made these self-serving, irrelevant statements regarding his own company.

309. If Mohawk determined from its assessment that it had caused the delay resulting in the D&D charges, Mohawk would absorb those costs rather than invoicing them to the client. D-0025, D-0027, Roche Expert Report ¶¶ 62, 72; B-3119, Roche Dep. Tr. 145:18-25.

RESPONSE: Admitted that Mr. Roche made these self-serving, irrelevant statements regarding his own company.

310. By contrast, Flexport did not perform any assessment of D&D charges before invoicing them beyond systematically checking if the correct number of free days were applied under its rules tariff. D-0018, D-0023-0024, D-0025-0026, Roche Expert Report ¶¶ 34, 60, 66-67; D-2487, Roche Rebuttal Expert Report ¶ 62.

RESPONSE: Admitted that Mr. Roche made this completely erroneous assessment despite claiming to have reviewed the transcripts of Flexport’s witnesses. Tanner testified that the system was used to “calculate based on the number of days the container was either at the port or out of the port, and then it will filter that from the charge queue to the invoice. The operations associate or manager ... *would then review the invoice for accuracy.*” CXB-0362-CXB-0363 (Tanner Dep.) at 93:24 – 94:6 (emphasis added). *See also* CXB-0166-CXB-0167, (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0633-

CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D&D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived).

311. Flexport lacked the proper procedures to verify the underlying causes of delays in moving Peloton Shipments as required under the Interpretive Rule. D-0020, D-0023, Roche Expert Report ¶¶ 47, 57.

RESPONSE: Admitted that Mr. Roche made this completely erroneous assessment despite claiming to have reviewed the transcripts of Flexport’s witnesses. Tanner testified that the system was used to “calculate based on the number of days the container was either at the port or out of the port, and then it will filter that from the charge queue to the invoice. The operations associate or manager ... *would then review the invoice for accuracy.*” CXB-0362-CXB-0363 (Tanner Dep.) at 93:24 – 94:6 (emphasis added). *See also* CXB-0166-CXB-0167, (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D&D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived).

312. Flexport also demonstrated a lack of knowledge of fundamental aspects of transportation operations, such as the fact that the Los Angeles and Long Beach marine terminals require truckers to supply their own chassis to pick up containers and not, as Flexport believed,

that containers at those terminals were required to be loaded on chassis prior to pickup by truckers. D-0023, Roche Expert Report ¶ 58.

RESPONSE: Denied. At his deposition, Mr. Roche admitted that this contention was absolutely incorrect. CXB-3247-CXB-3250 (Roche Dep.) at 273:5 – 276:25.

B. Peloton’s Liability Expert John McCown’s Expert Opinions

313. Peloton’s second liability expert, John McCown, has over four decades of operating and investment experience in the container shipping industry. D-1729, McCown Expert Report ¶ 4.

RESPONSE: Denied. For all but one of the companies McCown’s responsibilities related solely to financial matters, not the day-to-day operations of a global logistics company. CXD-1729-CXD-1731 (McCown Rpt.) at 2-4, ¶¶ 4-11; *see also* CXD-1752-CXD-1754 (App. A to McCown’s Rpt., Experience). In fact, the only company where Mr. McCown mentions gaining direct experience with the operations of service offerings such as store door services, carriers, and assessment of detention and demurrage is Trailer Bridge, Inc. (“Trailer Bridge”)—a company he left 17 years ago. *See* CXD-1730-CXD-1731 (McCown Rpt.) at 3-4, ¶¶ 8-10. *See also Samsung v. SM Line*, 2025 WL 2231637, at *43 (“The undersigned finds Mr. McCown’s report to be unpersuasive due to his failure to perform a container-by-container analysis. Mr. McCown’s review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis.”); *Samsung v. ZIM*, 2025 WL 1255544, at *7 (giving little weight to Mr. McCown opinions or statements that were not supported by evidence); *TZ SSE Buyer v. Yang Ming*, 2025 WL 1083815, at *20 (finding Mr. McCown’s opinions that an invoice-by-invoice is not necessary as unpersuasive).

314. McCown’s shipping expertise began with U.S. Lines, one of the largest container shipping companies in the world. D-1729-1730, McCown Expert Report ¶ 6.

RESPONSE: Admitted that Mr. McCown claims to have worked at U.S. Lines. However, for all but one of the companies McCown’s responsibilities related solely to financial matters, not the day-to-day operations of a global logistics company. CXD-1729-CXD-1731 (McCown Rpt.) at 2-4, ¶¶ 4-11; *see also* CXD-1752-CXD-1754 (App. A to McCown’s Rpt., Experience). In fact, the only company where Mr. McCown mentions gaining direct experience with the operations of service offerings such as store door services, carriers, and assessment of detention and demurrage is Trailer Bridge, Inc. (“Trailer Bridge”)—a company he left 17 years ago. *See* CXD-1730-CXD-1731 (McCown Rpt.) at 3-4, ¶¶ 8-10. *See also Samsung v. SM Line*, 2025 WL 2231637, at *43 (“The undersigned finds Mr. McCown’s report to be unpersuasive due to his failure to perform a container-by-container analysis. Mr. McCown’s review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis.”); *Samsung v. ZIM*, 2025 WL 1255544, at *7 (giving little weight to Mr. McCown opinions or statements that were not supported by evidence); *TZ SSE Buyer v. Yang Ming*, 2025 WL 1083815, at *20 (finding Mr. McCown’s opinions that an invoice-by-invoice is not necessary as unpersuasive).

315. In the 1990s, McCown co-founded Trailer Bridge, a U.S.-flagged container carrier providing complete integrated customer service, including through transportation services. D-1730, McCown Expert Report ¶¶ 8, 9.

RESPONSE: Admitted that Mr. McCown stated this in his Report. Trailer Bridge is only company where Mr. McCown mentions gaining direct experience with the operations of

service offerings such as store door services, carriers, and assessment of detention and demurrage—a company he left 17 years ago. *See* CXD-1730-CXD-1731 (McCown Rpt.) at 3-4, ¶¶ 8-10. Trailer Bridge was a Jones-Act ocean carrier which went bankrupt. *See also Samsung v. SM Line*, 2025 WL 2231637, at *43 (“The undersigned finds Mr. McCown’s report to be unpersuasive due to his failure to perform a container-by-container analysis. Mr. McCown’s review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis.”); *Samsung v. ZIM*, 2025 WL 1255544, at *7 (giving little weight to Mr. McCown opinions or statements that were not supported by evidence); *TZ SSE Buyer v. Yang Ming*, 2025 WL 1083815, at *20 (finding Mr. McCown’s opinions that an invoice-by-invoice is not necessary as unpersuasive).

316. McCown was involved in all operating and commercial aspects of Trailer Bridge’s business, including policies related to D&D. D-1730, McCown Expert Report ¶ 10.

RESPONSE: Admitted that Mr. McCown stated this in his Report. Trailer Bridge is only company where Mr. McCown mentions gaining direct experience with the operations of service offerings such as store door services, carriers, and assessment of detention and demurrage—a company he left 17 years ago. *See* CXD-1730-CXD-1731 (McCown Rpt.) at 3-4, ¶¶ 8-10. Trailer Bridge was a Jones-Act ocean carrier which went bankrupt. *See also Samsung v. SM Line*, 2025 WL 2231637, at *43 (“The undersigned finds Mr. McCown’s report to be unpersuasive due to his failure to perform a container-by-container analysis. Mr. McCown’s review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis.”); *Samsung v. ZIM*, 2025 WL 1255544,

at *7 (giving little weight to Mr. McCown opinions or statements that were not supported by evidence); *TZ SSE Buyer v. Yang Ming*, 2025 WL 1083815, at *20 (finding Mr. McCown's opinions that an invoice-by-invoice is not necessary as unpersuasive).

317. McCown attested that "Flexport was providing store door service to Peloton and it was understood by the parties that movements were under these terms unless otherwise specified by Peloton." D-1734-1735, McCown Expert Report ¶ 26; *see also* D-1734-1735, McCown Expert Report ¶¶ 29, 34.

RESPONSE: Admitted that Mr. McCown stated this in his Report. Denied by the fact that this was completely undermined by the terms of the parties' agreements. CXB-3648 (Kardian Dep.) at 204:4-23; CXD-2659, CXD-2663-CXD2664, CXD-2670, CXD-2679 (Kardian Rpt.) at 12, 16-17, 23, 32.

318. The term "store door service" is synonymous with and can be used interchangeably with the terms "through service," "end-to-end service," and "port-to-door service," as these terms all denote a transportation service that "combines ocean and inland transportation and is not complete until the load gets to its final destination." D-1734-1735, McCown Expert Report ¶ 26, 32.

RESPONSE: Admitted that Mr. McCown stated this, although he had zero experience working for an NVOCC, let alone a global logistics service provider. Mr. McCown (and Peloton's counsel) seem to have no concept as to what a global logistics service provider does in providing "end to end services". The MSA contemplates several services, including ocean, air, inland transport arrangements as a transportation broker, and customs brokerage. *See* CXC-0028-CXC-0078 (2020 and 2021 MSAs). A global logistics provider provides one, some, or all of these services for a given transportation. Would Flexport be liable as an NVOCC if

it erred in providing customs brokerage services for a Peloton shipment? The MSAs specifically has separate limitations of liability for each of the services provided. CXC-0033 (2020 MSA) at 6; CXC-0049-CXC-0050 (2021 MSA) at 6-7. That is what a global logistics service provider does.

319. The prices quoted and charges assessed by Flexport for ocean and inland transportation as well as the actual carriage that Flexport provided with respect to Peloton cargo clearly indicate that Flexport was responsible for handling the entire end-to-end movement of Peloton containers to their final inland destination. D-1738, McCown Expert Report ¶ 45.

RESPONSE: Denied. See Response to CPFF317. As Mr. Tanner testified, the quotation provides a list of the services which could be provided – Peloton was free to pick and choose which ones it wanted. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). Further, as Peloton admitted, even if a quote was “port to door”, Peloton was free to “decouple” the inland portion and use a different provider. CXB-1933 (Martina Dep.) at 95:3-21; CXB-1628 (Peloton 143(b)(6) Dep.) 141:1-5.

320. Delays that occurred in connection with Flexport’s handling of transportation of Peloton containers and resulted in D&D charges were Flexport’s responsibility. D-1734, McCown Expert Report ¶ 26.

RESPONSE: Denied. This assertion by Mr. McCown is contrary to both the evidence and applicable law. This same opinion was also wholeheartedly rejected by the Commission. *Samsung v. SM Line*, 2025 WL 2231637, at *42.

321. Flexport operated and held itself out as a common carrier with respect to handling Peloton Shipments, not as a transportation broker or agent. D-1734, D-1742, McCown Expert Report ¶¶ 27, 61.

RESPONSE: Mr. McCown fails to pay any attention to the documents he reviewed. Mr. McCown makes no mention of the multiple CY-CY terms everywhere in the documents – nor the specific reference in the invoices and quotations that all inland transportation services are provided by Flexport as a transportation broker. Further, Flexport provided customs brokerage services for Peloton shipments as an agent – Mr. McCown somehow ignores this.

322. A common carrier is a term used to reflect the nature of both vessel-operating common carriers (“VOCCs”) and NVOCCs. D-1735, McCown Expert Report ¶ 30.

RESPONSE: Admitted that Mr. McCown can cite to the Commission’s own Regulations.

323. The obligations of a common carrier are the same regardless of whether the common carrier is a VOCC or NVOCC. D-1740-1741, McCown Expert Report ¶¶ 53-56.

RESPONSE: Denied. There is no basis or context for this broad assessment. Does an NVOCC have an obligation to ensure that the vessel is seaworthy and properly staffed? Can NVOCCs enter into service agreements? NVOCCs are regulated by an entirely different set of regulations than VOCCs. Mr. McCown’s statement is completely ignorant.

324. As an NVOCC, Flexport “fully supplanted the role of the vessel operating common carrier and undertook the role of the inland common carrier.” D-1739, McCown Expert Report ¶ 51.

RESPONSE: Denied. See Response to CPFF323. Mr. McCown has ZERO experience with NVOCCs and is offering a legal opinion to “assist” the Commission in interpreting its own regulations.

325. Under store door terms, “[u]nless Flexport could show specific reasons that Peloton was actually solely responsible for a delay, the default should have been that the carrier, Flexport, was responsible for and/or absorbed, or waived, all charges resulting from delays in the model handoff and transportation modes (i.e. detention and demurrage).” D-1740, McCown Expert Report ¶ 55.

RESPONSE: Denied. These were not “store door” terms. Even if they were, this legal conclusion has been expressly rejected by the Commission. *Samsung v. SM Line*, 2025 WL 2231637, at *42 (“...it is clear that the Commission has not determined that demurrage and detention cannot be charged on store door moves, but rather may be closely scrutinized when appropriate to do so.”

326. Conditions such as trucker shortages, chassis shortages, terminal congestion, shortages of terminal appointments, return of empty containers, and the availability of empty return locations “are categorically circumstances that Peloton had no ability or capability to cause.” D-1740, McCown Expert Report ¶ 55.

RESPONSE: Denied. This legal conclusion is based on nothing. Further, Mr. McCown failed to consider any actions of Peloton which caused or contributed to any delay, chassis shortages, congestion, etc. For example, how would the return of empty containers NOT be within the control of Peloton? The evidence reflects that Peloton held onto chassis and containers for the equivalent of 26.2 years. Clearly, that contributed – and caused – all of the “conditions” Mr. McCown mentions. Mr. McCown never addresses this at all.

327. Based on McCown’s extensive experience in the shipping industry, he found that Flexport “inject[ed] pricing and operational inefficiency” into Peloton container movements “that invariably would be adverse to it meeting its commitment to provide end-to-end service to peloton in terms of timeliness and minimizing demurrage and detention.” D-1741, McCown Expert Report ¶ 59.

RESPONSE: Denied for the reasons stated above. See Response for CPFF313, CPFF319-CPFF326. Mr. McCown had no experience at all and makes purely legal conclusions based on nothing.

328. In McCown’s view, “Flexport’s demurrage and detention arrangement was structured to generate profit for Flexport, not to promote freight fluidity,” which “runs contrary to long-standing industry practices and the FMC’s guidance that the primary purpose of demurrage and detention is to incentivize the movement of cargo.” D-1734, McCown Expert Report ¶ 28.

RESPONSE: Denied for the reasons stated above. See Response for CPFF313, CPFF319-CPFF327. Mr. McCown had no experience at all and makes purely legal conclusions based on nothing. In short, it is not Mr. McCown’s place to tell the Commission how to interpret its own Regulations.

329. Flexport assessed D&D to Peloton “without any independent cost recovery purpose,” as Flexport did not own any of the equipment used to handle Peloton Shipments, “and without serving any independent incentivizing function,” as Peloton was not the party responsible for the movement of cargo. D-1745, McCown Expert Report ¶ 70.

RESPONSE: Denied for the reasons stated above. See Response for CPFF313, CPFF319-CPFF328. This statement by Mr. McCown also makes no sense.

330. In McCown’s assessment, Flexport’s D&D practices “effectively disincentiviz[ed] Flexport from moving cargo since Flexport’s failure to properly perform its inland delivery obligations results in Flexport itself receiving demurrage and detention revenue.” D-1746, McCown Expert Report ¶ 74.

RESPONSE: Denied for the reasons stated above. See Response for CPFF313, CPFF319-CPFF329. Mr. McCown had no experience at all and makes purely legal conclusions based on nothing. In short, it is not Mr. McCown’s place to tell the Commission how to interpret its own Regulations.

331. Flexport “had no meaningful procedure to assess whether it or Peloton was responsible for the demurrage and detention charges, and Flexport did not do such assessment,” which resulted in situations where, for example, Flexport assessed demurrage charges against Peloton even though the reason for late container pickups from marine terminals was due to Flexport’s equipment shortages, trucker shortages, transportation delays, and port congestion. D-1748, McCown Expert Report ¶ 87; D-2352, D-2362, McCown Expert Report Ex. 5, 166: 2-25, 176: 12-18.

RESPONSE: Denied. Mr. McCown cites to absolutely no evidence at all other than Peloton’s Verified Amended Complaint and arguments of counsel. He also ignores Flexport’s testimony to the contrary. Tanner testified that the system was used to “calculate based on the number of days the container was either at the port or out of the port, and then it will filter that from the charge queue to the invoice. The operations associate or manager ... *would then review the invoice for accuracy.*” CXB-0362-CXB-0363 (Tanner Dep.) at 93:24 – 94:6 (emphasis added). See also CXB-0166-CXB-0167, (Flexport 143(b)(6) Dep.) at 166:21 – 167:17 (associates would look to see if an exception was raised because something happened

during the shipment, and “they would look through the shipment life cycle. They would look for deviations or anything that looked off.”); CXB-0633-CXB-0635 (Peckham Dep.) at 135:24 – 137:21 (In reviewing Peloton invoices related to D& D, Flexport would review bills from the ocean carrier as well as notes about the shipments to determine if the shipment encountered any errors caused by Flexport or a Flexport partner and if so, whether the charges should be reduced or waived).

332. McCown noted that it is “entirely at the discretion of an NVOC[sic] which underlying VOCC it decides to move containers with.” D-1741, McCown Expert Report ¶ 57.

RESPONSE: Admitted that Mr. McCown noted this in his Report.

333. McCown also recognized that Flexport chose to not concentrate Peloton Shipments with certain carriers, which exacerbated pre-existing delays. D-1741, McCown Expert Report, ¶ 57-59 (“Flexport utilized at least 14 different VOCCs to move the Peloton loads, i.e. a lack of carrier concentration resulting in inefficiency and unnecessary demurrage and detention charges for Peloton...[t]he lack of carrier concentration was a choice made by Flexport without input from Peloton in at least two ways involving increased costs and slower service”).

RESPONSE: Admitted that Mr. McCown made this statement. However, this is also contrary to CPFF45 in which Peloton states:

Flexport contracted with three primary ocean carriers—YangMing Marine Transport Co, COSCO Shipping Lines Co., Ltd., and Evergreen Shipping Agency (America) Corp.—and thirty-six trucking companies to move Peloton Shipments. See A-0154-0240, Ex. A to Am. Compl.; A-0135, Peloton’s Status Report at 6.

So, which is it? And what is the relevance either way?

XI. PELOTON’S DAMAGES EXPERT PROVIDED THOROUGH VALIDATION OF PELOTON’S DAMAGES THROUGH CONTAINER-BY-CONTAINER AND SHIPMENT-BY-SHIPMENT ANALYSIS

334. Peloton’s expert as to damages is Gregory E. Smith with Berkeley Research Group, LLC. D-1430, Smith Expert Report ¶ 1.

RESPONSE: Admitted.

335. Flexport did not submit any rebuttal to Smith’s Expert Report or Supplemental Expert Report. F-0123-28, RE: Deposition of Witness Greg Smith at 1-5; F-0130-33, RE: Peloton v. Flexport; Supplemental Expert Report at 2-5.

RESPONSE: Admitted that no rebuttal report was submitted after the submission of the referenced reports. Also, admitted that no rebuttal report was needed since the legal opinions offered by the “experts” are unnecessary for the Commission – which clearly understands its own Rules and Regulations.

336. Although Peloton made Smith available for deposition, Flexport chose not to conduct his deposition. F-0122-0124, RE: Deposition of Witness Greg Smith.

RESPONSE: Denied. Peloton designated Mr. Smith as a damages expert in a timely manner. However, Peloton designated Mr. Smith as a liability expert well after the deadline expired. As such, Flexport did NOT have the ability to take his deposition.

337. Smith is a Certified Public Accountant, Chartered Global Management Accountant, and Master Analyst in Financial Forensics with over thirty years of accounting, consulting, and business experience and “considerable experience analyzing financial and economic issues related to the operations of companies participating in the transportation industry, including ocean shipping, port operations, and inland transportation.” D-1430-1431, Smith Expert Report ¶ 3.

RESPONSE: Admitted that Mr. Smith stated this in his Report.

338. Smith issued an initial expert report dated April 21, 2025 and a supplemental expert report dated May 19, 2025. D-1428-1655, Smith Expert Report.

RESPONSE: Admitted.

339. In his analysis, Smith assumed that Flexport is liable to Peloton for damages for the violations alleged in Peloton's Verified Amended Complaint, as is the standard practice in evaluating damages. D-1432, Smith Expert Report ¶ 8.

RESPONSE: Admitted that Mr. Smith assumed that Flexport was liable when he prepared his Initial Report. Denied that this is a standard practice.

340. In his initial expert report Smith concluded that Peloton has incurred direct damages of at least \$33.7 million for inland transportation payments in connection with Flexport shipments. D-1432, Smith Expert Report ¶ 8.

RESPONSE: Denied. Mr. Smith actually calculated a total of \$28,797,343, when taking into account the charges which were time-barred but which Peloton's counsel continued to maintain were viable despite clear law to the contrary. Of this amount, however, Mr. Smith states that \$2,075,178 were for Yard and Warehouse Storage. See CXD-1442-CXD-1443 (Smith Rpt.) at 13-14, ¶ 36.

341. In contracting with Flexport, Peloton understood that Flexport would arrange for delivery of Peloton's goods to Peloton's inland facilities and for the return of empty containers and chassis to the ports under store door arrangements. D-1434-1435, Smith Expert Report ¶ 13.

RESPONSE: Denied as to what Mr. Smith believed Peloton "understood". The conclusions are also unsupported and denied.

342. During the period from 2020 through 2022, "Flexport invoiced significant charges for demurrage, detention, yard storage, and warehouse storage" despite the fact that "Flexport was

responsible for Store Door moves of Peloton goods” and “as such was responsible for the entire move, to include delivery of the containers to the final destination and the return of those containers and the chassis used to deliver them.” D-1437, Smith Expert Report ¶¶ 20-21.

RESPONSE: Denied. Unsupported by the record and relevant case law as set forth herein.

343. To assess the damages suffered by Peloton, Smith reviewed substantial documentation produced by Flexport and Peloton, including data tables, Flexport-issued invoices, and an Excel file produced by Flexport containing data on all demurrage and detention charges assessed from the period 2020 through 2022, referred to by Smith as the “Flexport Charge File.” D-1431, D-1438-1439, Smith Expert Report ¶¶ 6, 24.

RESPONSE: Admitted that Mr. Smith stated that is what he reviewed.

344. Smith also reviewed pleadings and deposition testimony and interviewed Peloton employees David Beyar, Senior Manager of Transportation Operations, and Jeremy Robertson, Discovery Manager. D-1431, Smith Expert Report ¶ 6.

RESPONSE: Admitted that Mr. Smith stated that is what he reviewed.

345. Peloton’s damages, shown in Exhibit No. 1 to the Smith Expert Report, were extracted from the Flexport Charge File, which contains line-item records on the amounts Flexport charged in connection with Peloton Shipments, including the Flexport shipment ID, the container number, and the amount of demurrage and/or detention charged. D-1438-1439, Smith Expert Report ¶ 24.

RESPONSE: Admitted that the “Charge File”, which Mr. Smith identifies as the spreadsheet entitled “Peloton Aggregate Shipment Details” contains the referenced line items. However, Exhibit 1 does not contain ANY reference to ANY container. Further, Exhibit 1 clearly contains data from invoices which are time-barred.

346. Because the Flexport Charge File does not include data on yard storage or warehouse storage charges paid by Peloton, Smith calculated Peloton's damages in connection with yard and warehouse storage charges by reviewing individual invoices and supporting documentation to independently verify the charges identified in Exhibit A to Peloton's Verified Amended Complaint, which did account for storage charges. D-1439, Smith Expert Report ¶ 25.

RESPONSE: Admitted that Mr. Smith makes this assertion in his Report. Also, admitted that Exhibit "A" attached to the Amended Complaint provides a column for "D&D", which apparently included storage and warehouse charges. Curiously, it was like pulling teeth to get Peloton's corporate representative, who would not admit to this fact, which Peloton now readily admits and includes in its claims:

Q. Can you state whether the amounts claimed in Exhibit A include additional charges other than detention and demurrage?

MR. NOLAN: Ms. Majstorovic, read the full document before answering.

A. As the response states, we went through discovery where we produced over 20,000 documents. You can reference to those documents for the relevant information regarding the -- (inaudible.)

Q. Okay. Disregarding the interrogatories and the response -- the objections and the response of being harassing and burdensome -- Exhibit A, which is attached to the verified amended complaint, which you signed, has a list of detention and demurrage -- D&D charges. Correct?

A. That's correct.

Q. Okay. So can you state that those charges that are the subject of this litigation are only for demurrage that are listed in that Exhibit A?

A. We provided all the relevant documents you can reference that listed that information.

Q. So you're refusing to answer whether the column in Exhibit A marked "D&D" is only for detention and demurrage and for no other charges; is that correct?

MR. NOLAN: Objection; asked and answered. You can answer.

A. As I said, the relevant documents were produced to answer this question within discovery.

Q. Okay. And you can't point to the relevant documents; is that correct?

A. There were over 20,000 documents produced in discovery.

Q. Okay. So if we look through those documents and there was an invoice that was listed in Exhibit A that was for something other than detention and demurrage, that would be incorrect; is that right?

A. As Exhibit A states, it includes D&D charges.

Q. Okay. So you verified the complaint -- the amended complaint -- which states that everything listed in there -- all the facts contained in there -- were true and correct to the best of your knowledge, and that included Exhibit A. Correct?

A. Yes.

Q. Okay. So there's a column in Exhibit A for D&D. So does your verification as to the truth and accuracy of the charges listed in that column are only for D&D?

A. As I said, we produced all relevant documents associated with Exhibit A. As it states in Exhibit A, that column was total D&D charges.

Q. So, again, you're not answering the question, but referring to the documents and asking us to find them, even though this is your complaint and you are here to testify as to your claims. So I'll ask one last time. Exhibit A lists D&D charges. Are those charges only for D&D or do they include additional charges?

A. As I've said already, we produced all the relevant documents in discovery. And, again, as I said, Exhibit A, the column header says, "Total D&D charges." There are over 3,000 invoices within Exhibit A. You can reference the relevant documents to understand the details.

Q. Okay. When you signed the amended complaint -- the verified amended complaint -- with regard to the allegations in there -- contained in there -- which included Exhibit A, with the column D&D -- did you verify each line item to determine whether the charge listed was solely for D&D or if it included other charges?

A. As I signed this verified complaint, to the best of my knowledge, Exhibit A was compiled and that column header lists total D&D charges.

CXB-1720-CXB-1723 (Peloton 143(b)(6) Dep.) at 233:1 – 236:9.

347. Smith's analysis of Flexport invoices confirmed that the total charges identified in Exhibit A to the Verified Amended Complaint accurately reflect the total amount of demurrage, detention, and yard and warehouse storage charges invoiced to Peloton. D-1439, Smith Expert Report ¶ 25.

RESPONSE: Admitted that Mr. Smith claims this fact. Also, admitted that Exhibit "A" attached to the Amended Complaint provides a column for "D&D", which apparently included storage and warehouse charges. Curiously, it was like pulling teeth to get Peloton's corporate representative would not admit to this fact, which Peloton now readily admits and includes in its claims. See Response to CPFF346 (quoting CXB-1720-CXB-1723 (Peloton 143(b)(6) Dep.) at 233:1 – 236:9.).

348. Smith also reviewed data obtained from Peloton's Coupa system, which houses information on all amounts paid by Peloton to Flexport. D-1439-1440, Smith Report ¶ 26.

RESPONSE: Admitted that Mr. Smith stated this in his Report.

349. The data obtained from the Coupa system, summarized in Exhibit 3 to the Smith Expert Report, show that Flexport routinely grouped several individual shipment invoices into consolidated invoices that were then paid by Peloton. D-1440-1441, Smith Expert Report ¶ 28.

RESPONSE: Denied as stated. The record is clear that each individual invoice was submitted to Peloton. See *supra*, CPFF228 (citing CXB-1728 (Peloton 143(b)(6) Dep.) at 241:15-17; CXB-0463 (Tanner Dep.) at 194:11-16; CXB-0679-CXB-0680 (Peckham Dep.) at 181:24 – 182:3. Then Peloton requested that Flexport provide consolidated invoices. CXB-0891, CXB-0895 (Banaszak Dep.) at 137:7-12, 141:6-11; CXB-1204, CXB-1208-CXB-1209 (Breck Dep.) at 225:3-9, 229:16 – 230:21; CXB-1427, CXB-1429-CXB-1430 (Nable Dep.) at 176:6-12, 178:20 – 179:1.

350. For every consolidated invoice listed in Exhibit 3, Smith was able to verify that the charges associated with the individual invoices included in the consolidated invoice, including the demurrage, detention, and storage charges listed in Exhibit 1, were in fact paid by Peloton. D-1441, Smith Expert Report ¶ 29.

RESPONSE: Admitted that Mr. Smith stated this in his Report. However, there are several entries in Exhibit 3, which clearly have nothing to do with any claim in this case. CXD-1591-CXD-1597 (Ex. 3 to Smith Rpt.). There are no line items, of course, but a quick look will reveal many, many charges for “customs brokerage” and even “charter plane”. Mr. Smith seems to be saying he reviewed these as well.

351. Exhibit 1 details the charges incurred by Peloton in connection with 8,191 individual Peloton containers for which Flexport handled the inland transportation from 2020 through 2022. D-1469-1589, Smith Expert Report, Ex. 1.

RESPONSE: Denied. There is not a single container identified in Exhibit 1. In fact, each of the Shipment IDs can—and often do—include several containers.

352. For each container listed in Exhibit 1, Smith identified the Flexport shipment ID associated with the container, the month and year the invoice was issued, the total inland transportation costs associated with the container, and the nature and amount of each inland transportation charge, separated into three discrete categories: (a) ocean demurrage, (b) detention, and (c) yard and warehouse storage. D-1469-1589, Smith Expert Report, Ex. 1.

RESPONSE: Denied. There is not a single container identified in Exhibit 1. In fact, each of the Shipment IDs can—and often do—include several containers.

353. For example, Exhibit 1 shows that, for one container associated with the Flexport shipment ID 1230307, Flexport issued an invoice in November 2021 charging Peloton \$60,240 in

demurrage and [REDACTED]. By way of another example, Exhibit 1 shows that, for a container associated with the Flexport shipment ID 1282726, Flexport issued an invoice in February 2022 charging Peloton \$9,940 in detention charges and [REDACTED]. D-1469-1589, Smith Expert Report, Ex. 1.

RESPONSE: These are excellent examples. As reflected in the Flexport invoices, RX91-RX109, each of these Shipment IDs in fact reflect six containers.

354. Exhibit No. 2 to the Smith Report provides the cumulative charges for each category by fiscal quarter. D-1590, Smith Report, Ex. 2.

RESPONSE: Admitted that Mr. Smith's Report claims to provide these details.

355. In 2020, Peloton was charged a total of \$1.8 million in D&D fees by Flexport, comprising \$41,338 in demurrage, \$753,460 in detention, and \$1 million for yard and warehouse storage. D-1590, Smith Expert Report Ex. 2.

RESPONSE: Denied. This is also time-barred and therefore, irrelevant.

356. By comparison, in 2022, Peloton was charged \$21.5 million in D&D fees by Flexport, which included \$11 million in demurrage, \$8.6 million in detention, and \$1.7 million for yard and warehouse storage. D-1590, Smith Expert Report Ex. 2

RESPONSE: Denied and also irrelevant.

357. Of the \$33.7 million in total inland transportation charges that Peloton paid to Flexport, approximately \$13.8 million (41 percent) was for demurrage, \$16.2 million (48 percent) was for detention, [REDACTED] D-1442, Smith Report ¶ 34; D-1469-1589, Smith Expert Report Ex. 1.

RESPONSE: Denied. Again – this alleged number takes into account the time-barred invoices. Further, whatever Peloton was charged was irrelevant.

358. Excluding charges prior to May 2021, which total approximately \$4.9 million, Peloton's direct damages amount to at least \$28.8 million. D-1442-1443, Smith Expert Report ¶ 36.

RESPONSE: Admitted that Mr. Smith claimed this in his Report.

359. Smith issued a supplemental expert report dated May 19, 2025, based on documents produced by Flexport after the issuance of his initial expert report on April 21, 2025. D-1656-1727, Smith Supp. Expert Report.

RESPONSE: Admit that Smith submitted a supplemental report weeks after the deadline for expert discovery. Denied that the report was based on documents produced by Flexport after Smith's initial report. The first and second Events Downloads were produced on December 13, 2024, and March 28, 2025, respectively. These two Events Downloads contained 273,968 lines of data. The third Events Download, which contained solely those seven (7) shipments which were transported prior to May, 2021 but which were invoiced after this date, contained only 1,658 lines. Thus, nearly all of the data in the Events Downloads was in Peloton's possession by March 28, 2025.

Thus, Peloton – and Mr. Smith – clearly already had access to these files when he submitted his First Report – on April 21, 2025, three (3) weeks later. There is absolutely no basis as to why this Second Report – which is completely based upon the Event Downloads – could not have been produced within the time frame set forth in the Scheduling Order.

See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.

360. Smith's supplemental report was based on analysis of data from three Excel spreadsheets produced by Flexport that aggregated shipment information maintained by Flexport

in its CORE system, known collectively as the “Peloton Events Download,” “Portal Events Files,” or “Shipment Files.” D-1658, Smith Supp. Expert Report ¶ 2; D-0624, Peckham Dep. Tr. 126:2-129:10.

RESPONSE: Denied. Mr. Smith claims that the entire Supplemental Report was based on the Events Downloads. Further, these were produced prior to Mr. Smith’s Initial Report. As set forth in Flexport’s Motion to Strike, the entire Supplemental report should be stricken.

361. According to Flexport, these Shipment Files pulled from the CORE system include *all* information about Peloton Shipments handled by Flexport, including the “physical, actual movement of containers ... from pick up to communication with vendors, trucking partners, [and] ocean carriers.” D-0624-0626, Peckham Dep. Tr. 126:2-128:5; A-0242, Tanner Decl. ¶¶ 9-12.

RESPONSE: Denied.

362. The Portal Events Files contain information available in the CORE system that Flexport used to monitor and manage Peloton Shipments, including messages logged by Flexport employees regarding events affecting the handling and timing of container and shipment movements, such as lack of available chassis or lack of available appointments at marine terminals to pick up loaded containers or return empty containers. D-1660-1661, Smith Suppl. Expert Report ¶ 9.

RESPONSE: Admitted that the information available in CORE included messages logged by Flexport employees – as well as truckers and Peloton employees. All other contentions are denied. See Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

363. The CORE system was the primary operating platform that Flexport used to store information related to the movement of Peloton Shipments, including container tracking numbers,

transit schedules, FlexIDs, delivery locations, and delivery timeframes. *See* B-0161-0164, Flexport 143(b)(6) 161:8-164:4; B-0365, Tanner Dep. Tr. 96:1-17; D-1661-1662, Smith Supp. Expert Report ¶ 11.

RESPONSE: Admitted.

364. Smith's supplemental report provided insight into the underlying causes of the demurrage, detention, and storage charges for each disputed shipment and whether those causes were attributable to conduct by Flexport or Peloton. D-1658, Smith Supp. Expert Report ¶ 2.

RESPONSE: Denied. *See* Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.

365. Smith's supplemental report confirmed the conclusion in his initial report that, assuming Flexport's liability for the Shipping Act violations alleged in Peloton's Verified Amended Complaint, Peloton's direct damages amount to at least \$33.7 million. D-1659, Smith Supp. Expert Report ¶ 6. Because not all shipments in the Portals Events Files contained information on the causes of delays and because Flexport employees did not use consistent nomenclature to describe delay-related issues, Smith developed and ran a series of search terms in order to identify all entries that potentially contained information on the causes of inland transportation charges invoiced to Peloton. 1662-1663, Smith Supp. Expert Report ¶ 12 ("Flexport did not systematically capture information related to the shipments related to the reasons for the delays that led to the demurrage, detention, and storage charges").

RESPONSE: Denied. *See* Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith. Further, again, the \$33 million reflects time-barred shipments.

366. As part of this exercise, Smith developed four categories of search terms to identify the shipments for which Flexport bears some responsibility for the inland transportation costs: (i)

lack of available chassis, (ii) inland carrier delays, (iii) port congestion, and (iv) lack of available appointments at the ports. D-1663-1664, Smith Supp. Expert Report ¶¶ 14, 15.

RESPONSE: Admitted that Mr. Smith unilaterally developed four categories to search. All else is denied. See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.

367. To provide a complete analysis, Smith also developed search terms to identify the shipments for which Peloton appeared to bear some responsibility for the inland transportation costs, such as where there was a capacity issue at a Peloton facility, a request by Peloton to delay a delivery, or a container was not emptied and ready to return to the port. D-1663, Smith Supp. Expert Report ¶ 13.

RESPONSE: Admitted that Mr. Smith unilaterally developed search terms. All else is denied. No container was ever identified in Mr. Smith's analysis at all. Nor any causation established between any charge and any event. See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.

368. Utilizing the developed search terms, Smith identified all Peloton Shipments listed in the Portal Events Files that contained relevant information on the cause of underlying delays and mapped each of those charges to the charges detailed in Exhibit 1 to his initial report. D-1664-1665, Smith Supp. Expert Report ¶ 16.

RESPONSE: Denied. No container was ever identified in Mr. Smith's analysis at all. No cause was ever identified for any container. No delay was identified as to any container. Nor any causation established between any charge and any event. See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.

369. Exhibit Number 3 to Smith’s Supplemental Report (“Supplemental Exhibit 3”) lists all Peloton Shipments handled by Flexport that were included in Exhibit 1 to the initial report, including the Flexport shipment ID, the month and year the invoice was issued, the nature and amount of the inland transportation charges associated with each shipment (ocean demurrage, detention, yard and warehouse storage), and the total charges for that shipment. D-1670-1726, Smith Suppl. Expert Report, Ex. 3; D-1664-1665, Smith Supp. Expert Report ¶ 16.

RESPONSE: Admitted.

370. For each shipment, Supplemental Exhibit 3 further identifies the nature and number of delay-related events associated with that shipment, according to five discrete categories: (1) no chassis, (2) inland carrier delay, (3) congestion, (4) no appointment, and (5) Peloton Issue. D-1670-1726, Smith Suppl. Expert Report, Ex. 3; D-1664-1665, Smith Supp. Expert Report ¶ 16.

RESPONSE: Denied. See Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

371. For example, Supplemental Exhibit 3 shows that, for the shipment bearing the shipment ID 1209921, Flexport invoiced Peloton for \$35,450 in demurrage and \$ [REDACTED]. Moreover, information from the Portal Events Files indicated that there were 10 documented instances of inland carrier delays, 11 documented instances of port congestion, and two documented instances of lack of available terminal appointments associated with the container movements for that shipment, all events that fell within Flexport’s responsibility. D-1670-1726, Smith Suppl. Expert Report, Ex. 3; D-1663-1664, Smith Supp. Expert Report ¶¶ 14-15.

RESPONSE: Denied. See Response to CPFF 140. The review of Mr. Smith lists only the shipment ID. Both the Invoices and the Events Downloads referenced containers as well. Mr. Smith does not identify a single container at issue – nor any event connected to that container

– nor any delay resulting from that event – nor any D&D assessed as a result. See Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith. The invoice issued for this shipment, as referenced in Exhibit “A” contains six (6) different containers. See also Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

372. Smith identified 238 distinct instances where Flexport charged Peloton D&D despite recording in its Shipment Files that there was a lack of available terminal appointments for picking up or returning containers. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

RESPONSE: Denied. See Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

373. Smith further identified 5,596 instances in which Flexport charged Peloton D&D based on inland carrier delays, such as trucking delays, rail transfer delays, missed schedule pickups, and truck breakdowns. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

RESPONSE: Denied. There are only about 1,085 invoices at issue in this matter, so how could there be 5,596 instances. Further, Mr. Smith “identified” the number of times that a delay was inputted into Core – he did not identify a single instance where D&D was charged as a result of such delay, or that any delay had resulted at all. See Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.

374. Inland carrier delays fall within Flexport’s responsibility because Flexport was the party that hired trucking companies to provide drayage services. D-0015, D-0018, Roche Expert Report ¶¶ 21, 22, 37; D-2483-2484, Roche Rebuttal Expert Report ¶ 50. Exhibit No. 4 to Smith’s supplemental report categorizes the inland transportation charges invoiced to Peloton according to whether data available in CORE indicated that the underlying delays were attributable to solely to

Flexport, solely to Peloton, or to both parties, or whether there was insufficient information indicating responsibility. D-1727, Smith Supp. Expert Report, Ex. 4.

RESPONSE: Denied. *See* Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith. Mr. Roche does not cite to any evidence in support of his legal conclusions. Neither Mr. Smith nor Mr. Roche at any time considered the extensive evidence presented in this litigation as to Peloton’s ability to receive cargo at its facility, which directly caused trucking delays as truckers were unable to access the facility, make appointments with Peloton’s warehouse, or pick up containers that Peloton incorrectly identified as being empty.

375. Of the \$33.7 million in inland transportation charges invoiced by Flexport to Peloton from the period of 2020 through 2022, only \$134,520 of those charges were caused by a delay that could be attributed to Peloton and not to Flexport. D-1727, Smith Supp. Expert Report, Ex. 4; D-1664-1665, Smith Supp. Expert Report ¶ 16.

RESPONSE: Denied. *See* Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith. Mr. Roche does not cite to any evidence in support of his legal conclusions. Neither Mr. Smith nor Mr. Roche at any time considered the extensive evidence presented in this litigation as to Peloton’s ability to receive cargo at its facility, which directly caused trucking delays as truckers were unable to access the facility, make appointments with Peloton’s warehouse, or pick up containers that Peloton incorrectly identified as being empty.

376. Smith further notes that these \$134,520 in charges attributable to Peloton may be overly inclusive “as it may be the case that Peloton initially had a capacity issue that caused a delay, but Flexport was delayed in delivering a container even after Peloton communicated that it

was ready to receive the shipment.” In such a case, “Peloton would bear responsibility for the initial delay, but Flexport would be responsible for the later portion of the delay.” D-1664-1665, Smith Supp. Expert Report ¶ 16.

RESPONSE: Denied. *See* Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith. Mr. Roche does not cite to any evidence in support of his legal conclusions. Neither Mr. Smith nor Mr. Roche at any time considered the extensive evidence presented in this litigation as to Peloton’s ability to receive cargo at its facility, which directly caused trucking delays as truckers were unable to access the facility, make appointments with Peloton’s warehouse, or pick up containers that Peloton incorrectly identified as being empty.

377. Smith’s analysis also indicates that approximately \$1.7 million in inland transportation charges resulted from delays arising both from conduct by Peloton and conduct by Flexport related to the same shipment. D-1727, Smith Supp. Expert Report, Ex. 4; D-1665, Smith Supp. Expert Report ¶ 17.

RESPONSE: Denied. *See* Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith. Mr. Roche does not cite to any evidence in support of his legal conclusions. Neither Mr. Smith nor Mr. Roche at any time considered the extensive evidence presented in this litigation as to Peloton’s ability to receive cargo at its facility, which directly caused trucking delays as truckers were unable to access the facility, make appointments with Peloton’s warehouse, or pick up containers that Peloton incorrectly identified as being empty.

378. Of the \$33.7 million in D&D charges invoiced to Peloton, \$26.0 million were caused by delays attributable solely to Flexport, with no indicia of responsibility by Peloton. D-1727, Smith Supp. Expert Report, Ex. 4; D-1665, Smith Supp. Expert Report ¶ 18.

RESPONSE: Denied. *See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.* Mr. Roche does not cite to any evidence in support of his legal conclusions. Neither Mr. Smith nor Mr. Roche at any time considered the extensive evidence presented in this litigation as to Peloton's ability to receive cargo at its facility, which directly caused trucking delays as truckers were unable to access the facility, make appointments with Peloton's warehouse, or pick up containers that Peloton incorrectly identified as being empty.

379. Approximately \$5.8 million of the charges lacked specific information indicating whether the cause of those charges was attributable to Flexport or Peloton, indicating that Flexport did not include such information in its CORE system before issuing the invoices for those shipments to Peloton. D-1665-1666, Smith Supp. Expert Report ¶ 19.

RESPONSE: Denied. *See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.*

380. Because Flexport was responsible as the NVOCC performing store door moves for handling the inland transportation of Peloton containers, including delivery to Peloton's inland facilities and return of the empty containers, these \$5.8 million in charges should be attributed to Flexport. D-1665-1666, Smith Supp. Expert Report ¶ 19.

RESPONSE: Denied. Mr. Smith's legal opinions are unnecessary for the Commission – which clearly understands its own Rules and Regulations. *See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.*

381. Accordingly, of the \$33.7 million in inland transportation charges identified in Exhibit 1 to Smith's Expert Report, Flexport bore sole responsibility for \$31.8 million of those charges and bore at least some responsibility for an additional \$1.7 million. D-1727, Smith Supp. Expert. Report, Ex. 4; D-1666, Smith Supp. Expert Report ¶ 20.

RESPONSE: Denied. Mr. Smith's legal opinions are unnecessary for the Commission – which clearly understands its own Rules and Regulations. And, yet again, the number includes the time-barred shipments. See Flexport's Motion to Strike Smith's Supplemental Report filed contemporaneously herewith.

382. Flexport did not provide its own damages expert to rebut Smith's damages analysis. F-0141, Decl. of K. Little at 1.

RESPONSE: Admitted.

XII. FLEXPORT'S VIOLATIONS OF DISCOVERY ORDERS AND IMPROPER LITIGATION TACTICS

A. Flexport's Limited Production and Discovery Order Violations

383. On December 27, 2024, after reviewing Flexport's responses to Peloton's Discovery Requests, Peloton's counsel provided Flexport with a written summary and explanation of the deficiencies in those responses, including, among other things, Flexport's failure to provide any substantive responses to several of Peloton's Discovery Requests regarding core issues in this proceeding, and unilaterally limiting its document search and production to April 1, 2021 onward, rather than the relevant time period of January 1, 2020 onward. *See* A-0262-0284, Ex. 1 to Complainant's Motion to Compel.

RESPONSE: Denied.

384. Prior to and during a meet and confer held on January 3, 2025 to discuss the parties discovery dispute, Flexport's counsel represented that they would not produce earlier documents

because they did not consider them relevant. A-0251, Dkt. 32 Complainant's Motion to Compel at 2.

RESPONSE: Denied. The shipments were time-barred.

385. On January 14, 2025, Peloton filed a Motion to Compel related to Flexport's discovery deficiencies. A-0250, Dkt. 32 Complainant's Motion to Compel.

RESPONSE: Admitted.

386. In Exhibit 1 to this Motion to Compel, Peloton explained that Flexport's initial production actually only included shipment data commencing in October 2021 (not even reaching Flexport's unilateral cut-off of April 2021) and only covered 943 of the over 3,200 Peloton Shipments raised in the Amended Complaint. A-0268, A-0275, Exhibit 1 to Complainant's Motion to Compel at 7, 14.

RESPONSE: Admitted that the Motion stated that statement. Otherwise denied.

387. On January 21, 2025, Flexport filed a response to Peloton's Motion to Compel, in which it stated, "[t]o be clear, Flexport produced all documents relating to every shipment for which charges were assessed as identified in Peloton's Exhibit A." A-0096, Dkt. 33 Respondent's Response to Peloton's Motion to Compel at 7; *see also* A-0124-0125, Dkt. 62 Order on Pending Motions at 2-3.

RESPONSE: Admitted that the response contains that statement.

388. *Over two months later*, on March 25, 2025, following a meet and confer between counsel the previous night regarding ongoing discovery disputes, Flexport counsel emailed Peloton counsel, "regarding the document production, I looked into this and this was on me, not Flexport. When I uploaded the files into the dropbox, the transfer was not completed. I have now uploaded the missing invoices and bills of lading. The DOs are nearly completely uploaded and I

will do the NRAs next.” F-0055, RE: Peloton v. Flexport – Objections to 143b6 Notice and request for meet and confer (March 25, 2025 10:10 pm email from R. Borak to K. Little and A. Skopec).

RESPONSE: Admitted that Flexport in good faith supplemented its production when it realized some documents had inadvertently been uploaded. The statement and referenced documents should be stricken as it is inappropriate to introduce confidential communications between counsel as “evidence”.

389. Also on March 25, 2025, during a hearing before the ALJ, Flexport counsel stated that, “I did agree to look into this issue as to the October [cutoff], we are looking into that if [] that was inadvertent. But we are checking to see if that was an Excel issue or [] whatever that is” and further represented that Flexport “will look into that and provide the details.” C-0274, Breck Dep. Ex. 3 at 21:56.

RESPONSE: Denied. The cited evidence is an AI-generated transcript of the hearing which is replete with errors and is thus neither admissible nor reliable. The statement and reference documents should be stricken as it is inappropriate to introduce confidential communications between counsel as “evidence”. Notwithstanding the foregoing, the undersigned stated that in good faith the issue was looked into and the discovery promptly supplemented.

390. On March 26, 2025, the Presiding Officer issued an order directing Flexport “to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.” A-0119, Dkt. 47, Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel (“Respondent is **ORDERED**, to provide the communications between it and contractors such as motor carriers

and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.”).

RESPONSE: Admitted.

391. The Presiding Officer further ordered that “Respondent state in writing whether it has or had any policies or procedures in effect from January 2021 to December 31, 2022, relating to the assessment of detention and demurrage charges, or free-time for containers and/or chassis, including whether extensions of free-time would be provided under certain circumstances, other than its Rules Tariff. Respondent must also identify the applicable sections of its Rules Tariff that address detention, demurrage, provision of chassis, free-time, and 2 provisions for extending free-time or obtaining a waiver of detention or demurrage charges, if any.” A-0119-0120, Dkt. 47 Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel at 1-2.

RESPONSE: Admitted.

392. On April 6, 2025, Flexport produced 3,306 invoices that were largely duplicative of their prior production with the absence of Bates stamps and a spreadsheet containing some information for shipments from April 2021-October 2021. F-0142, Decl. of K. Little at 2.

RESPONSE: Admitted that Flexport supplemented its document production. To the extent there were duplicative invoices produced, same were provided to ensure a complete production was made and to provide same to counsel as soon as possible. It is further noted that at all times Peloton had the ability to download any and all invoices from the Flexport platform. Further, all of these invoices were contained in Peloton’s systems already. Finally, the spreadsheet, which Peloton states contained “some information” consisted of 179,769 rows of data.

393. Flexport failed to include any new delivery orders, NVOCC NRAs, or bills of lading, as it stated it would in its March 25 email, and did not produce any other communications between itself and its carriers as required by the March 26 order. F-0142-F-0143, Decl. of K. Little at 2-3.

RESPONSE: Denied. All delivery orders, NRAs and bills of lading were provided timely. Further, again, all of these documents were already in Peloton's possession. With regard to the communications, all communications were already provided or were reflected in the Events Downloads. Counsel for Peloton takes issue that Flexport failed to produce documents which do not exist.

394. Via email on April 11, 2025, Flexport counsel certified pursuant to the March 26, 2025 Order that, “[t]he policies or procedures in effect from January 1, 2021 to December 31, 2022 relating to the assessment of detention and demurrage charges, or free-time for containers and/or chassis, including whether extensions of free-time would be provided under certain circumstances, were set forth in Flexport’s Rules Tariff, the terms of the MSAs, NRAs or NRAs (if applicable) and the regulations and guidelines as set forth by the Federal Maritime Commission. F-0067, RE: Peloton v. Flexport; Confidential Information (April 11, 2025 4:17 email from R. Borak to K. Little).

RESPONSE: Admitted. Move to strike as it is inappropriate to introduce confidential communications between counsel as “evidence”.

395. On April 22, 2025, the Presiding Officer ordered Flexport, to the extent it had not already done so, to produce the communications between it and various entities regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.” A-0122, Dkt. 52 Order on Complainant’s Third Motion to Extend Schedule at 2.

RESPONSE: Admitted.

396. On April 25, 2025, Flexport produced only a spreadsheet containing some information for shipments from August 2020-April 2021, duplicative copies of its D&D tariffs, an OSRA addendum spreadsheet, and seven emails. F-0142, Decl. of K. Little at 2.

RESPONSE: Denied. The spreadsheet contained – as ordered – the data for the 7 shipments which were transported prior to May 2021 but which were invoiced after that date. It is also noted that “some information” consisted of 1,658 rows of data. With regard to the D&D tariffs, despite the statements in counsel’s sworn Declaration, these were NOT duplicative – rather, these were the tariffs which were in effect in 2020 and were applicable to the 7 shipments identified above.

397. On May 15, 2025, the Presiding Officer issued an order which stated:

To the extent that it was not clear, *the records, including bills of lading, invoices, and the communications between Flexport and the contractors, marine terminals, and ocean carriers, as well as the internal communications regarding Peloton’s containers or shipments, are relevant to Peloton’s claims and are compelled.* To the extent that they have not been provided, Flexport is ORDERED to produce any remaining records by May 20, 2025, and to then state in writing that there are no further records responsive to the request.

While shipments may have occurred prior to the three-year statute of limitations for reparations, *invoices that for those shipments may be when Peloton was put on notice of alleged Shipping Act violations.* Accordingly, to the extent it has not supplemented its response to RFP 5, Flexport is ORDERED to produce *any remaining records for the period from May 2021 through December 2022 by May 20, 2025.*

If Flexport has policies or procedures and/or trains employees on how or when to assess detention and demurrage charges, or what factors go into making that assessment, that information could lead to admissible evidence. Accordingly, *if Flexport has or had any policies, procedures, or training programs related to demurrage and detention in effect from May 2021 through December 2022,* it is ORDERED to produce them by May 20, 2025.

A-0125, Dkt. 62 Order on Pending Motions at 3 (emphasis added).

RESPONSE: Admitted.

398. On May 20, 2025 Flexport made its only production in response to this order—four partial employee training videos on the topics of D&D. The four videos have a total run time of 5 minutes and 2 seconds and are obviously small portions of larger training videos on this subject.

F-0143, Decl. of K. Little at 3.

RESPONSE: Denied and move to strike the insinuation by counsel.

399. On June 30, 2025, the Presiding Officer ordered Flexport to produce all responsive documents with 15 days to Peloton’s RFP 4, which requested:

[A]ll Documents and records in connection with the Peloton Shipments, including all contracts and agreements, service agreements with Ocean Carriers, negotiated service arrangements (NSAs), negotiated rate arrangements (NRAs), freight invoices, bills of lading, waybills, Documents and Container management data, Motor Carrier work orders, Motor Carrier invoices, Motor Carrier bills of lading, linehaul bills of lading, freight invoices, Demurrage and Detention invoices, Marine and Inland Terminal data and records, railroad records, Motor Carrier records, and payment records.

A-0299, Dkt. 72, Order on Pending Motions and Complainants Unilateral Status Report and Amending Scheduling Order at 15.

RESPONSE: Denied. This Order was clarified and revised by the Presiding Officer a few days later – over the objection of counsel for Peloton. See Order on Respondent’s Request for Expedited Hearing on Clarification of Order Dated June 30, 2025, Doc. No. 77.

400. Also in the June 30 Order, the Presiding Officer ordered Flexport to produce responsive documents for years 2020 to 2021 within 15 days to Peloton’s RFP 13, which requested:

[A]ll Documents, including policies, standards, guidelines, practices, procedures, internal deliberations, reports, memorandums, presentations, training or analyses related to (1) Flexport’s charging of Detention & Demurrage and (2) compliance with the Shipping Act of 1984, 46 U.S.C.

PUBLIC VERSION

§§ 41102(c), 41102(d), 41104, as amended, including regulations, interpretive guidance, and adjudicatory decisions relating to Demurrage and Detention in the U.S. from 2018-Present.

A-0301, Dkt. 72 Order on Pending Motions and Complainants Unilateral Status Report and Amending Scheduling Order at 16.

RESPONSE: Admitted.

401. On July 15, 2025, Flexport produced 19 publicly available versions of their D&D tariffs from 2019-2021. Flexport produced no additional documents in response to the June 30 order. F-0143, Decl. of K. Little at 3.

RESPONSE: Denied. The tariffs were not all publicly available as historical tariffs do not need to be kept available. Flexport produced all of them in good faith.

402. Flexport produced no communications with ocean carriers in response to the Presiding Officer's four discovery orders. F-0143, Decl. of K. Little at 3.

RESPONSE: Denied. The communications had already been produced, as was relayed to counsel for Peloton at least 5 times.

403. Flexport tried to justify the lack of production by claiming that "an NVOCC typically does not send emails to ocean carriers. All communication is sent via EDI or similar mechanism. Second, as has been made clear in discovery, the correspondence regarding free time and D&D was between the trucker and the ocean carrier." A-0298.

RESPONSE: Denied as improper and unsupported legal conclusion of counsel.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

B-0192, B-0206-0207, Flexport 143(b)(6) Dep. Tr. 192:18-23, 206:25-207:3.

RESPONSE: Admitted that the testimony reflects that statement but that is not in contradiction to what was stated in CPFF403.

405. Flexport produced a mere seven email chains with its 36 truckers that moved Peloton Shipments in response to the Presiding Officer's four discovery orders. F-0143, Decl. of K. Little at 3.

RESPONSE: Denied as stated. In response to the Presiding Officer's orders, Flexport provided the seven email chains referenced since these related specifically to those shipments which had arrived prior to May 2021 but which were invoiced after that date. All other communications with the truckers had already been produced, as reflected in the documents production and/or the Events Downloads.

406. Flexport has asserted the communications with truckers were produced through the Peloton Events Download from its portal. A-0243, Exhibit A to Dkt. No. 71 Flexport Response to Status Report Declaration of Ryan Tanner at 3.

RESPONSE: Denied. The voluminous document production also reflect several communications.

407. A review of the Peloton Events Download reveals that it is more akin to a log without substantive communications, as many are generic event labels with no additional context.

PUBLIC VERSION

33395	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 15:02:03	Nick Peckham
	Stop Off Fee reported.			
33416	Container BEAU4814580: 1 container.	1151058	2021-08-17 15:38:52	Ian Weiland
33434	Cargo delivered to SFO - Perris, CA	1151058	2021-08-17 16:08:12	Lenilyn Plata
33545	Container WHSUS180827 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1151058	2021-08-17 17:40:40	samalaulu peni
33671	Trucking Delay: Other	1151058	2021-08-17 19:21:26	Lenilyn Plata
33672	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 19:21:28	Lenilyn Plata
33673	Updated Estimated Time of Departure (ETD)	1151058	2021-08-17 19:21:30	Lenilyn Plata
33674	Trucker Confirmed Scheduled Date	1151058	2021-08-17 19:21:30	Lenilyn Plata
33675	_This message was deleted._	1151058	2021-08-17 19:21:46	Lenilyn Plata
33681	Trucking Delay: Other	1151058	2021-08-17 19:26:27	Lenilyn Plata
33682	Trucker Confirmed Scheduled Date	1151058	2021-08-17 19:26:30	Lenilyn Plata
33683	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 19:26:32	Lenilyn Plata
33684	Updated Estimated Time of Departure (ETD)	1151058	2021-08-17 19:26:33	Lenilyn Plata
33685	_This message was deleted._	1151058	2021-08-17 19:26:44	Lenilyn Plata

Excerpt of Peloton Events Download produced by Flexport. D-2646; D2647; D-2735.

RESPONSE: Denied and this is merely a completely inaccurate and misleading conclusion of counsel. Counsel provides a handful of events of a download which exceeds 300,000 rows of data for the sweeping conclusion that it does not container “substantive discussions”. A mere glance at the Events Downloads shows how incorrect and misleading this is. The following is an example:

Hi - I wanted to surface an issue we are seeing with Rexion’s receiving capabilities. This flex-id was originally scheduled to deliver on 3/26, but has been pushed out as there is no room within Rexion’s warehouse. As of this morning there is still no room to receive the cargo and we do not have a timeline for when cargo can be received. Any help you can provide to work with Rexion to clear out receiving space is appreciated. Thank you. [@Devon Gamba](#mention/user/113076) [@Brandon Chiu](#mention/user/127080) [@Brittney Webber](#mention/user/128968)

CXD-2746 (Events Download April – Oct 2021) at line 269.

Here’s another, a few lines further down:

Empty container was diverted to our yard, will terminate on the first available appt. stop off fee will be applied. thank you!

CXD-2746 (Events Download April – Oct 2021) at line 326.

And this, a few more lines down:

Hi [@Barb Dooley](#mention/user/38520) [@Matt Beatty](#mention/user/37873), was this able to deliver yesterday? Thank you!

CXD-2746 (Events Download April – Oct 2021) at line 402.

Those are just three substantive communications randomly picked up from just the first 402 lines of the Events Downloads, which contain over 300,000 rows of data.

408. The content of the seven email chains produced make it evident that substantially more communications were held between Flexport and its truckers than were produced.

F-0141-43, Decl. of K. Little at 1-3.

RESPONSE: Denied and this is merely the unsupported legal conclusion of counsel.

409. Deposition testimony and statements from Flexport's CEO establishes that there should be substantial communication between Flexport and its contracted truckers, which has not been produced. *See* B-0601, Peckham Dep. Tr. 103:18-23 (communications with preferred truckers happened "[o]n the Flexport platform you can tag truckers and have a conversation there, or email"); 103:19-23 ("There was always some sort of communication, whether it was my job responsibility or not. You know, if a client asked for an update, I would try to get one from the trucker."); B-0663-0664, 165:21-166:5 ("everything that we did when talking about, you know, operations, movement of things, it is always in reference to the container or in reference to the Flex ID. So you can just copy the container number and copy/paste, put it into your email, and you will see the communications about it as well."); "Starting & Scaling Flexport with Ryan Petersen EM Group Chat #166," 00:11:00, https://www.youtube.com/watch?v=_eaxelB-mKs (last visited August 4, 2025) ("with our Trucking technology we did that like fully manual for the first three years of our business or so where we would just email truckers and assign loads to them by email and then they'd deliver them and they'd communicate back to us and our team would sort of update the app that kept the customers informed ... then we developed a software application for them

with mobile app for their drivers and a dispatcher app that allows them to assign the loads to the drivers...”

RESPONSE: Denied. Unauthenticated and irrelevant. Video was posted January 16, 2024. As such, it bears no relation to any shipment at issue. As the testimony made clear, the truckers were in communication with the ocean carriers regarding extension of free time, appointments, and delays and the vast majority of any communication between all of these entities was made via EDI and is reflected in the Events Downloads. *See* CXB-0161-CXB-0162 (Flexport 143(b)(6) Dep.) at 161:8 – 162:5); CXA-0241-CXA-0244 (Tanner Decl.); CXB-3601, CXB-3613-CXB-3614 (Kardian Dep.) at 157:7-17, 169:13 – 170:12.

Flexport in fact produced hundreds of emails between it and the truckers - and Peloton was copied on most of them. Further, as the testimony made clear the communications between Flexport and the truckers primarily occurred via EDI, as reflected in the Events Downloads. *See* CXB-0161-CXB-0162 (Flexport 143(b)(6) Dep.) at 161:8 – 162:5); CXA-0241-CXA-0244 (Tanner Decl.); CXB-3601, CXB-3613-CXB-3614 (Kardian Dep.) at 157:7-17, 169:13 – 170:12. Further, as the testimony made clear the communications between Flexport and the truckers primarily occurred via EDI, as reflected in the Events Downloads. Indeed, this attempt at misdirection is highlighted by Peloton’s next contention – that Flexport has not produced any data or communication from the “Transmission Platform”. In support, Peloton refers to the illegal subpoena it issued to JCT transportation. The subpoena was served after the close of written discovery. Further, the subpoena sought all documents between Flexport and JCT – including invoices and contracts – in direct contravention of the Presiding Officer’s Order. In its Response, JCT specifically states that nearly all of its communications with Flexport were through “Transmission” – which is part

of the Core Platform. CXF-0063 (JCT Response to Peloton's Subpoena). To clarify, the "Transmission platform" is not a separate application or program – all of the "Transmission" data is reflected in the Events Downloads from Core. Thus, by Peloton's own illegal-obtained evidence, there would not be a significant number of emails at all.

410. Peloton learned from JC Transport, *not Flexport*, that Flexport used a platform called "Transmission" for at least some of its communications with truckers. F-0063, RE: Peloton v. Flexport; Subpoena.

RESPONSE: Admitted in part and denied in part. That is NOT what JCT said at all – they said the vast majority of its communications were through "Transmission"! CXF-0063 (JCT Response to Peloton's Subpoena) ("communication with Flexport occurs via messaging in the Transmission platform between our CSRs and their team.")

411. It appears that Transmission facilitates logistics functions, including communications with trucking companies, delivery coordination, proofs of delivery, work orders, and terminal appointments. F-0063-0064, RE: Peloton v. Flexport; Subpoena.

RESPONSE: Denied but it is unclear if this is a statement or just the opinions of counsel.

412. Flexport has not produced any of information or communications from Transmission. F-0063-0064, RE: Peloton v. Flexport; Subpoena; F-0138-40, Letter to Flexport re Discovery Deficiencies; F-0141-43, Decl. of K. Little at 1-3.

RESPONSE: Denied and grounds for sanctions. First, the referenced Declaration from Ms. Little makes absolutely no mention of "Transmission" at all. Second, the "evidence" being presented is a letter and the incorrect declaration from counsel. As was made clear to counsel – several times – all of the records from "Transmission" are reflected in Core, and produced in the Events Downloads. See CXA-0242 (Tanner Decl.) at 2, ¶¶ 10-13. This fact was

conveyed to Ms. Little over and over again and ignored without inquiry or discussion. To be clear, the Events Downloads as provided by Flexport in their native format can be sorted by author. If “Transmission Automation” is selected, it can clearly be seen that there are over 17,000 entries with this author alone.

413. Deposition testimony also established that there should be substantial internal communication between Flexport employees and teams. *See* B-0636, Peckham Dep. Tr. 138:10-19 (Q: Earlier you had discussed this split that happened between the operations team and the client solutions team in relation to shipments. How did that process work when the operations team was handling the actual shipment but the client solutions team was handling invoicing? A: Just like constant communication. Talked to them a lot, leaving internal notes within Core, emails.”).

RESPONSE: Admitted as to testimony. Denied as to the arguments of counsel.

414. Peckham described how he used internal notes when reviewing shipments:

Q: Earlier you discussed that there was notes you would sometimes look at in reviewing the shipments. Do you remember that discussion?

A: Mm-hmm.

Q: Where were those notes contained?

A: Within Core.

Q: Where within Core?

A: There is a notes section called “Internal Notes.”

B-0662, Peckham Dep. Tr. 164:7-16.

RESPONSE: Admitted.

415. Despite their availability on the Flexport platform, these internal notes have not been produced. F-0143, Decl. of K. Little at 3.

RESPONSE: Denied and grounds for sanctions. The “evidence” being presented is a letter and declaration from counsel. To be clear, the Events Downloads as provided by Flexport in their native format can be sorted by author. If “Nick Peckham” is selected, it can be seen

that there are 16,789 entries containing internal notes from Mr. Peckham. Again, this was conveyed to counsel, several times, but has been ignored and then inserted into a sworn declaration.

416. Flexport's platform includes a separate application related to warehouse information. Flexport has not produced this information. F-0138-40, Letter to Flexport re Discovery Deficiencies.

RESPONSE: Denied and grounds for sanctions. The "evidence" being presented is a letter from counsel. As was made clear to counsel – several times – all of the records from the "Warehouse App" are reflected in Core, and produced in the Events Downloads. See CXA-0242 (Tanner Decl.). For example, the below is snapshot from the Events Download reflecting a handful of entries by Salvador Mendez, a Peloton employee who entered the empty notifications into the Warehouse App:

Container KOCU4032785 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1040536	2021-04-15 15:34:53	Salvador Mendez
Container TCNU5372937 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1038829	2021-04-15 17:23:36	Salvador Mendez
Container EISU9378943 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1040540	2021-04-19 19:44:44	Salvador Mendez
Container TGBU5821067 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1029803	2021-04-20 15:26:36	Salvador Mendez
Container KOCU4589575 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1040536	2021-04-20 15:31:56	Salvador Mendez
Container EMCU9795991 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1029802	2021-04-20 15:39:37	Salvador Mendez
Container WHSU5065633 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1029830	2021-04-20 22:06:05	Salvador Mendez

CXD-2647 (Events Download April – Oct 2021) at lines 8005, 8083, 10435, 11341, 11367, 11372, 11681.

417. Flexport produced limited internal emails that contain little discernible evaluation or substantive analysis of the D&D charges on the 7,000+ shipments at issue. A-0137, Dkt. No. 67.

RESPONSE: Denied. The “evidence” submitted by Peloton is a motion containing only only unsupported conclusions of counsel and as such must be rejected. The vast document production not only contains thousands of internal communications, but daily, weekly, and monthly updates of all charges which were sent to Peloton.

418. Additionally, although Flexport’s platform includes a warehouse application with information relevant to this matter, this data has not yet been produced. F-0138-40, Letter to Flexport re Discovery Deficiencies.

RESPONSE: Denied. See response to CPFF416. The “evidence” presented is counsel’s letter and should be stricken.

419. Flexport witnesses testified regarding trainings and repositories of documents and internal communications related to FMC compliance. *See, e.g.*, B-0294-0295, Tanner Dep. Tr. 25:21-26-24 (describing “Flexport Academy,” a two-week academy for all new Flexport employees discussing FMC compliance amongst other topics⁹); B-0331-0333, 62:16-64:7 (prior to June 2022, Flexport had “numerous knowledge-base[d] pages related to detention and demurrage ... there was directive, guidance, and information available to all employees” and all historical content is still available); B-0300-0302, 31:25-33:4 (Tanner communicated with Steve Lee, Flexport Vice President of Regulatory and Trade Compliance regarding FMC compliance policies and procedures via email).

RESPONSE: Denied as stated. As Mr. Tanner, Flexport corporate representatives stated, the training was recurring. CXB-0170-CXB-0171 (Flexport 143(b)(6) Dep.) at 170:21 – 171:12; see also CXB-0519-CXB-0522, CXB-0524-CXB-0526, CXB-0653-CXB-0654 (Peckham Dep.)

⁹ The FMC compliance training included in Flexport Academy is a pre-recorded training, given by Michael Baekbol, Director, Global Logistics at Flexport, has been given to Flexport employees from at least 2019 to present, and is housed on 360 Learning.

at 21:9 – 24:18 (explaining that he first had a two-week training session regarding all the need-to-knows, then another week of on-the-job training for operations, and then even more training with his team on a day-today basis), 26:13 – 28:9 (further explaining training received by Flexport), 155:3 – 156:7 (confirming that he did receive invoice training).

420. Flexport’s own production references multiple Google documents that suggest the existence of written internal policies that were never produced. *See, e.g.*, E-0022, FLEXPORT 00007747 (contains broken links to multiple Google documents, including “Port Congestion: Invoicing SOPs – D&D Dispute Process” and “Summary of D&D and Trucking Invoicing Resolutions”).

RESPONSE: See Response to CPFF419. Nothing was ever asked about this and what counsel “believes” this “suggests” are irrelevant.

421. None of these documents, communications, or trainings have been produced. A-0279-80, Exhibit 1 to Complainant's Motion to Compel; F-0141-43, Decl. of K. Little at 1-3. F-0138-40, Letter to Flexport re Discovery Deficiencies.

RESPONSE: Denied. No admissible evidence is referenced.

422. On July 17, 2025, Peloton sent correspondence to Flexport outlining the ongoing deficiencies in Flexport’s document production and specifically requested either access to the Warehouse application or production of the relevant Warehouse data. As of this date, Flexport has not produced the requested information. F-0138, Letter to Flexport re Discovery Deficiencies.

RESPONSE: Denied. The “evidence” presented is a letter from counsel. Further, counsel was advised – repeatedly – that the Warehouse App data was contained in the Events Downloads (see above) and that, further, Peloton still has access to the Warehouse App and

Core. Counsel responded that the Peloton employees that had access are no longer with the company. This is irrelevant and an outright misrepresentation.

B. Flexport's Failure to Disclose Documents Relied on by its Expert Witness Gary Kardian

423. D-2648, Kardian Expert Report; F-0116-17, RE: Peloton v. Flexport; Confidential Information; F-0141, Decl. of K. Little at 1.

RESPONSE: There is no statement made to deny or admit.

424. The Kardian Expert Report only addresses liability Kardian does not provide any analysis or opinions regarding damages in this matter. *See generally* D-2648, Kardian Expert Report; B-3589, Kardian Dep. 145:3-22.

RESPONSE: Denied. Mr. Kardian stated that Peloton incurred no damages at all. See CXD-2683 (Kardian Rpt.) at 36.

425. The Kardian Expert Report only contains analysis based on the original Complaint, filed May 3, 2024, and not the Amended Complaint, filed October 2, 2024. *See generally* D-2648, Kardian Expert Report.

RESPONSE: Denied. See testimony – he said they were the similar as to be no different with respect to his analysis. CXB-3589 (Kardian Dep.) at 145:3-22.

426. On May 22, 2025, Peloton counsel took Kardian's deposition. B-3445, Kardian Dep. Tr.

RESPONSE: Admitted.

427. During deposition, Kardian testified that he did not review all the allegations in the Amended Complaint and that his expert report was largely based on the original complaint. B-3588-89, Kardian Dep. Tr. 144:16-145:22.

RESPONSE: Denied as stated. Kardian testified that he did review the Amended Complaint and that further that he “did not see that much substantive change between the original and the amended...”. CXB-3588-CXB-3589 (Kardian Dep.) at 144:16 – 145:22.

428. The Kardian Expert Report also did not disclose the documents reviewed in support of his findings, a list of prior proceedings where he has testified as an expert, or the compensation he has received for participating in this proceeding. *See generally* D-2648, Kardian Expert Report; D-2684-2687, Kardian Expert Report, Ex. 1; D-2688-2722, Kardian Expert Report, Ex. 2.

RESPONSE: Denied. A supplement was provided.

429. Peloton raised these issues with Flexport via email on April 24, 2025. F-0116, RE: Peloton v. Flexport; Service of Court Document (April 24, 2025 12:25 pm email from C. Hand to R. Borak).

RESPONSE: Denied.

430. After receiving no response, Peloton followed up with Flexport via email on April 27, 2025, expressing concern that the failure to provide the additional supporting information prejudiced Peloton’s ability to respond to the Kardian Expert Report. F-0115, RE: Peloton v. Flexport; Service of Court Document (April 27, 2025 5:16 pm email from C. Hand to R. Borak).

RESPONSE: Denied. A supplement was provided, as well as a response.

431. Flexport served a supplement to the Kardian Report on April 28, 2025 (the “Kardian Supplement”). D-2723-2724, Kardian Supplement.

RESPONSE: Admitted. As stated above, the Report was supplemented.

432. The Kardian Supplement referenced broad categories of materials allegedly relied upon, such as “multiple correspondence between Flexport and Peloton,” but did not provide

specific Bates numbers or otherwise identify the documents with particularity. D-2723, Kardian Supplement ¶ 12.

RESPONSE: Denied. Mr. Kardian clearly testified as to all the documents he reviewed. Further, counsel is making the insinuation that Gary Kardian, former FMC Commissioner, made misrepresentations about the documents he reviewed about the documents he reviewed.

433. The Kardian Supplement report also failed to provide a list of prior proceedings where he has testified as an expert or the compensation he is received for participating in this proceeding. *See generally* D-2723-2724, Kardian Supplement.

RESPONSE: Admitted. However, he testified to each of these. *See* CXB-3459-CXB-3462, CXB-3511-CXB-3534 (Kardian Dep.) 15:5 – 18:21, 67:3 – 90:3.

434. To date, Flexport has not provided these items for the Kardian Expert Report as required by 46 CFR § 502.141. F-0141, Decl. of K. Little at 1.

RESPONSE: Denied. See prior responses.

435. During his deposition, Kardian disclosed for the first time that he relied on a “CORE document” to prepare his report and to access Peloton shipment data.

A: Well, the information what was in the system contained—I can’t—I don’t know that there—every shipment was in Core, but whatever was in Core matched up to a specific shipment. So, again, I didn’t go through like, a thousand different things in Core. There’s a lot of data in Core that’s fed into there for each respective shipment. So I didn’t have to log into it. It was already fed in there so I could view it.

Q: I guess—I think I’m a little confused. How did you access Core?

A: Core was in—it was like—I clicked on it. It was in the Dropbox.

B-2618, Kardian Dep. Tr. 174:9-11.

RESPONSE: Denied. This is a misrepresentation and a misstatement. As as clarified during his deposition, and later in the declaration of Ryan Tanner, Mr. Kardian was never provided access to “Core, but was provided all three of the Events Downloads, as well as additional spreadsheets – all of which had been produced in discovery. On April 11, 2025, Mr. Tanner attended a video conference with Gary Kardian and Robert Borak to help Mr. Kardian understand the documents he had been provided. Notably, Mr. Kardian was advised that the “Events Downloads” reflected all of the information contained in “Core”. Mr. Kardian was never provided access to “Core” or provided a “Core document”. If Mr. Kardian refers to a “Core Document”, it may be presumed that he is referring to the Events Downloads. CXA-0243 (Tanner Decl.) at 3, ¶ 22.

During the deposition, the undersigned attempted to clarify this matter so that everyone was on the same page. Counsel for Peloton did not want to listen or understand, however, only to continue her pursuit of the “missing documents”, blindly insisting that Mr. Kardian reviewed documents other than what was produced in discovery:

MS. LITTLE: It sounds like, whenever speaking to Mr. Kardian, he confirmed that the Peloton events download was not the document that he reviewed when he's talking about Core.

MR. BORAK: Well, then he could be also referring to a different document that's not in front of him, considering there were seven different spreadsheets that were provided to him.

MR. BORAK: Ask him point blank did he ever have access to Peloton's system? Did he have a login to see --

MS. LITTLE: Okay. Rob, this is my depo.

MR. BORAK: Just to clarify the --

MS. LITTLE: This is my depo.

Mr. Kardian then confirmed that he never had access to “Core”. CXB-3617 (Kardian Dep.) at 173:10-16. Ms. Little then went through the entire list of documents” Mr. Kardian was provided, all of which had been produced, and he identified the Events Download as the “Core” document to which he had been referring: “It -- it's got the events, the -- all the events that parties inputted into the system. I believe that's what I'm referring to because it wasn't actually Core itself.” CXB-3622-CXB-3624 (Kardian Dep.) at 178:3 – 180:23.

This was not sufficient, and Ms. Little continued her crusade to discredit Mr. Kardian and expose Flexport for concealing documents (which had been produced). Despite multiple correspondence, Peloton finds it necessary to bring this up again here.

436. Prior to Kardian’s deposition, neither the Kardian Report nor the Kardian Supplement disclosed the existence of the “CORE document” or whether it had been produced in discovery. *See generally* D-2648-2683, Kardian Expert Report; D-2723-2724, Kardian Supplement.

RESPONSE: Denied. This is a misrepresentation and another example of Ms. Little ignoring the facts in pursuit of her crusade. See Response to CPFF346.

437. Kardian expressly testified that the CORE document he reviewed was not a spreadsheet and not the Peloton Shipment Files, which are the only information Flexport has produced to Peloton from CORE. B-3595, Kardian Dep. Tr. 151:17-18.

RESPONSE: Denied. See Response to CPFF346.

438. Peloton has requested Flexport produce the CORE document or provide the applicable bates number of the document on May 23, 2025 and July 17, 2025. F-0120, May 23 Letter to Flexport Counsel; F-0138-40, Letter to Flexport re Discovery Deficiencies.

RESPONSE: Admitted. See Response to CPFF346.

439. To date, Flexport has neither produced nor clearly identified the CORE document. Instead, Flexport counsel has only indicated that the document was previously produced, but failed to specify which materials were actually reviewed or relied upon by the expert. *See See* A-0151, Dkt. No. 71 (“To be absolutely crystal clear, the ‘link’ Kardian referred to was the Dropbox link which contained the documents sent to him by the undersigned. These documents – all of them – have been provided to Peloton in this litigation.”).

RESPONSE: Denied. The crusade continues. See Response to CPFF346. Counsel for Peloton literally went through all of the documents Mr. Kardian reviewed and he specifically identified the Events Download. The undersigned then advised Ms. Little of the precise documents.

440. While Flexport provided a declaration from Tanner asserting that the ‘link’ to which Kardian referred has been produced, it did not provide such a declaration from Kardian nor the Bates number or any other identifying information for its alleged production. A-0142, Dkt. No. 71.

RESPONSE: Denied. See Response to CPFF346. Counsel for Peloton literally went through all of the documents Mr. Kardian reviewed and he specifically identified the Events Download. The undersigned then advised Ms. Little of the precise documents. Ms. Little is well aware that the Events Downloads were produced in their native format and thus have no Bates number.

C. Flexport’s Failure to Appear for the Deposition of Peloton’s Expert, Greg Smith

441. On May 21, 2025, Flexport counsel requested availability of Peloton’s damages expert, Greg Smith, for deposition. F-0133-0134, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 11:32 am email from R. Borak to K. Little).

RESPONSE: Denied. Flexport counsel requested that all available dates and times for Mr. Smith – as a liability expert be provided. Counsel responded with only two dates – neither of which was available to the undersigned. Counsel for Flexport requested all dates that he was available. Counsel for Peloton responded with only one – the day after Memorial Day. The undersigned pointed out that Mr. Smith was disclosed as a liability expert after the parties requested an extension to June 2, 2025, to take the depositions of Mr. Roche and Mr. Kardian. Counsel for Peloton then responded, that June 3, 2025, was available – after the date extended by the Presiding Officer.

442. Later that same day, Peloton counsel provide two available dates and requested that Flexport confirm as soon as possible so that travel could be arranged for Smith from New York to D.C. F-0133, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 12:44 pm email from A. Skopec to R. Borak).

RESPONSE: See Response to CPFF441.

443. Flexport counsel responded, requesting additional dates due to conflict, which Peloton counsel promptly provided. F-0132-0133, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 5:51 pm email from R. Borak to A. Skopec and K. Little and May 22, 2025 1:22 pm email from A. Skopec to R. Borak).

RESPONSE: See Response to CPFF441.

444. Two days later, after receiving no response, Peloton counsel emailed Flexport counsel again, requesting confirmation of the deposition, as there were only five business days left until the close of expert discovery. F-0131, RE: Peloton v. Flexport; Supplemental Expert Report (May 24, 2025 5:18 p.m. email from A. Skopec to R. Borak).

RESPONSE: Admitted that the undersigned was in the middle of taking several depositions and preparing for trial – and did not respond until the next business day.

445. Three days after Peloton's email, in the last week of expert discovery, Flexport counsel notified Peloton counsel that he could not take Smith's deposition until June 3rd, one day after the close of expert discovery and requested confirmation. F-0130, RE: Peloton v. Flexport; Supplemental Expert Report (May 27, 2025 2:32 p.m. email from R. Borak to A. Skopec and K. Little).

RESPONSE: Admitted. See Response to CPFF444.

446. Peloton responded the following day, May 28th, confirming Smith's availability for June 3rd and recommending the parties submit a joint submission given that the deposition was scheduled for outside the discovery period. F-0130, RE: Peloton v. Flexport; Supplemental Expert Report (May 28, 2025 4:01 p.m. email from A. Skopec to R. Borak).

RESPONSE: Admitted.

447. Peloton arranged for Smith and counsel to travel to D.C. for the June 3rd deposition. F-0133, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 12:44 p.m. email from A. Skopec to R. Borak).

RESPONSE: Denied. Flexport never confirmed the deposition, nor noticed same. The discovery period had concluded on June 2, 2025, and Peloton did not move to extend same, as it should have, given its conduct regarding the late disclosure.

448. Peloton counsel attempted to confirm the details of Smith's deposition with Flexport counsel on June 2 and multiple times on the morning of June 3. See F-0123-0128, RE: Deposition of Witness Greg Smith.

RESPONSE: Denied. Flexport never confirmed the deposition, nor noticed same. The discovery period had concluded on June 2, 2025, and Peloton did not move to extend same, as it should have, given its conduct regarding the late disclosure.

449. Flexport's counsel did not respond to any of these communications until 20 minutes before the scheduled start time of the deposition, at which time he indicated he would not be taking the deposition of Smith. F-0124, RE: Deposition of Witness Greg Smith (June 3, 2025 9:41 a.m. email from R. Borak to A. Luzwick).

RESPONSE: Denied. Flexport never confirmed the deposition, nor noticed same. The discovery period had concluded on June 2, 2025, and Peloton did not move to extend same, as it should have, given its conduct regarding the late disclosure.

450. Despite Peloton's counsel explaining that the Smith was present and prepared to proceed, Flexport counsel declined to appear for the deposition. F-0123-0124, RE: Deposition of Witness Greg Smith (June 3, 2025 10:06 a.m. email from A. Luzwick to R. Borak and June 3, 2025 10:36 a.m. email from A. Luzwick to R. Borak).

RESPONSE: Denied. Flexport never confirmed the deposition, nor noticed same. The discovery period had concluded on June 2, 2025, and Peloton did not move to extend same, as it should have, given its conduct regarding the late disclosure.

**D. Flexport's Attempts to Intimidate and Harass Peloton's Expert Witness
Richard Roche**

451. Richard Roche served as Peloton's expert liability witness in this matter. D-0004, Roche Expert Report at 4.

RESPONSE: Denied as stated. Peloton in fact designated three (3) liability experts in this matter, including Mr. Smith, an accountant who was initially designated as a damages expert

who then submitted a Supplemental Report after the expert discovery deadline which provided an opinion as to Flexport's liability. See CPFF313 and Response to CPFF336.

452. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

B-3290-3291, B-3293, Roche Dep. Tr. 316:17-317:1, 319:21-22; D-3221-3226, Letter to NCBFAA.

RESPONSE: Denied as stated. The timing of the letter had nothing to do with the deposition, as same was set to take place weeks later. Further, as Peloton itself sets forth herein, Mr. Roche was not just a mere "volunteer" with the NCBFAA as Peloton portrays – he was a sub-committee chairman. CPFF288. Moreover, this sub-committee held monthly meetings – which were attended by Ryan Tanner from Flexport. And at these closed-door private meetings, the members (including Flexport) discussed issues pertinent to the industry – including billing practices, D&D, supply chain issues and the impacts of OSRA 2022.

The NCBFAA represents more than 1,300 member companies with 110,000 employees in international trade – the nation's leading freight forwarders, custom brokers, ocean transportation intermediaries (OTIs), NVOCCs and air cargo agents serving more than 250,000 importers and exporters. CXD-2650 (Kardian Rpt.) at 3, n. 14. At the top of the NCBFAA's homepage is the follows: "VOICE OF THE INDUSTRY SINCE 1897".¹⁰

Article II of the NCBFAA's bylaws clearly set forth the objectives of this association:

to promote the common business interests of Customs Brokers, Ocean Transportation Intermediaries ("OTI's"), which includes Ocean Freight

¹⁰ <https://www.ncbfaa.org/#> (last visited Sept. 14, 2025).

Forwarders and Non-Vessel Operating Common Carriers, and Indirect Air Carriers (IACs); **to encourage the maintenance of professionalism within our industry; to maintain a standard of integrity and efficiency** that will **protect clients** and the Government in the fair, reasonable and equitable administration of import and export laws and regulations; and, **to develop acquaintance and good fellowship among the members.**¹¹

Flexport has been a member of the NCBFAA for many years. Flexport has been a very active participant as well, attending countless meetings – including those led by Mr. Roche. As such, Flexport was justifiably outraged when Mr. Roche issued a scathing rebuke¹² of Flexport’s alleged practices.

As such, when Mr. Roche issued his “expert” report criticizing not only Flexport, but making opinions which were detrimental to the entire industry, Flexport believed that it had a duty to advise the NCBFAA. Notably, since Mr. Roche’s expert report was improperly designated as “Confidential”, Flexport did not share the report or any information contained therein, with the NCBFAA. But Flexport could share the basis of his opinions, as set forth in the expert designation issued by Peloton. Mr. Tanner was then contacted by counsels for NCBFAA and was advised that they would investigate the matter.

Shortly thereafter, counsels for Peloton demanded of the undersigned that the letter to the NCBFAA be produced to them. The undersigned responded that the letter was not in our possession as this was handled solely by Flexport – completely outside of this litigation. Then, on the evening of the deposition of Mr. Roche, counsel for Peloton sent the undersigned the correspondence. *See* CXF-0144-CXF-0145 (Letter from Luzwick to Borak).

¹¹ https://www.ncbfaa.org/docs/default-source/committees/board-of-directors/ncbfaa-bylaws.pdf?sfvrsn=ff7d190f_1 (emphasis added).

¹² Notably, in his rebuttal report, Mr. Roche also rebuked the opinions of Flexport’s expert, Gary Kardian, former Director at the FMC.

Notably, in its correspondence, Peloton's counsel advises that the letter which Flexport had sent to the NCFBAA shall be designated as "CONFIDENTIAL – ATTORNEY'S EYES ONLY".¹³ To be clear, counsel for Peloton (not Mr. Roche) was designating a letter sent by Flexport to a third-party regarding Mr. Roche (a non-party) as being not only "confidential" but "attorney's eyes only". The correspondence also made multiple accusations against Flexport and the undersigned that it had somehow breached the Confidentiality Stipulation – without identifying a single portion of the letter which would implicate same. To be clear – nothing in the NCBFAA letter revealed anything from Mr. Roche's report which could be deemed confidential.

The correspondence then goes on to state that Peloton reserves all rights and objections to the NCBFAA Letter as "completely improper attempt at witness intimidation and tampering." CXF-0144-CXF-0145 (Letter from Luzwick to Borak) at 2. The correspondence concludes that Mr. Tanner's primary purpose of writing the letter was "no doubt...to intimidate Mr. Roche and influence his testimony." *Id.*

Peloton's counsel then unilaterally decided, without basis, or any right, to designate Mr. Roche's deposition testimony to be taken the next day as "ATTORNEY'S EYES ONLY". Further, counsel improperly objected to the attendance at Mr. Roche's deposition (the next morning) of ANY Flexport representative.

Then, after the witness was sworn in, but before any question was asked, counsel for Peloton improperly objected to Ryan Tanner's presence at the deposition, repeatedly stating

¹³ Although Peloton's counsel has labeled the letter as confidential, there is nothing confidential about it at all. It is noted that counsels for Peloton have designated a voluminous number of documents as "confidential", even after the Presiding Officer has expressly held what is and what is not considered confidential.

that he would “intimidate the witness”. Counsel for Flexport pointed out that what counsel for Peloton did was improper and outrageous. Counsel for Peloton was adamant, however, insisting again and again that Mr. Tanner be removed from the video conference deposition because he was “intimidating”. Counsel for Peloton then stated that if Mr. Tanner did not leave then she would call the Presiding Officer. In short, counsel for Peloton was refusing to proceed with the deposition (duly noticed by Flexport) unless her demands were met.

The undersigned then interjected, noting that Peloton’s counsel had been in possession of the NCBFAA letter for over a week, but chose to present its concerns the evening before the deposition. The undersigned pointed out that what was written in the letter was wrong, inflammatory and naïve. Once again, the truth is far from how it is portrayed by counsels for Peloton. Peloton’s counsel obstructed the deposition. Peloton’s counsel maintained an illogical, untenable, unlawful position regarding the deposition of a witness who they did not even represent. The undersigned even suggested – 5 times – that Mr. Tanner could shut his camera off, so there could be no hint at “intimidation”¹⁴. Counsel for Peloton did not even address why this would not be acceptable, but just continued to repeat her position, and that she was unilaterally stopping the deposition.

When the court reporter informed counsel that she could not do that, counsel just shut off her camera and apparently left the room – for 7 minutes. CXD-2725 (Video Deposition of Roche Vol. I MM) at 21:20 – 28:51.

¹⁴ The ALJ is urged to review any portion of either of videos from Mr. Tanner’s depositions. With the utmost respect for Mr. Tanner, it is submitted that he is not “intimidating” in the slightest.

The witness remained in the room but refused to answer any questions, shutting off his camera multiple times, muted his laptop and was clearly in communications with counsel. CXD-2725 (Video Deposition of Roche Vol. I MM) at 21:20 – 28:51.

When counsel returned, she read a prepared statement into the record, containing a litany of objections before finally agreeing to “allow” the deposition to continue. CXD-2725 (Video Deposition of Roche Vol. I MM) at 25:18

It is noted that Mr. Tanner shut off his camera 24 minutes into the deposition, and prior to counsel returning to the room. His camera remained off for the duration of the deposition.

In the end, Peloton’s counsel delayed the start of the deposition for nearly 30 minutes. Then, after objecting to the NCBFAA letter and unilaterally designating same as “attorney’s eyes only”, counsel for Peloton introduced the NCBFAA letter as an exhibit on re-direct examination. CXB-3290 (Roche Dep.) at 316:5-19; CXC3221-CXC3226 (Ex. P1 to Roche Dep.).

THAT is the backdrop for what really occurred with respect to Mr. Roche.

Mr. Roche works for a competitor of Flexport, albeit a small one. He sits on the NVOCC subcommittee of the NCBFAA – an organization devoted to the benefit of its industry members, including Flexport. Mr. Roche, in his capacity working for a competitor NVOCC, makes sweeping conclusory statements regarding Flexport’s legal obligations, challenging all of their business practices. Notably, Mr. Roche used the term “store door” 20 times in his report – but then readily admitted that this is never used in the context of NVOCCs, but rather for ocean carriers. CXB-3257 (Roche Dep.) at 283:2 – 283:12 (explaining that the term store door is “very common in the ocean carrier side and not as

much used on the NVO side.”). Mr. Roche then blasts the professional expert opinions of Gary Kardian, with complete disrespect for Mr. Kardian’s knowledge, dedication and service to the Commission and the industry. And he did it all for money and to promote his own business interests. Indeed, Mr. Roche’s “expert” report is nothing but an advertisement for Mohawk Logistics, to which he compares Flexport 5 times. All of the comparisons in the Report are not between Flexport and the industry, but rather with this small competitor which serves a limited market.

In short, Mr. Roche was not “intimidated”, as he readily admitted. He should never have been designated to testify against a member company in the first place.

453. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” C-3223, Letter to NCBFAA.

RESPONSE: See response to CPFF336.

454. [REDACTED]

[REDACTED]. B-3294-3295, Roche Dep. Tr. 320:13-321:5.

RESPONSE: Denied. Nowhere in the testimony is any mention made of any investigation, formal or otherwise. As set forth in the transcript pages cited, Mr. Roche in fact testified that he was merely called by the NCBFAA if he was available “to chat”. Notably, he also testified that he told the NCBFAA “that some of the allegations that were in the letter were not true”. B-3294-3295, Roche Dep. Tr. 320:13-321:5.

455. [REDACTED]

[REDACTED]

[REDACTED] B-3295, Roche Dep. Tr. 321:6-24.

RESPONSE: Denied. See Response to CPFF336.

456. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” C-3223, Letter to NCBFAA.

RESPONSE: Admit. See Response to CPFF336.

457. He goes on to say: “[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” C-3223, Letter to NCBFAA.

RESPONSE: Admit. See Response to CPFF336.

458. Roche did not engage in discussions related to Flexport’s business practices in his capacity at the NCBFAA. B-3309, Roche Dep. Tr. 335:21-25.

RESPONSE: Denied. See Response to CPFF336.

459. The letter then states: “[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” B-3310, Roche Dep. Tr. 336:12-22; C-3223, Letter to NCBFAA.

RESPONSE: Admitted.

460. “ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” C-3223-3224, Letter to NCBFAA.

RESPONSE: Admitted. See Response to CPFF336.

461. Roche recalled discussing OSRA disputes but did not discuss BlueCargo. B-3313, Roche Dep. Tr. 339:10-21; C-3223-3224, Letter to NCBFAA.

RESPONSE: Admitted that is what Mr. Roche testified.

462. Tanner then states: “ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” B-3315, Roche Dep.

Tr. 341:19-342:14; C-3224, Letter to NCBFAA.

RESPONSE: Admitted. See Response to CPFF336.

463. Roche would not endorse a finding or opinion that he disagreed with, stating “I’m giving the opinion of all of my years’ worth of being involved with demurrage and detention, as

I've testified many different times today. And I just think that that's a big intimidation factor right there. I'm not a hired gun. I'm speaking truth." B-3316, Roche Dep. Tr. 342:2-11.

RESPONSE: Admitted that Mr. Roche testified to this during his deposition. See Response to CPFF336.

464. Prior to Roche's deposition, Peloton counsel sent Flexport counsel a letter expressing concerns over the letter and the apparent attempt at witness intimidation. In that letter, Peloton also demanded that Tanner not attend Roche's deposition to avoid furthering the attempt to influence Roche's testimony. F-0145, May 28 Letter to Flexport re Letter to NCBFAA.

RESPONSE: Admitted. See Response to CPFF336.

465. At the start of Roche's deposition, Tanner logged on just as the parties went on the record, although he is not an attorney and does not hold a role that would typically require attendance at a deposition. B-2979, Roche Dep. Tr. 5:9-13.

RESPONSE: Admitted that Mr. Tanner attended the deposition. Admitted that Mr. Tanner did not say a single word during the deposition and offered to turn off his camera. Otherwise denied.

466. No prior notice was given to Peloton's counsel that Tanner would be attending Roche's deposition. B-2294, Roche Dep. 20:10-15.

RESPONSE: Denied. A corporate representative of Flexport appeared at every deposition taken in this matter, including Mr. Tanner – all of which occurred prior to Mr. Roche's testimony. CXB-0982 (Reid Dep.) at 3; CXB-1489 (Peloton 143(b)(6) Dep.) at 2.

467. Upon recognizing Tanner's presence, Peloton's counsel attempted to address how Tanner's presence furthered the apparent attempts at witness tampering. B-2980-2981, Roche Dep. Tr. 6:10-7:7.

RESPONSE: Denied. See Response to CPFF336. Counsel did not attempt to address anything. Rather, counsel was adamant and repeatedly stated that the deposition be stopped unless Mr. Tanner left the video conference. There was neither any attempt to compromise or reason.

468. In response, Flexport counsel dismissed Peloton's concerns as "naïve," "laughable," "nonsensical," and "ridiculous," and refused to give counsel the opportunity to address the issue with the ALJ prior to proceeding with Roche's deposition. B-2985-2986, Roche Dep. Tr. 11:6, 12, 23, 12:5.

RESPONSE: Denied. What was actually said was "What you wrote in that letter is absolutely wrong, inflammatory and naive. If you think that Mr. Tanner, who has been deposed in this case, is in any way intimidating and you are insinuating that Flexport wrote this letter to NCBFAA as a way to intimate Mr. Roche is so naïve as to be laughable." CXB-2985 (Roche Dep.) at 11:1-12.

469. Flexport counsel insisted on proceeding with the deposition and would not allow Roche to take a break to discuss the issue with counsel. D-2725, Video (16:43-17:00); B-2995, Roche Dep. 21:3-9 ("Yeah, you are done, you're finished. I am going to start asking the witness - please sit down. Please stop. Stop your tyranny. I'm ready to ask questions. If you want to stop the deposition and you want to instruct the witness to not answer questions, that's your prerogative."); D-2725, Video (18:36-19:00), B-2997, Roche Dep. 23:8-10 ("Mr. Roche, please put your mic on right now. He's been sworn in under oath.").

RESPONSE: Denied. The witness had been sworn in and was not represented by counsel.

470. Flexport's counsel further addressed Roche's concern by making statements regarding Tanner's presence and Roche's ability to participate in the deposition:

Mr. Borak: We are ready to proceed. If you are going to risk sanctions by refusing to proceed with the deposition because Mr. Tanner is here, that's your prerogative. Mr. Lee is here too. He's from Flexport. **Is Mr. Roche scared of Mr. Tanner** only but not for anyone else at Flexport? He looks like he's a decent guy. I think he went to – I'm sorry -- the marine academy or some form of military school which I believe you did as well. I think he can handle himself. **He looks like a strong strapping fellow. So I fail to see how Mr. Tanner sitting there in an office muted can somehow intimidate anything that's going to happen here because the questions are going to be the same, believe me. He should be intimidated by us, not Mr. Tanner.** Because the questions we're going to be asking are referring to his report and everything in there. You have no position here at all."

D-2725, Video (13:45-15:55); B-2992, Roche Dep. 18:14-20:1.

RESPONSE: Admitted. See Response to CPFF336 and CPFF470.

471. During the deposition, Flexport's counsel referred to Peloton's counsel as "pathetic" and accused Peloton's counsel of using a "code" to "tip" Roche. D-2725, Video (1:01:20-1:04:00); B-3109, Roche Dep. 135:12-18 ("you obviously have a code that you've orchestrated this witness to tip him off on a question where he has had trouble because it's come up every time. So please stop. It's so transparent, it's pathetic, so please stop interrupting me. This is a cross-examination of an expert witness").

RESPONSE: Denied. The transcript speaks for itself. The record reflects that counsel for Peloton objected 212 times during the course of the deposition and made every effort to delay and hamper same, including reading prepared statements on the record, spending an hour attempting to shut down the deposition, turning off the camera and leaving the room. Mr. Roche was caught looking at counsel several times during the deposition.

472. During the deposition, Roche stated for the record that his answers were his own and that there was no "code" involved in his responses. D-2725, Video (1:01:20-1:04:00); B-3111, Roche Dep. 137:2-10.

RESPONSE: Denied. See Response to CPFF471.

473. Tanner remained present throughout Roche's deposition. B-2976, B-2979, Roche. Dep. 5:9-13.

RESPONSE: Denied. Mr. Tanner shut off his camera 24 minutes into the deposition and it remained off for the duration.

XIII. PELOTON'S DAMAGES AND PRAYER FOR RELIEF

474. Peloton suffered direct damages of over \$30 million in D&D charges improperly invoiced in connection with Flexport's store door transportation of Peloton Containers in violation of the Shipping Act. A-0042, A-0047, Am. Compl. ¶¶ 33, 59.

RESPONSE: Denied. The "evidence" cited is the Amended Complaint.

475. Exhibit A was submitted with Peloton's Verified Amended Complaint and "identifies invoices and D&D charges assessed by Flexport for Peloton containers," representing a compilation of Peloton's direct damages claimed in this proceeding. A-0042, Am. Compl. ¶ 30.

RESPONSE: Denied. See CPFF346 and Response to CPFF346. See also CXB-1720-CXB-1723 (Peloton 143(b)(6) Dep.) at 233:1 – 236:9.

476. Each of the charges claimed in the instant proceeding was paid in full by Peloton. D-1441, Smith Expert Report ¶ 29.

RESPONSE: Denied.

477. Exhibit A represents the \$33.7 million in damages invoiced to and paid by Peloton for inland transportation wrongly assessed by Flexport. D-1432, Smith Expert Report ¶ 8; D-1469-1589 Smith Expert Report Ex. 1.

RESPONSE: Denied. See Response to CPFF346. See also CXB-1720-CXB-1723 (Peloton 143(b)(6) Dep.) at 233:1 – 236:9.

478. The Supplemental Smith Expert Report, which was created by reviewing the entries in the Peloton Events Download Spreadsheet for each FLEX-ID listed in Exhibit A, identified charges which were solely attributable to Peloton fault, and charges which were attributable to both Peloton and Flexport fault, totaling \$1.9 million in maximum potential Peloton fault. D-1727, Smith Sup. Expert Report, Ex. 4; D-1664-1665, Smith Supp. Expert Report ¶¶ 16-17.

RESPONSE: Denied. See Response to CPFF368, CPFF370, and CPFF375-CPFF377.

479. In other words, there was no evidence of Peloton responsibility for \$31.9 million of the charges claimed in this proceeding. D-1665, Smith Supp. Expert Report ¶ 17.

RESPONSE: Denied. See Response to CPFF478. See also CITE. Mr. Smith did not take into account any of emails or documents clearly showing Peloton’s responsibility for the delays and any resulting charges. His Reports also include amounts on invoices which are time-barred and are thus unreliable on that basis alone.

480. Accordingly, at a minimum, Flexport wrongfully charged Peloton \$31.9 million in unreasonable D&D charges in violation of the Shipping Act. D-1727, Smith Supp. Expert Report, Ex. 4; D-1660, D1666, Smith Supp. Expert Report ¶¶ 8, 20.

RESPONSE: Denied. See Response to CPFF381, CPFF477, 479.

XIV. FLEXPORT ADMISSIONS

481. Flexport Founder and CEO, Ryan Petersen, described the freight forwarding business as “an old school industry.” *See Flexport’s Ryan Petersen on returning as CEO, global logistics in a time of conflict & more*, E1881, 00:36:01, <https://www.youtube.com/watch?v=8SRCW3ls69k&t=3097s>.

RESPONSE: Denied. Unauthenticated and irrelevant. Video was posted January 16, 2024. As such, it bears no relation to any shipment at issue.

482. Ryan Petersen also differentiates Flexport from “traditional” freight forwarders because it is a technology platform. *Id.* at 00:36:15-:27.¹⁵

RESPONSE: Denied. Unauthenticated and irrelevant. Video was posted January 16, 2024.

As such, it bears no relation to any shipment at issue.

483. Petersen also recently admitted to known issues in Flexport’s estimated delivery dates going back years that caused customer delays, stating:

One of the main pieces of negative feedback we've gotten over the last year has been that - and really probably going back much further than that --is that our estimated delivery dates are not trustworthy and that that causes problems. You can imagine why, you all know why, running a warehouse or running a business you need to know when of these goods are showing up so you can sell them, so that your team is ready to inbound them.¹⁶

RESPONSE: Denied. Unauthenticated and irrelevant. Video was posted January 16, 2024.

As such, it bears no relation to any shipment at issue.

484. Similarly, Flexport’s communications with other major ocean carriers and truckers are inexplicably sparse, and it has failed to produce any communications from certain internal platforms, despite evidence that such platforms were used for communications regarding Peloton Shipments.¹⁷

¹⁵ *Flexport CEO on Tariff Drama, Supply Chain Conspiracies, and Hard-Earned CEO Wisdom*, 00:58:39, <https://www.youtube.com/watch?v=ab4xNHw-yGk> (“That’s kind of what’s unique about Flexport. We’re like tech plus human”) (Q: “Can you explain what Flexport does?” A: “Flexport is a technology platform for global logistics”); see also *Flexport’s Third Act: Winning in a Broken Global Trade System*, 00:07:58, www.youtube.com/watch?v=p0m8IyT-xFU (“Unlike a traditional forwarder, we’re doing all that coordination, not by email, we actually have built integrations and processes, technology to make that simple. So you get a single pan of glass, where’s my stuff, when is it gonna arrive, better estimates for your transit time, SKU level, inventory level visibility...”).

¹⁶ *The Future of Logistics 2025 Winter Product Release*, 00:18:03, <https://www.youtube.com/watch?v=r6sRzuDH8N8> (last visited August 4, 2025).

¹⁷ See *Starting & Scaling Flexport with Ryan Petersen EM Group Chat #166*, 00:11:00, https://www.youtube.com/watch?v=_eaxelB-mKs (last visited August 4, 2025) (“So for example with our Trucking technology we did that like fully manual for the first three years of our business or so where we would just email truckers and assign loads to them by email and then

RESPONSE: Denied. Hearsay, unauthenticated and irrelevant. Video was posted January 16, 2024. As such, it bears no relation to any shipment at issue.

485. Flexport’s CEO has described Flexport’s end-to-end operations this way:

People hire Flexport to move products around the world and move inventory. Business help—we help businesses ship cargo all over the world, so – and it is that complex coordination, so if you’re a brand, you’re you know, a company that makes these glasses, you don’t want to have to deal with all those different vendors, you just hire Flexport and we execute the transaction end to end. And unlike a traditional forwarder we’re doing all that coordination not by email, we actually have built integrations and processes – technology to make that simple, and so you get a single pane of glass where’s my stuff, when is it going to arrive, better estimates for your transit times, sku level inventory level visibility, where’s my stuff, and great pricing because of our now—because of our scale.¹⁸

RESPONSE: Not certain what point is attempting to being made but denied. Hearsay, unauthenticated and irrelevant. Video was posted January 16, 2024. As such, it bears no relation to any shipment at issue.

486. Finally, Flexport explicitly marketed itself as its customers’ “end-to-end supply chain,” exercising comprehensive control over both ocean and inland transportation. On its website, Flexport touts itself as “the platform that coordinates global logistics from factory to customer door – empowering businesses to ship anywhere, sell everywhere and grow faster.”

RESPONSE: No citation is provided and therefore denied.

Dated: September 15, 2025

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak

they'd deliver them and they'd communicate back to us and our team would sort of update the app that kept the customers informed.. then we developed a software application for them with mobile app for their drivers and a dispatcher app that allows them to assign the loads to the drivers...”

¹⁸ Flexport’s Third Act: Winning in a Broken Global Trade System, 0:07:53, <https://www.youtube.com/watch?v=p0m8lyT-xFU> (last accessed August 4, 2025).

PUBLIC VERSION

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on September 15, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.